



ATT

PAPER 1

Personal Tax

CAPITAL GAINS TAX

Study Manual

FA22

May and November 2023 sittings

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USEFUL LEGISLATION LIST

CAPITAL GAINS TAX

TCGA 1992

1M	Temporary non-residence
23(1)	Compensation for damaged assets
23(4)	Asset destroyed
24(2)	Negligible value claim
28(1, 2)	Date of disposal
42	Part disposal formula
44	Definition of wasting asset
115	Exemption for QCBs
117	Definition of QCB
150A	Gains and losses on EIS shares
150E	Gains and losses on SEIS shares
151A	Gains and losses on VCT shares
165, 165A, 166(1), 168(1, 4, 5), 260	Gift relief (inc qualifying assets)
169H–169S	Business asset disposal relief
169SB-SH	Business asset disposal relief where company ceases to be individual's personal trading company
169VA-VY	Investors' relief
222, 223, 223ZA, 224(1)	PRR
242(1–3)	Small part disposal of land including claim date
280	CGT payable by instalments
286(2, 3, 4, 8)	Connected persons
Sch 5B paras 1, 2, 3, 4	EIS reinvestment relief
Sch 5BB paras 1,5	SEIS reinvestment relief
Sch 8B paras 1,4,5,6,8	SE reinvestment relief

ITA 2007

131	Relieve a loss on disposal of unquoted trading company shares against income
809B–I	Remittance basis

ATT EXAMINATIONS

2023

TAX TABLES

INCOME TAX

	2022/23
Rates (Note 1)	%
Starting rate for savings income only	0
Basic rate for non-savings and savings income only	20
Higher rate for non-savings and savings income only	40
Additional and trust rate for non-savings and savings income only	45
Dividend ordinary rate	8.75
Dividend upper rate	33.75
Dividend additional rate and trust rate for dividends	39.35
Thresholds	£
Savings income starting rate band	1 – 5,000
Basic rate band	1 – 37,700
Higher rate band	37,701 – 150,000
Dividend Allowance	2,000
Savings Allowance	
– Taxpayer with basic rate income	1,000
– Taxpayer with higher rate income	500
– Taxpayer with additional rate income	Nil
Standard rate band for trusts	1,000
Scottish Tax Rates and Thresholds (Note 2)	
£	%
1 – 2,162	19
2,163 – 13,118	20
13,119 – 31,092	21
31,093 – 150,000	41
150,000 +	46
Reliefs	£
Personal allowance (Note 3)	12,570
Married couple's allowance (Note 4)	9,415
– Maximum income before abatement of relief - £1 for £2	31,400
– Minimum allowance	3,640
Transferable tax allowance for married couples and civil partners (Note 5)	1,260
Blind person's allowance	2,600
Enterprise investment scheme relief limit (Relief at 30%) (Note 6)	1,000,000
Venture capital trust relief limit (Relief at 30%)	200,000
Seed enterprise investment scheme relief limit (Relief at 50%)	100,000
Social investment relief limit (Relief at 30%)	1,000,000

- Notes:** (1) Welsh taxpayers pay income tax using the same rates and thresholds as other UK (but not-Scottish) taxpayers.
- (2) Scottish taxpayers pay Scottish income tax on non-savings income.
- (3) The personal allowance of an individual with adjusted net income above £100,000 is reduced by £1 for every £2 of adjusted net income above the £100,000 limit.
- (4) Only available where at least one partner was born before 6 April 1935. Relief restricted to 10%.
- (5) The recipient must not be liable to tax above the basic rate. The recipient is eligible for a tax reduction of 20% of the transferred amount.
- (6) The limit is £2 million, where over £1 million is invested in knowledge-intensive companies.

ISA limits	Maximum subscription
	£
'Adult' ISAs	20,000
Junior ISAs	9,000

ATT EXAMINATIONS

2023

TAX TABLES

Pension contributions

Basic amount qualifying for tax relief £3,600

	Annual allowance (Note 1)	Lifetime allowance	Minimum pension age
	£	£	
2022/23	40,000	1,073,100	55

Note: (1) The annual allowance is tapered by £1 for every £2 of adjusted income above £240,000 for individuals with threshold income above £200,000. It cannot be reduced below £4,000.

ITEPA mileage rates

Vehicles

Car or van (Note 2)	First 10,000 business miles	45p
	Additional business miles	25p
Motorcycles		24p
Bicycles		20p
Passenger payments		5p

Note: (2) For NIC purposes, a rate of 45p applies irrespective of mileage.

Company cars and fuel – 2022/23

	Electric range (miles)	Car benefit % (Note 3)	
Emissions			
0g/km	N/A	2%	
1-50g/km	>130	2%	
1-50g/km	70-129	5%	
1-50g/km	40-69	8%	
1-50g/km	30-39	12%	
1-50g/km	<30	14%	
51-54g/km		15%	
55-59g/km		16%	
60-64g/km		17%	
65-69g/km		18%	
70-74g/km		19%	
75g/km or more		20%	+ 1% for every additional whole 5g/km above 75g/km
160g/km or more		37%	

Note: (3) 4% supplement for diesel cars, excluding those that meet the Real Driving Emissions Step 2 (RDE2) standard (not to exceed maximum of 37%).

Fuel benefit base figure £25,300

Taxable benefits for vans – 2022/23

	£
Van benefit – No CO ₂ emissions	Nil
Van benefit – CO ₂ emissions > 0g/km	3,600
Fuel benefit	688

Official rate of interest - 2022/23 2%

ATT EXAMINATIONS

2023

TAX TABLES

Childcare

Employer supported childcare – basic rate taxpayer (Note 1) £55 per week

Note: (1) For schemes joined on or after 6 April 2011 the exempt childcare amounts for higher and additional rate taxpayers (based on the employer's earning assessment only) are £28 and £25 respectively.

STUDENT AND POSTGRADUATE LOAN RECOVERY

Student Loans

	Plan 1	Plan 2	Plan 4
Employee earnings threshold	£1,682 per month	£2,274 per month	£2,114 per month

Rate of deductions is 9% of earnings above the threshold rounded down to the nearest whole pound.

Postgraduate Loans

Employee earnings threshold £1,750 per month

Rate of deductions is 6% of earnings above the threshold rounded down to the nearest whole pound.

STATUTORY PAYMENTS

Statutory sick pay	Weekly rate
Average weekly gross earnings	£123.00 or more £99.35
Statutory maternity/adoption pay	First 6 weeks @ 90% of AWE Next 33 weeks @ the lower of £156.66 and 90% of AWE
Statutory shared parental pay /paternity pay/parental bereavement pay	For each qualifying week, the lower of 90% of AWE and £156.66

QUALIFYING CARE RELIEF

	Flat rate	Placement < 11	Placement ≥ 11
Year to 5 April 2023	£10,000 per year	£200 per week	£250 per week

CHILD BENEFIT

Year to 5 April 2023

Rates	Weekly rate
	£
First child	21.80
Each subsequent child	14.45

Child benefit charge	Withdrawal rate
Adjusted net income >£50,000	1% of benefit per £100 of income between £50,000 and £60,000
Adjusted net income >£60,000	Full child benefit amount assessable in that tax year

HMRC INTEREST RATES

Late payment interest	3.5%
Underpaid corporation tax instalments interest	2.00%
Repayment interest	0.5%
Credit interest	0.5%

ATT EXAMINATIONS

2023

TAX TABLES

NATIONAL INSURANCE CONTRIBUTIONS

2022/23

Class 1 limits

	Annual £	Monthly £	Weekly £
Lower earnings limit (LEL)	6,396	533	123
Primary threshold (PT) (Notes 1 and 2)	11,908	1,048	242
Secondary threshold (ST)	9,100	758	175
Upper earnings limit (UEL)	50,270	4,189	967
Upper secondary threshold for U21 (UST)	50,270	4,189	967
Apprentice upper secondary threshold for U25 (AUST)	50,270	4,189	967

- Note:** (1) The monthly and weekly primary thresholds were £823 and £190 respectively until 5 July 2022.
 (2) Due to the increase in the primary threshold part way through the 2022/23 tax year, for the purposes of the Annual Maxima Test 1 calculation, the primary threshold amount to use in Step 1 is £229.

2022/23

Employment allowance

Per year, per employer £5,000

Class 1 primary contribution rates

Earnings between PT and UEL 13.25%
 Earnings above UEL 3.25%

Class 1 secondary contribution rates

Earnings above ST (Notes 3 & 4) 15.05%

- Notes:** (3) The rate of secondary NICs for employees under the age of 21 on earnings between the ST and UST is 0%.
 (4) The rate of secondary NICs for apprentices under the age of 25 on earnings between the ST and AUST is 0%.

Other contribution limits and rates

Class 1A contributions 15.05%
 Class 1B contributions 15.05%

Class 2 contributions

Normal rate £3.15 pw
 Small profits threshold (Note 5) £6,725 pa
 Lower profits limit (LPL) (Note 5) £11,908 pa

- Note:** (5) Class 2 NICs are only payable where profits exceed the LPL. However, where profits are between the small profits threshold and the LPL, there will be an entitlement to contributory benefits.

Class 3 contributions £15.85 pw

Class 4 contributions

Annual lower profits limit (LPL) £11,908
 Annual upper profits limit (UPL) £50,270
 Percentage rate between LPL and UPL 10.25%
 Percentage rate above UPL 3.25%

SIMPLIFICATION MEASURES

'Rent-a-room' limit £7,500
 Property allowance/Trading allowance £1,000

ATT EXAMINATIONS

2023

TAX TABLES

FLAT RATE EXPENSES FOR UNINCORPORATED BUSINESSES

Motoring expenses	First 10,000 business miles	45p per mile
	Additional business mile	25p per mile
Business use of home	25 – 50 hours use	£10 per month
	51 – 100 hours use	£18 per month
	101+ hours use	£26 per month
Private use of business premises	No of persons living there: 1	£350 per month
	2	£500 per month
	3+	£650 per month

CASH BASIS

Turnover threshold to join scheme	£150,000
Turnover threshold to leave scheme	£300,000

CAPITAL ALLOWANCES

Annual investment allowance for plant and machinery (AIA) (Note 1)	100%
WDA on plant and machinery in main pool (Note 2)	18%
WDA on plant and machinery in special rate pool (Note 3)	6%
WDA on structures and buildings (SBA)	3%

- Notes:** (1) 100% on the first £1,000,000 of investment in plant and machinery (except cars) from 1 January 2019 to 31 March 2023 (£200,000 from 1 April 2023).
 (2) The main pool rate applies to cars with CO₂ emissions of not more than 50g/km (prior to April 2021 not more than 110g/km).
 (3) The special pool rate applies to cars with CO₂ emissions greater than 50g/km (prior to April 2021 not more than 110g/km).

100% First year allowances (FYA) available to all businesses

Capital expenditure incurred by a person on research and development.

New zero-emission goods vehicles.

New cars if the car either emits 0g/km of CO₂ or it is electrically propelled.

Electric vehicle charging points expenditure.

Super- deduction available to companies

Additional FYA for companies incurring expenditure on new plant and machinery (other than cars) between 1 April 2021 to 31 March 2023:

FYA for assets in main pool 130%

FYA for assets in special rate pool 50%

VALUE ADDED TAX

Standard rate 20% VAT fraction 1/6

Limits

Annual registration limit

De-registration limit

From 1.4.22

£85,000

£83,000

Thresholds

Turnover threshold to join scheme

Turnover threshold to leave scheme

Cash accounting

£1,350,000

£1,600,000

Annual accounting

£1,350,000

£1,600,000

ADVISORY FUEL RATES (as at 1 March 2022)

Engine size	Petrol	LPG	Engine size	Diesel
1400cc or less	13p	8p	1600cc or less	11p
1401cc to 2000cc	15p	10p	1601cc to 2000cc	13p
Over 2000cc	22p	15p	Over 2000cc	16p

Electricity rate

5p

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TAX TABLES

CORPORATION TAX

Financial year	2023	2022 and 2021
Main rate	25%	19%
Standard small profits rate	19%	N/A
Augmented profit limit for standard small profits rate	£50,000	N/A
Augmented profit limit for marginal relief	£250,000	N/A
Standard marginal relief fraction	3/200	N/A
Marginal rate	26.5%	N/A
Patent rate	10%	10%

Research and development expenditure

Small and medium sized enterprises (SMEs) (Note 1)	230%
Large companies – RDEC	13%

Note: (1) SMEs must have < 500 employees and *either* turnover ≤ €100m or assets ≤ €86m.

INHERITANCE TAX

Death rate	40% (Note 2)	Lifetime rate	20%
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Note: (2) 36% rate applies where ≥10% of the deceased's net chargeable estate is left to charity.

Nil rate bands

6 April 1996 – 5 April 1997	£200,000	6 April 2003 – 5 April 2004	£255,000
6 April 1997 – 5 April 1998	£215,000	6 April 2004 – 5 April 2005	£263,000
6 April 1998 – 5 April 1999	£223,000	6 April 2005 – 5 April 2006	£275,000
6 April 1999 – 5 April 2000	£231,000	6 April 2006 – 5 April 2007	£285,000
6 April 2000 – 5 April 2001	£234,000	6 April 2007 – 5 April 2008	£300,000
6 April 2001 – 5 April 2002	£242,000	6 April 2008 – 5 April 2009	£312,000
6 April 2002 – 5 April 2003	£250,000	6 April 2009 – 5 April 2026	£325,000

Residence nil rate bands (Note 3)

6 April 2017 – 5 April 2018	£100,000	6 April 2019 – 5 April 2020	£150,000
6 April 2018 – 5 April 2019	£125,000	6 April 2020 – 5 April 2026	£175,000

Note: (3) An additional nil rate band is available where a main residence is passed on death to a direct descendant. Tapered withdrawal for estates > £2 million.

Taper relief

Death within 3 years of gift	Nil%
Between 3 and 4 years	20%
Between 4 and 5 years	40%
Between 5 and 6 years	60%
Between 6 and 7 years	80%

Quick succession relief

Period between transfers less than one year	100%
Between 1 and 2 years	80%
Between 2 and 3 years	60%
Between 3 and 4 years	40%
Between 4 and 5 years	20%

ATT EXAMINATIONS

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TAX TABLES

Lifetime exemptions

Annual exemption	£3,000
Small gifts	£250
Wedding gifts – Child	£5,000
– Grandchild or remoter issue or other party to marriage	£2,500
– Other	£1,000

CAPITAL GAINS TAX

	2022/23
Annual exempt amount	£12,300

CGT rates for individuals (Notes 1 & 2)

Gains qualifying for business asset disposal relief/investors' relief	10%
Gains falling within remaining basic rate band (Notes 3 & 4)	10%
Gains exceeding basic rate band (Note 5)	20%

CGT rates for trusts & individuals paying the remittance basis charge

Gains qualifying for business asset disposal relief/investors' relief	10%
Other gains (Note 5)	20%

CGT Rate for personal representatives (PRs)

All gains (Note 5)	20%
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Business Asset Disposal relief (BADR)

Relevant gains (lifetime maximum) (Note 6)	£1 million
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Investors' relief (IR)

Relevant gains (lifetime maximum)	£10 million
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- Notes:** (1) For individuals, gains are taxed as if they are the top slice of income.
 (2) Capital losses and the annual exempt amount may be offset in the most beneficial manner, ie against gains not qualifying for BADR/IR first.
 (3) The remaining basic rate band is calculated as £37,700 (2022/23) less taxable income less any gains on which BADR/IR has been claimed. The remaining basic rate band can be allocated in the most beneficial manner.
 (4) The rate is 18% if the gain is in respect of a residential property
 (5) The rate is 28% if the gain is in respect of a residential property
 (6) For qualifying disposals made before 11 March 2020 the lifetime limit was £10 million

Lease percentage table

Years	Percentage	Years	Percentage	Years	Percentage
50 or more	100.000	33	90.280	16	64.116
49	99.657	32	89.354	15	61.617
48	99.289	31	88.371	14	58.971
47	98.902	30	87.330	13	56.167
46	98.490	29	86.226	12	53.191
45	98.059	28	85.053	11	50.038
44	97.595	27	83.816	10	46.695
43	97.107	26	82.496	9	43.154
42	96.593	25	81.100	8	39.399
41	96.041	24	79.622	7	35.414
40	95.457	23	78.055	6	31.195
39	94.842	22	76.399	5	26.722
38	94.189	21	74.635	4	21.983
37	93.497	20	72.770	3	16.959
36	92.761	19	70.791	2	11.629
35	91.981	18	68.697	1	5.983
34	91.156	17	66.470	0	0.000

ATT EXAMINATIONS

2023

TAX TABLES

Retail Prices Index

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
1982	—	—	79.44	81.04	81.62	81.85	81.88	81.90	81.85	82.26	82.66	82.51
1983	82.61	82.97	83.12	84.28	84.64	84.84	85.30	85.68	86.06	86.36	86.67	86.89
1984	86.84	87.20	87.48	88.64	88.97	89.20	89.10	89.94	90.11	90.67	90.95	90.87
1985	91.20	91.94	92.80	94.78	95.21	95.41	95.23	95.49	95.44	95.59	95.92	96.05
1986	96.25	96.60	96.73	97.67	97.85	97.79	97.52	97.82	98.30	98.45	99.29	99.62
1987	100.0	100.4	100.6	101.8	101.9	101.9	101.8	102.1	102.4	102.9	103.4	103.3
1988	103.3	103.7	104.1	105.8	106.2	106.6	106.7	107.9	108.4	109.5	110.0	110.3
1989	111.0	111.8	112.3	114.3	115.0	115.4	115.5	115.8	116.6	117.5	118.5	118.8
1990	119.5	120.2	121.4	125.1	126.2	126.7	126.8	128.1	129.3	130.3	130.0	129.9
1991	130.2	130.9	131.4	133.1	133.5	134.1	133.8	134.1	134.6	135.1	135.6	135.7
1992	135.6	136.3	136.7	138.8	139.3	139.3	138.8	138.9	139.4	139.9	139.7	139.2
1993	137.9	138.8	139.3	140.6	141.1	141.0	140.7	141.3	141.9	141.8	141.6	141.9
1994	141.3	142.1	142.5	144.2	144.7	144.7	144.0	144.7	145.0	145.2	145.3	146.0
1995	146.0	146.9	147.5	149.0	149.6	149.8	149.1	149.9	150.6	149.8	149.8	150.7
1996	150.2	150.9	151.5	152.6	152.9	153.0	152.4	153.1	153.8	153.8	153.9	154.4
1997	154.4	155.0	155.4	156.3	156.9	157.5	157.5	158.5	159.3	159.5	159.6	160.0
1998	159.5	160.3	160.8	162.6	163.5	163.4	163.0	163.7	164.4	164.5	164.4	164.4
1999	163.4	163.7	164.1	165.2	165.6	165.6	165.1	165.5	166.2	166.5	166.7	167.3
2000	166.6	167.5	168.4	170.1	170.7	171.1	170.5	170.5	171.7	171.6	172.1	172.2
2001	171.1	172.0	172.2	173.1	174.2	174.4	173.3	174.0	174.6	174.3	173.6	173.4
2002	173.3	173.8	174.5	175.7	176.2	176.2	175.9	176.4	177.6	177.9	178.2	178.5
2003	178.4	179.3	179.9	181.2	181.5	181.3	181.3	181.6	182.5	182.6	182.7	183.5
2004	183.1	183.8	184.6	185.7	186.5	186.8	186.8	187.4	188.1	188.6	189.0	189.9
2005	188.9	189.6	190.5	191.6	192.0	192.2	192.2	192.6	193.1	193.3	193.6	194.1
2006	193.4	194.2	195.0	196.5	197.7	198.5	198.5	199.2	200.1	200.4	201.1	202.7
2007	201.6	203.1	204.4	205.4	206.2	207.3	206.1	207.3	208.0	208.9	209.7	210.9
2008	209.8	211.4	212.1	214.0	215.1	216.8	216.5	217.2	218.4	217.7	216.0	212.9
2009	210.1	211.4	211.3	211.5	212.8	213.4	213.4	214.4	215.3	216.0	216.6	218.0
2010	217.9	219.2	220.7	222.8	223.6	224.1	223.6	224.5	225.3	225.8	226.8	228.4
2011	229.0	231.3	232.5	234.4	235.2	235.2	234.7	236.1	237.9	238.0	238.5	239.4
2012	238.0	239.9	240.8	242.5	242.4	241.8	242.1	243.0	244.2	245.6	245.6	246.8
2013	245.8	247.6	248.7	249.5	250.0	249.7	249.7	251.0	251.9	251.9	252.1	253.4
2014	252.6	254.2	254.8	255.7	255.9	256.3	256.0	257.0	257.6	257.7	257.1	257.5
2015	255.4	256.7	257.1	258.0	258.5	258.9	258.6	259.8	259.6	259.5	259.8	260.6
2016	258.8	260.0	261.1	261.4	262.1	263.1	263.4	264.4	264.9	264.8	265.5	267.1
2017	265.5	268.4	269.3	270.6	271.7	272.3	272.9	274.7	275.1	275.3	275.8	278.1

CAPITAL GAINS TAX – FA22 CHANGES GUIDE

All chapters have been updated for changes in the rate of personal allowances and tax bands.

FA22 Ch	FA21 Ch	Topic	Major changes	Minor changes	No changes	Notes
1	1	Introduction to capital gains tax			✓	
2	2	Calculation of capital gains			✓	
3	3	Business asset disposal relief & Investors' relief			✓	
4	4	Relief for capital losses			✓	
5	5	Reporting of CGT & capital gains		✓		Reporting/payment deadline for land sales now 60 days.
6	6	Part disposals			✓	
7	7	Sales of leases			✓	
8	8	Grants of leases			✓	

9	9	Grants of leases – advanced aspects			✓	
10	10	Chattels			✓	
11	11	Valuation, Connected persons & Inter Spouse Transfers			✓	
12	12	Shares & securities: Matching rules		✓		New section on cryptocurrencies added to syllabus for 2023 exams.
13	13	Bonus issues & rights issues			✓	
14	14	Takeovers & reorganisations			✓	
15	15	Gilts & QCBs			✓	
16	16	Earn-outs & deferred consideration			✓	

17	17	CGT & Employee Share Schemes			✓	
18	18	Gift relief			✓	
19	19	Gift relief - restrictions			✓	
20	20	EIS, SEIS & Social Enterprise reinvestment relief			✓	
21	21	Gains & Losses on EIS/SEIS/Social Enterprise/VCT shares			✓	
22	22	Private residence relief		✓		Terminology changed to private residence relief (PRR)
23	23	PRR – further aspects		✓		Terminology changed to private residence relief (PRR)
24	24	Assets lost or destroyed			✓	

25	25	Compensation for assets damaged			✓	
26	26	Foreign aspects of CGT		✓		Reporting/payment deadline for land sales now 60 days.
27	27	Double Tax Relief for CGT			✓	

CHAPTER 1

INTRODUCTION TO CAPITAL GAINS TAX

By the end of this chapter you will understand:

- who is liable to pay capital gains tax (CGT)
- what types of disposals are liable to CGT
- what types of assets are liable to CGT
- the special rules for transfers between spouses
- the availability of the annual exempt amount
- how to calculate CGT

1.1 Introduction

In general terms a **capital gain** will arise when a person disposes of a **capital asset** at a **profit**. Profit, again in general terms, is the excess of proceeds over cost.

A charge to capital gains tax will arise when a chargeable person makes a chargeable disposal of a chargeable asset.

1.2 Chargeable Person

A chargeable person could be an individual or it could be a company. Note here, however, that if a company makes a chargeable gain – it does not pay capital gains tax but instead the **company pays corporation tax on its gain**. [TCGA 1992, s.1](#)

If an individual is **resident** in the UK they are chargeable to capital gains tax on the disposal of worldwide assets. The meaning of resident is the same as for income tax. [TCGA 1992, s.1A\(1\)](#)

Generally, individuals who are not resident in the UK do not pay UK capital gains tax even if they sell an asset that is situated in the UK. The main exception to this is that non-UK residents are chargeable to capital gains tax if they dispose of interests in UK land. [TCGA 1992, s.1A\(3\)\(b\)](#)

1.3 Chargeable Disposal

The most common way for a person to dispose of an asset is to **sell** it to another person. However, a **gift** also constitutes a disposal for capital gains tax purposes. There are provisions within the capital gains tax legislation that provide for the **loss or destruction** of an asset also to be treated as a disposal for CGT. [TCGA 1992, s.22\(1\)\(a\)](#)

Death is not an occasion of charge for CGT purposes – no capital gains or losses will arise for the deceased. The person who is left the assets by the deceased will inherit the assets with a base cost equal to market value at the date of death – known as **probate value**. We often say that where assets pass on death there is a CGT free uplift to probate value. [TCGA 1992, s.62\(1\)](#)

1.4 Chargeable Assets

Most property other than cash in sterling is an asset for CGT purposes. An asset is a chargeable asset if it is **not specifically exempt** under the capital gains tax legislation. If you cannot find an asset on the list of exempt assets, it will be a chargeable asset for capital gains tax purposes. [TCGA 1992, s.21\(1\)](#)

1.5 Exempt Assets

Cars are always exempt from capital gains tax. The legislation defines a car as a 'mechanically propelled road vehicle constructed or adapted for the carriage of passengers'. As such, assets such as vans and lorries are not exempt from CGT, because they do not satisfy the definition of the word 'car'. [TCGA 1992, s.263](#)

Wasting chattels are exempt from CGT. A chattel is 'tangible, moveable property' – ie an asset that one can see, touch and move. A wasting chattel is a chattel with a useful life of not more than fifty years. Assets such as greyhounds and racehorses are exempt from CGT. [TCGA 1992, s.45](#)

Chattels that are bought and sold for not more than £6,000 are exempt from CGT. This would cover other non-wasting chattels, such as antiques, which are of relatively low value. [TCGA 1992, s.262](#)

Gifts are also exempt from CGT. Gifts are Treasury Stock issued by the UK Government on which annual interest is payable. Qualifying corporate bonds (QCBs), such as loan stock issued by a company, are exempt assets for CGT. [TCGA 1992, s.115](#); [TCGA 1992, s.117](#)

Shares in an **ISA** (Individual Savings Account) are exempt as are shares in **VCTs** (Venture Capital Trusts), provided that they were acquired within the investment limit for the year of acquisition. Gains on shares in **EIS** and **SEIS** companies in respect of which income tax relief has been claimed are also exempt (subject to certain conditions). [SI 1998/1870](#); [TCGA 1992, s.151A](#)

This is not an exhaustive list and there are one or two other assets that are also exempt from capital gains tax. These include foreign currency held for personal expenditure outside the UK, foreign currency bank accounts, certain decorations for valour, life assurance policies and certain works of art. Remember if an asset is not specifically exempt, it must be a chargeable asset for capital gains tax. [Annex to SP 4/92](#); [TCGA 1992, s.258](#)

1.6 Transfers between Spouses and Civil Partners

Any transfer between a husband and wife is treated as taking place at no gain and no loss. This means that spouses can transfer assets freely between them, without incurring a charge to CGT. The same rule applies to civil partners. Throughout this manual, the word 'spouse' means husband, wife and civil partner. [TCGA 1992, s.58](#)

1.7 Gifts to Charities

Gains on gifts of assets, or sales of assets at an undervalue, to charities, are also treated as taking place at no gain and no loss. [TCGA 1992, s.257](#)

So effectively the charity is deemed to have acquired the asset at the same time and for the same price as the donor.

1.8 Annual Exempt Amount

Every individual has an annual exempt amount for capital gains tax. This annual exempt amount is **£12,300** for the tax year 2022/23. The annual exempt amount is similar to the personal allowance for income tax in that the first £12,300 of capital gains in the year are not chargeable to CGT. Therefore, in order to arrive at taxable gains, we take chargeable gains and deduct £12,300. [TCGA 1992, s.1K](#)

➤ Illustration 1

Charlie sold a statue on 7 April 2022 giving rise to a gain of £8,500. He also sold some shares in AOK plc on 8 May 2022 giving rise to a gain of £12,600.

Calculate Charlie's taxable gains (after the annual exempt amount) for 2022/23.

	£
Gain on statue	8,500
Gain on shares	<u>12,600</u>
Total chargeable gains	21,100
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gain	<u>8,800</u>

1.9 Calculation of CGT

The rate of capital gains tax depends on **the level of an individual's taxable income** and the **nature of the asset** being disposed of. [TCGA 1992, s.1H](#)

Generally, if an individual pays tax at the higher or dividend upper rates (or additional rates) on their income, then the rate of capital gains tax is 20%.

Otherwise, gains are generally taxed at a rate of 10% to the extent that they do not exceed the individual's unused basic rate band and at 20% to the extent that they exceed the amount of the unused basic rate band.

The unused basic rate band is the **amount of basic rate band remaining after an individual's income has been taxed**. Remember that the basic rate band is extended by the gross amount of any gift aid donations or personal pension contributions made by the individual.

If a disposal is made by a Scottish taxpayer **the basic rate band used is still £37,700**.

➤ Illustration 2

Gian sold a painting on 3 May 2022 giving rise to a gain of £20,000. He also sold a plot of land on 31 August 2022 giving rise to a gain of £50,000.

Gian works as a financial controller and earns £36,000 per annum. This is his only source of income in 2022/23.

Calculate Gian's CGT liability for 2022/23.

We deduct the annual exempt amount of £12,300 in order to arrive at the amount of taxable gains.

	£
Painting	20,000
Plot of land	50,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gains	<u>57,700</u>

In order to calculate his capital gains tax liability for 2022/23, we need to establish the amount of Gian's unused basic rate band.

	£
Salary	36,000
Less: Personal allowance	<u>(12,570)</u>
Taxable income	<u>23,430</u>
Basic rate band	37,700
Less: Taxable income	<u>(23,430)</u>
Unused amount	<u>14,270</u>
14,270 @ 10%	1,427
<u>43,430 @ 20%</u>	<u>8,686</u>
57,700	
Total CGT liability	<u>10,113</u>

Where a gain arises on the disposal of **residential property**, the 10% and 20% rates increase to **18%** and **28%** respectively.

A residential property is a property which at any time during the individual's period of ownership was **used as a dwelling** or was suitable for use as a dwelling. [TCGA 1992, Sch 1B para 5](#)

The increased rates apply to gains on both **UK and overseas** residential property. They also apply when a gain arises on the **disposal of an interest** in such properties, eg on the sale of a lease. [TCGA 1992, Sch 1B para 4](#)

Where an individual has both non-residential property gains and residential property gains, the **annual exempt amount can be allocated in the most beneficial way** in order to minimise the tax payable. Therefore, the annual exempt amount should be set against residential property gains in priority as these would otherwise be taxed at a higher rate. [TCGA 1992, s.1K\(5\)](#)

Similarly, any unused basic rate band can also be allocated to gains in the most beneficial way. However, in the majority of cases, it will not make any difference to the total tax payable whether the unused basic rate band is allocated to non-residential property gains or residential property gains in priority. [TCGA 1992, s.1I\(7\)](#)

➤ Illustration 3

Leah sold a painting on 6 June 2022 giving rise to a gain of £35,000. She also sold a house, resulting in a gain of £63,000.

Leah's taxable income in 2022/23 was £20,000.

Calculate Leah's CGT liability for 2022/23.

We need to have two columns in the capital gains tax computation – one for the residential property gain and one for the gain on the painting – as the gains will be subject to different rates of tax. We will allocate the annual exempt amount to the residential property gain as this will save the most tax:

	Painting £	Residential property gain £
Painting	35,000	
House		63,000
Total gains	35,000	63,000
Less: Annual exempt amount		(12,300)
Taxable gains	35,000	50,700

It does not make any difference whether we allocate the unused basic rate band of £17,700 (37,700 – 20,000) to the gain on the painting or the residential property gain. As the difference between the higher and lower rates of CGT is the same for both residential property and other assets (10% in both cases), the overall amount of tax paid will remain the same. Here, we will allocate it to the gain on the painting:

	£
17,700 @ 10%	1,770
17,300 @ 20%	3,460
35,000	
50,700 @ 28%	14,196
Total CGT liability	19,426

The gain on the residential property exceeds the basic rate band and therefore is taxed at 28%.

Where the property being disposed of has only been a residential property for part of the period of ownership, the **gain will be split into a residential property gain and a non-residential property gain using time-apportionment**.

Where the property is a **'mixed use'** property, ie partly consists of a dwelling and partly something else such as a commercial property, the gain will be split into a residential property gain and a non-residential property gain on a **'just and reasonable'** basis. [TCGA 1992, Sch 1B para 2](#)

EXAMPLES

❖ Example 1

Indicate whether the following assets are chargeable or exempt.

	Chargeable	Exempt
a. Cottage in Lake District		
b. Villa in Spain		
c. Antique vase		
d. Vintage Rolls Royce		
e. Shares in Tolley Ltd		
f. Shares in an ISA		
g. Thoroughbred racehorse		
h. Factory used for business		

❖ Example 2

Vince is a Civil Servant earning £34,975 per annum. In 2022/23 he sold 2 assets:

1. Shares in ICI plc on 1 December 2022 realising a gain of £15,000.
2. A commercial property on 1 March 2023 realising a gain of £45,000.

Vince made a donation of £500 to the World Wildlife Fund via Gift Aid on 1 May 2022.

Calculate Vince's CGT liability for 2022/23.

ANSWERS

✓ Answer 1

	Chargeable	Exempt
a. Cottage in Lake District	X	
b. Villa in Spain	X	
c. Antique vase	X	
d. Vintage Rolls Royce		X
e. Shares in Tolley Ltd	X	
f. Shares in an ISA		X
g. Thoroughbred racehorse		X
h. Factory used for business	X	

✓ Answer 2

Capital gains	£
Shares	15,000
Commercial property	<u>45,000</u>
	60,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gains	<u>47,700</u>

CGT:

15,920 @ 10% (W1)	1,592
31,780 @ 20%	<u>6,356</u>
CGT payable	<u>7,948</u>

WorkingsW1:

Salary	34,975
Less: Personal allowance	<u>(12,570)</u>
Taxable income	<u>22,405</u>

Basic rate band (W2)	38,325
Less: Taxable income	<u>(22,405)</u>
Unused amount	<u>15,920</u>

W2:

Basic rate band	37,700
Add: Extension for Gift Aid ($500 \times 100/80$)	<u>625</u>
	<u>38,325</u>

CHAPTER 2

CALCULATION OF CAPITAL GAINS

By the end of this chapter you will understand:

- how a capital gain is calculated on the disposal of an asset
- what types of expenditure can be deducted when calculating a capital gain
- how to treat enhancement expenditure

2.1 Calculation of Gains

The method of calculating the capital gain on assets disposed of is very straightforward:

Proceeds of sale	P
Less: Costs of acquisition	(C)
Capital gain	<u>G</u>

We simply **take proceeds of sale and deduct all costs of acquisition** to leave us with the capital gain.

In essence, we are simply working out the cash profit on the transaction.

From the proceeds of sale we may deduct **incidental costs of disposal**. These will include legal fees, valuation fees, and any costs of advertising for sale.

Similarly the costs of acquiring an asset will include allowable costs and expenses. These allowable costs will obviously include the actual cost of acquiring the asset in the first place. An asset which is inherited is treated as being acquired at probate value. In addition to this we can include any **associated expenses** such as legal fees, commissions and stamp duty reserve tax or stamp duty land tax.
[TCGA 1992, s.38](#)

➤ Illustration 1

In June 2014, Diana bought a house at a cost of £120,000. Legal fees in acquiring the property amounted to £5,000. In May 2022, Diana sold the house and the proceeds of sale were £200,000. Diana incurred estate agent's fees of £4,000 on the sale. Diana is a higher rate taxpayer and this is her only disposal in 2022/23.

Calculate Diana's capital gain arising on the sale of the house.

In order to calculate Diana's capital gain on the sale of the property, we start with the gross proceeds of sale. From this we deduct the selling expenses – ie the estate agent's fees on sale, to leave net proceeds of sale. From net proceeds we deduct costs of acquisition.

These are the initial purchase cost, and the legal fees on purchase.

	£
Gross proceeds	200,000
Less: Selling expenses	<u>(4,000)</u>
Net proceeds	196,000
Less: Costs of acquisition	
– purchase cost	(120,000)
– legal fees	<u>(5,000)</u>
Capital gain	<u>71,000</u>

You will note here that Diana is simply paying capital gains tax on the cash gain. £71,000 is the difference between the cash that she receives and the total cash that she has spent. This capital gain will then be taxed by deducting the annual exempt amount of £12,300 and charging the remaining taxable gain at 28% – as Diana is a higher rate taxpayer and the gain arises on a residential property disposal.

It is important that we identify the correct date of disposal as this determines in which tax year the gain will be charged.

The date of disposal for capital gains tax is the **date when the contract** to sell the asset **is signed**, ie the date that contracts are exchanged. If a **contract is conditional** on a particular event taking place, the date of disposal for CGT purposes is the **date that all of the relevant conditions have been fulfilled**. [TCGA 1992, s.28\(1\), \(2\)](#)

2.2 Enhancement Expenditure

Any expenditure which enhances the value of the asset is also deductible. Such enhancement expenditure must be '**reflected in the state or nature**' of the asset at the date of disposal. In addition, any costs incurred by the owner in **preserving, establishing or defending their title** to an asset, are also deductible. This will include, for example, any legal fees incurred in a boundary dispute with a neighbour over a piece of land. [TCGA 1992, s.38\(1\)\(b\)](#)

Enhancement expenditure is expenditure which increases the value of an asset and is reflected in the nature of the asset at the date of disposal. The most common type of enhancement expenditure is where a taxpayer incurs building costs in enhancing the value of a property. The allowable expenditure will be the original cost of acquiring the property plus any amount spent in improving or enhancing its value.

➤ **Illustration 2**

Rahul buys a property in July 2008 for £30,000. In March 2009, Rahul spends £10,000 in adding an extension to the property. He sells the property in March 2023 for £150,000.

Calculate Rahul's capital gain.

The expenditure incurred in March 2009 has enhanced the value of the property and is reflected in the nature of the asset at the date of sale. This enhancement expenditure is therefore deductible in calculating the capital gain.

	£
Sale proceeds	150,000
Less: Original cost (July 2008)	(30,000)
Less: Enhancement (March 2009)	<u>(10,000)</u>
Capital gain	<u>110,000</u>

EXAMPLES

❖ Example 1

Trevor bought a house in April 2001 for £40,000. The legal fees on purchase were £2,000. He sells the house in August 2022 for £150,000 and the agent's fees on sale are £6,000.

Trevor has no taxable income in 2022/23.

Calculate Trevor's CGT liability for 2022/23.

❖ Example 2

Jennifer buys a painting in January 2005 for £15,000 and sells it in September 2022 for £50,000.

Jennifer has employment income of £28,000 per annum and has no other income.

Calculate Jennifer's CGT liability for 2022/23.

❖ Example 3

Shelley bought a painting in January 2001 for £12,000. In May 2011 she had it restored and reframed at a cost of £3,000.

Shelley sold the painting at auction in October 2022 for £50,000. Auctioneer's fees of 5% were charged on sale.

Calculate Shelley's capital gain.

❖ Example 4

Which of the following is not an allowable expense in computing a capital gain on the sale of an asset?

- a. Costs of establishing title to the asset
- b. Stamp duty land tax costs incurred on acquisition
- c. Costs of insuring the asset

ANSWERS

✓ Answer 1

	£	£
Gross proceeds of sale		150,000
Less: Costs of disposal		<u>(6,000)</u>
		144,000
Cost of purchase	40,000	
Add: Legal fees	<u>2,000</u>	
		<u>(42,000)</u>
Capital gain		102,000
Less: Annual exempt amount		<u>(12,300)</u>
		<u>89,700</u>
CGT:		
37,700 @ 18%		6,786
52,000 @ 28%		<u>14,560</u>
Total CGT due		<u>21,346</u>

✓ Answer 2

	£
Proceeds	50,000
Less: Cost	<u>(15,000)</u>
Capital gain	35,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gain	<u>22,700</u>
CGT:	
22,270 @ 10% (W)	2,227
430 @ 20%	<u>86</u>
Total CGT due	<u>2,313</u>

Working

Basic rate band	37,700
Less: Taxable income (28,000 – 12,570)	<u>(15,430)</u>
Basic rate band remaining	<u>22,270</u>

✓ Answer 3

	£
Gross proceeds	50,000
Less: Auctioneer's fees (5%)	<u>(2,500)</u>
	47,500
Less: Original cost	<u>(12,000)</u>
Less: Enhancement	<u>(3,000)</u>
Capital gain	<u>32,500</u>

✓ **Answer 4**

The answer is **C**

Insurance costs are not an allowable cost.

CHAPTER 3

BUSINESS ASSET DISPOSAL RELIEF AND INVESTORS' RELIEF

By the end of this chapter you will understand:

- how business asset disposal relief operates
- which disposals of business assets the relief applies to
- when investors' relief applies

3.1 Business Asset Disposal Relief

Business asset disposal relief (BADR) is a CGT relief available to taxpayers who sell or give away their businesses. Prior to 2020/21 the relief was called entrepreneurs' relief.

The relief is available where there is:

1. a 'material disposal' of 'business assets'; or [TCGA 1992, s.169I](#)
2. a disposal which is 'associated' with a material disposal. [TCGA 1992, s.169K](#)

Generally, BADR is available to:

- a. **sole traders and partners** selling the whole or part of their businesses – this includes **furnished holiday lettings**;
- b. company **directors and employees** who dispose of shares or securities in the **personal trading company** they work for; and
- c. company directors and employees who **acquired shares under the EMI option scheme**.

We will look at the detailed conditions later.

BADR must be claimed on or before the first anniversary of 31 January following the tax year of the qualifying disposal, ie no later than 31 January 2025 for disposals in 2022/23. However in most cases the relief will be claimed when filing the self-assessment tax return for the year in which the gain is made. [TCGA 1992, s.169M](#)

3.2 Operation of the Relief

The aim of BADR is **to reduce the rate of capital gains tax paid by taxpayers on qualifying disposals to 10%**. Gains are eligible for relief up to a maximum lifetime limit which is currently £1 million (discussed later). For disposals prior to 11 March 2020 the limit was £10 million.

Relief is given by taxing gains qualifying for BADR **at a flat rate of 10%**, regardless of whether the taxpayer is a basic, higher or additional rate taxpayer. [TCGA 1992, s.169N](#)

When determining the rate of tax payable in respect of other gains (including residential property gains), gains eligible for BADR which are subject to tax at 10%

are treated as using up any unused basic rate band in priority to other gains. [TCGA 1992, s.11\(4\)–\(6\)](#)

The **annual exempt amount should be deducted in order to minimise the tax due.** The AEA should therefore be deducted from gains subject to tax at the highest rate. [TCGA 1992, s.1K\(5\)](#)

➤ Illustration 1

Ian Robinson is the managing director and sole shareholder of Ganymede Ltd, a small printing company. On 1 June 2022 he sold his shares in the company making a gain of £720,000 which qualifies for BADR. He also sold a painting on 15 July 2022 making a gain of £36,000.

He had not previously made any disposals qualifying for BADR.

Ian's taxable income for 2022/23 was £25,000.

Calculate Ian's CGT due for 2022/23.

His CGT due is calculated as follows:

	Gains eligible for BADR £	Other gains not eligible for BADR £
Gain on sale of shares	720,000	
Gain on sale of painting		36,000
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains	<u>720,000</u>	<u>23,700</u>
CGT:		
720,000 @ 10%		72,000
23,700 @ 20%		<u>4,740</u>
CGT payable		<u>76,740</u>

Although the level of Ian's taxable income means that some of the basic rate band is unused, this is allocated first to gains eligible for BADR. The gain on the painting is fully taxable at 20%. Note that the annual exempt amount is set against the gain taxable at 20% in order to minimise the tax liability.

➤ Illustration 2

Seb is the sole director and shareholder of Polka Ltd, a curtain manufacturing company. In 2022/23 he sold all his shares in the company making a gain of £350,000, which qualifies for BADR. He also sold a house realising a gain of £35,000 and shares in Marks and Spencer plc realising a gain of £5,000. He has taxable income of £27,500 in 2022/23.

Calculate Seb's tax due for 2022/23.

	Gains eligible for BADR £	Other gains not eligible for BADR £	Residential property gains £
Gain on sale of Polka Ltd shares	350,000		
Gain on sale of M&S plc shares		5,000	
Gains on sale of house			35,000
Less: Annual exempt amount			(12,300)
Taxable gains	<u>350,000</u>	<u>5,000</u>	<u>22,700</u>
CGT:			
350,000 @ 10%			35,000
5,000 @ 20%			1,000
22,700 @ 28%			<u>6,356</u>
CGT payable			<u>42,356</u>

The unused basic rate band is utilised by the gains eligible for BADR. The annual exempt amount is allocated to the residential property gain as this suffers tax at the highest rate of 28%.

3.3 Lifetime Limit

BADR can only be claimed in respect of capital gains up to a lifetime limit. Individuals can claim relief for gains on **multiple occasions** until this limit is reached. Gains which exceed the lifetime limit are taxed at the normal CGT rates.

The lifetime limit is currently £1 million. For disposals prior to 11 March 2020 the limit was £10 million.

In order to calculate the amount of qualifying gains eligible for relief in respect of each disposal, the **cumulative total of gains** which have obtained BADR (or entrepreneurs' relief before April 2020) must be deducted from the lifetime limit at the date of disposal to see if any of the lifetime limit remains. If the cumulative total of gains which have obtained relief **exceeds** the lifetime limit at the date of disposal, no further relief may be claimed.

➤ Illustration 3

Ellen Richardson owns and runs Chalice Ltd, a manufacturing company. On 1 August 2022 she sold her shares in the company making a gain of £980,000 which qualifies for BADR. She also sold a vase on 15 August 2022, making a chargeable gain of £10,000.

Ellen had claimed entrepreneurs' relief in 2012/13 in respect of an earlier gain of £240,000.

Ellen's taxable income for 2022/23 was £67,000.

Calculate Ellen's CGT due for 2022/23.

When calculating the amount of qualifying gain eligible for relief in 2022/23, the earlier gain which obtained relief of £240,000 is deducted from the current lifetime limit of £1 million. This means that a further £760,000 of gain is eligible for BADR in 2022/23.

The remaining gain of £220,000 (£980,000 less £760,000) will not qualify for relief.

Ellen's CGT due for 2022/23 is therefore calculated as follows:

	Gains eligible for BADR £	Other gains not eligible for BADR £
Gain on sale of shares	760,000	220,000
Gain on sale of vase		10,000
Less: Annual exempt amount		(12,300)
Taxable gains	<u>760,000</u>	<u>217,700</u>
CGT:		
760,000 @ 10%		76,000
217,700 @ 20%		<u>43,540</u>
CGT payable		<u>119,540</u>

3.4 'Material Disposals' of 'Business Assets'

BADR is available to taxpayers who make a 'material disposal' of 'business assets'. [TCGA 1992, s.169I](#)

A 'business asset' means:

- the whole or part of a **sole trade or partnership business**; or
- a disposal of an **asset used in a business at the time the business ceases** to be carried on; or
- a **disposal of shares** (or securities, loan stock etc) in a company.

In Paper 1 you will only be examined on situations where there is a disposal of shares (or securities) in a company which we will now look at further.

In the case of the disposal of shares or securities in a company, 'material' means that for at least two years prior to the disposal: [TCGA 1992, s.169I\(6\)](#)

- the company is the taxpayer's **'personal trading company'**; and

- ii. the taxpayer must **work for the company** (or for another company in the same group). There is no minimum hour stipulation, so full or part-time employees or directors will be eligible.

A personal company is one where the shareholder owns **at least 5% of the ordinary share capital** and is able to **exercise at least 5% of the voting rights**. In addition, the shareholder must **either** be entitled to **at least 5% of the distributable profits** and **5% of the assets available on a winding up**, and/or be entitled to **at least 5% of the proceeds of a disposal of the whole of the ordinary share capital** of the company. [TCGA 1992, s.169S\(3\)](#)

The above conditions must be met for the whole of the **two-year period** prior to the disposal.

Note that the sale of securities (loan stock etc) in a company will be eligible for BADR, but this will only be the case where the loan stock is in a company for which the taxpayer is an employee or director and which meets the definition of a personal company (so the individual must own at least 5% of the ordinary shares).

The disposal of shares in a company that has **ceased trading** may also satisfy the material disposal condition. In this case the personal trading company and working conditions must be satisfied for the **two years prior to cessation of trade**. Then the disposal of the shares must take place **within three years of cessation**. [TCGA 1992, s.169I\(7\)](#)

3.5 'Associated' Disposals

'Associated' disposals also qualify for BADR. [TCGA 1992, s.169K](#)

An 'associated' disposal is where:

- a. a taxpayer makes a **material disposal** of a business or shares/securities in a company; and
- b. as part of the withdrawal of the individual from the business, the individual makes a **disposal of an asset which had been used in that business**; and
- c. the asset disposed of had been **used in that business for at least two years** and **has been owned by the individual for the three years prior to the disposal**.

For example, if a company director owns at least 5% of the shares of a company and also owns the premises from which the company trades, if the director sells the building **at the same time** as they sell the shares, this is an 'associated disposal' and is eligible for relief.

Withdrawal from the business does not require full and complete disposal of the shareholding and can encompass a sale of some shares, provided the material disposal comprises the disposal of **at least a 5% shareholding** in the company.

3.6 Relief where a Company Ceases to be a Personal Trading Company

In order for BADR to be available on the disposal of shares (or securities) in a trading company, it must be the individual's personal company – they must therefore own at least 5% of the ordinary share capital.

However, it may be that where an individual originally held a shareholding of at least 5%, additional shares are issued to other investors such that **the shareholding falls to below 5%** with the result that **the company ceases to be the individual's**

personal company. So as a result of the issue of additional shares, perhaps to raise finance to facilitate growth, an individual ceases to hold shares that qualify for BADR, even though they may have met the necessary conditions for a number of years.

Relief is available for gains made before an individual's shareholding is 'diluted' to less than 5% so that BADR is still available in respect of the gains made before the dilution.

An election can be made for a deemed disposal and reacquisition of the shares immediately before the dilution. The election will result in a **notional gain in respect of which a claim for BADR can be made.**

The amount of the deemed sale proceeds is the **value of the shares on the assumption that all of the share capital of the company had been disposed of at market value** prior to the new share issue. So, no account is taken of minority discounts. This value will become the base cost of the actual shares going forward.

When the actual shares are sold, the disposal will not qualify for BADR if the personal company conditions have not been met for the two years prior to the disposal. [TCGA 1992, s.169SC](#)

In order for an election to be possible, the company must cease to be the individual's personal company as a result of **an issue of shares wholly for cash**, where the shares are **subscribed for and issued for commercial reasons**.

The shares must not be issued to secure a tax advantage for any person, but HMRC do not consider that the issue of shares through a tax advantaged employee share scheme breaks this condition.

In addition, for an election to be possible **all the conditions for a disposal of shares to qualify for relief must be met immediately before the share issue.** This means that as well as it being the individual's personal trading company for the previous two years, **the individual must have been employed by the company for two years as well.**

An **additional election** can be made to **defer the notional gain until the actual shares are disposed of.** This may be useful as at the time that the notional gain is deemed to be made, the individual will not have realised any cash with which to pay any tax due. [TCGA 1992, s.169SD](#)

When the deferred gain becomes chargeable, **a claim for BADR must be made** by the first anniversary of 31 January following the tax year in which the gain is treated as accruing. A further claim is not necessary on a subsequent disposal. [TCGA 1992, s.169SH](#)

Note that in order to qualify for relief when the deferred gain becomes chargeable, the individual must still have been an employee for the two years prior to the actual disposal. If this condition may not be met, then an election to defer the gain should not be made.

The election for relief as a result of the dilution of a shareholding must be made by the **first anniversary of 31 January following the tax year in which the notional disposal is made.** So if a notional disposal occurs in 2022/23, the election must be made by 31 January 2025. The election for deferral must be made **within four years of the end of the tax year of the notional disposal**, so by 5 April 2027 for notional disposals in 2022/23. Both elections are **irrevocable.** [TCGA 1992, s.169SG](#)

➤ **Illustration 4**

Meera bought 10,000 shares in Square Ltd (a trading company) for £40,000 in January 2016 when she started to work for the company. This represented a 7% shareholding.

In August 2022, further shares were issued in the company for cash in order to raise additional funds. As a result, after the share issue Meera only held a 4% shareholding. If the whole company had been sold immediately prior to the share issue, Meera would have received £90,000 for her shares. Had Meera sold her shares prior to the share issue, the gain would have been eligible for BADR.

Meera sold her shares for £150,000 in August 2023, having remained an employee of Square Ltd.

Meera is a higher rate taxpayer and has made no other capital disposals.

Calculate the CGT payable by Meera, on the assumption that all possible claims for relief are made.

Notional disposal in 2022/23

As a disposal of her shares immediately before the share issue in August 2022 would have qualified for BADR, Meera can make an election to be treated as having disposed of and immediately reacquired her shares for the amount she would have received for the shares on the disposal of the whole company.

	£
Deemed proceeds	90,000
Less: Cost	(40,000)
Notional gain	<u>50,000</u>

Meera can also make an election to defer this gain until she actually disposes of the shares, which may be helpful as at this stage she has not realised any cash with which to pay the tax due. Note however that this does waste her annual exempt amount in 2022/23 – it is not possible to elect to defer only part of the notional gain.

When Meera sells her shares in August 2023, the deferred gain becomes chargeable. Meera can make a claim for BADR in respect of this gain as she still works for the company.

In addition, a gain arises on the actual sale of the shares – but this gain does not qualify for relief as Square Ltd is no longer her personal company. When calculating the gain on the actual disposal of the shares, remember that the cost of the shares is the amount deemed to be the proceeds in respect of the notional disposal ie £90,000.

	Deferred gain eligible for BADR £	Actual gain not eligible for BADR £
Deferred gain	50,000	
Actual gain on sale of shares (W)		60,000
Less: Annual exempt amount		(12,300)
Taxable gains	<u>50,000</u>	<u>47,700</u>

CGT:	
50,000 @ 10%	5,000
47,700 @ 20%	9,540
CGT payable	<u>14,540</u>

Working

	Actual gain on shares £
Proceeds	150,000
Less: Deemed cost	(90,000)
Gain	<u>60,000</u>

3.7 Investors' Relief

Introduction

Investors' relief will be available where an individual makes a disposal of **qualifying shares in a trading company** (or holding company of a trading group).

Where a claim for relief is made, the gains will be **taxed at 10%**. [TCGA 1992, s.169VC\(2\)](#)

When determining the rate of tax payable in respect of other gains (including residential property gains), gains eligible for investors' relief which are subject to tax at 10% are treated as using up any unused basic rate band in priority to other gains. [TCGA 1992, s.11\(4\)–\(6\)](#)

The gains qualifying for relief will be subject to a **lifetime limit of £10 million** per individual. This is a separate limit to that applying for BADR. [TCGA 1992, s.169VK](#)

Conditions

The shares must have been issued by the company on or after 17 March 2016 and must be **held continuously for a period of at least three years**. [TCGA 1992, ss.169VB\(2\)\(c\), \(h\) and 169VB\(7\)](#)

The claim must be made by the **first anniversary of 31 January following the tax year in which the disposal is made**, so by 31 January 2025 for disposals in 2022/23. [TCGA 1992, s.169VM\(2\)](#)

The shares must be **new ordinary shares subscribed for by the individual for cash**. At the time the shares were issued the company must have been **unlisted**. [TCGA 1992, ss.169VB\(2\)\(a\), \(d\), \(e\) and 169VU](#)

There is no minimum or maximum holding requirement for the relief to be available – any size holding will be eligible for relief.

The relief is only available to an individual who is **not a 'relevant employee'**, ie who is not a director or employee of the company (or a connected company) during the three-year holding period. Relief is also denied if a person connected with the investor is a relevant employee. However, the relief is still available if the individual either becomes an **unremunerated director** following the purchase, or becomes an **employee of the company 180 days after the share issue** (so long as there was no reasonable prospect that they would become an employee at the time the shares were issued). [TCGA 1992, s.169VB\(2\)\(g\)](#)

Where the original subscriber transfers shares that they subscribed for to a spouse, the spouse is treated as having subscribed for the shares at the original date of issue. [TCGA 1992, s.169VU\(3\)](#)

Gains eligible for relief

When an individual disposes of shares in an unlisted trading company, those shares may have been acquired at different times and in different ways. Some may have been subscribed for and held for three years and will therefore be '**qualifying shares**'. Some may have been subscribed for but not yet held for three years – these will be '**potentially qualifying shares**'. If any shares were not subscribed for but were purchased from another shareholder (other than a spouse) they will not qualify for relief and so are '**excluded shares**'.

Only the proportion of the gain on the sale of a shareholding which relates to the qualifying shares will be eligible for investors' relief. [TCGA 1992, s.169VD](#)

➤ Illustration 5

Carly sold 10,000 shares in ABC Ltd (a trading company) on 1 October 2022, making a gain of £50,000.

Carly had subscribed for the shares as follows:

1 June 2019	7,000 shares
1 June 2020	3,000 shares

Carly is a higher rate taxpayer and made no other capital disposals in 2022/23. She does not work for ABC Ltd.

Calculate the CGT payable by Carly, on the assumption that all possible claims for relief are made.

	Gain eligible for IR £	Gain not eligible for IR £
Gain eligible for IR ($7,000/10,000 \times 50,000$)	35,000	
Gain not eligible for IR ($3,000/10,000 \times 50,000$)		15,000
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains	<u>35,000</u>	<u>2,700</u>
CGT:		
35,000 @ 10%		3,500
2,700 @ 20%		<u>540</u>
CGT payable		<u>4,040</u>

The 7,000 shares acquired on 1 June 2019 are qualifying shares as they have been held for three years. Although Carly subscribed for the shares acquired on 1 June 2020, these have not been held for three years and therefore are potentially qualifying shares. Only the proportion of the gain relating to the qualifying shares (being $7,000/10,000$) is eligible for investors' relief. The annual exempt amount is allocated to the part of the gain which does not qualify for investors' relief as this is taxed at the higher rate of 20%. The gain eligible for investors' relief is taxed at 10%.

Interaction with EIS/SEIS relief

A subscription for shares in an unlisted trading company may qualify for EIS/SEIS income tax relief if the necessary conditions are met. Subject to certain conditions, a gain on the sale of shares in respect of which EIS/SEIS income tax relief has been claimed will be exempt from CGT. (We will look at the CGT treatment of EIS/SEIS shares later in the manual.)

Therefore, a claim for investors' relief is most likely to be relevant where the original subscription for the shares did not receive income tax relief. This could be for a number of reasons, for example, the company is carrying on a trade which does not qualify for EIS/SEIS relief such as property development, the individual is connected with the company by virtue of owning more than 30% of the ordinary shares, or the individual has exceeded the maximum amount of investment qualifying for EIS/SEIS income tax relief in a tax year.

EXAMPLES

❖ Example 1

Georgina sold the following assets in May 2022:

	Gains £
Shares in Barclays Bank plc	50,000
Shares in Pampered Pooches Ltd	585,000
Vintage car	<u>10,000</u>
Total	<u>645,000</u>

Georgina owned 50% of the shares of Pampered Pooches Ltd and had run the company for many years with her friend, Jean. They sold their respective shares to a major pet-store chain in May 2022. Georgina made no other disposals in 2022/23. Her taxable income in 2022/23 was £30,000.

Calculate the CGT payable by Georgina for 2022/23.

❖ Example 2

Danesh owns 25% of the shares of Alexander Cables Ltd, an unlisted trading company. He has owned the shares for five years.

Danesh sold the following assets in 2022/23:

- A 2% holding in Alexander Cables Ltd on 28 August 2022 at a gain of £18,000.
- A cottage on 31 January 2023 giving rise to a gain of £37,500.

Danesh works part-time for Alexander Cables Ltd on a salary £20,000.

Calculate the CGT payable by Danesh for 2022/23.

ANSWERS

✓ Answer 1

	Gains eligible for BADR	Other gains not eligible for BADR
	£	£
Barclays Bank plc		50,000
Pampered Pooches Ltd	<u>585,000</u>	
	585,000	50,000
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains	<u>585,000</u>	<u>37,700</u>

The gain on the vintage car is exempt.

CGT:

585,000 @ 10%	58,500
37,700 @ 20%	<u>7,540</u>
Total CGT due	<u>66,040</u>

Tutorial Note:

The gains eligible for BADR fully use up the remaining basic rate band. The other gains (after the annual exempt amount) are therefore taxed at 20%.

✓ **Answer 2**

CGT payable by Danesh:

	Gains eligible for BADR £	Residential property gain £
Alexander Cables Ltd shares	18,000	
Cottage		37,500
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains	<u>18,000</u>	<u>25,200</u>

CGT:

18,000 @ 10%	1,800
12,270 @ 18% (W2)	2,209
12,930 @ 28%	<u>3,620</u>
Total CGT due	<u>7,629</u>

WorkingsW1:

Salary	20,000
Less: Personal allowance	<u>(12,570)</u>
Taxable income	<u>7,430</u>
Basic rate band	37,700
Less: Taxable income	<u>(7,430)</u>
Unused basic rate band	<u>30,270</u>

W2:

Unused basic rate band (W1)	30,270
Less: Gain eligible for BADR	<u>(18,000)</u>
Unused basic rate band remaining	<u>12,270</u>

CHAPTER 4

RELIEF FOR CAPITAL LOSSES

By the end of this chapter you will understand:

- how to use current year losses
- when losses are carried forward

4.1 Introduction

In this chapter, we shall look at how we deal with a situation when a taxpayer sells a chargeable asset and makes a loss. The way we calculate a capital loss is very straightforward, a loss will only arise if proceeds are less than cost.

4.2 The Offset of Capital Losses

A taxpayer will **set capital losses against capital gains**. Capital losses reduce gains. They are not normally set against the taxpayer's income. [TCGA 1992, s.1\(3\)\(a\)](#)

Capital losses must be **set off against capital gains in the same tax year**. This is **automatic**. This means, for example, that if a taxpayer makes a gain of, say, £5,000 on one asset, and a loss of £1,000 on another asset, these must be netted off, to give net gains in the year of £4,000. **The annual exempt amount is deducted after relief for current year losses**. The taxpayer cannot ask HMRC to cover their gains by the annual exempt amount, and leave the losses to be used in another year. [TCGA 1992, s.1K\(4\)\(a\)](#)

Although capital losses must be set off against gains in the same year, the taxpayer can **deduct losses in the most beneficial way**, ie in order to **minimise the tax liability**. Where an individual has capital gains which are charged to tax at different rates, for example because one gain relates to a residential property, losses should be **offset against gains taxed at higher rates in priority**. So, losses should be allocated to gains in respect of residential property in priority, and then against other gains not eligible for business asset disposal relief. [TCGA 1992, s.1F\(1\)](#)

Capital losses on **qualifying trading company shares**, which include EIS and SEIS shares, can be used as either capital losses or **set against net income** of the current or preceding year under s.131 ITA 2007. There is a restriction on the amount of loss available in certain circumstances.

➤ Illustration 1

Jess, who has an annual income in excess of £100,000, sells shares in a trading company on 23 May 2022 and makes a gain of £100,000 which is eligible for business asset disposal relief. She sells a painting on 31 August 2022 and makes a gain of £18,000. The final disposal of 2022/23 gives rise to a loss of £2,000 on shares in an investment company on 3 January 2023.

Calculate the taxable gains, showing the allocation of the loss and the annual exempt amount in the most beneficial way.

	Gains eligible for BADR £	Other gains not eligible for BADR £
Gain on trading company shares	100,000	
Gain on painting		18,000
Loss on investment company shares		(2,000)
Total chargeable gains	100,000	16,000
Less: Annual exempt amount		(12,300)
Taxable gains	100,000	3,700

The gain on the painting will be taxed at 20%. The loss is therefore set against this gain in priority to the gain on the trading company shares as this will be taxed at the lower rate of 10% as the gain is eligible for business asset disposal relief. The annual exempt amount should also be allocated to the gain on the painting, to save the most tax.

Where current year gains exceed current year losses, the excess gains are taxed. If, on the other hand, losses in the year exceed gains in the year, the taxpayer will be left with net gains of zero. The **excess losses will be carried forward and set against gains in future years**. It is therefore always important that you look back at the previous year, to see if the client had any capital losses which they are bringing forward. [TCGA 1992, s.1\(3\)\(b\)](#)

4.3 Losses Carried Forward

If losses in the year exceed gains in the year, the excess loss is carried forward. The chargeable gains in the year will be nil and the annual exempt amount will be lost. Most taxpayers do not make use of their CGT annual exempt amount. **If an annual exempt amount is not used, it cannot be carried forward or transferred to another person. It is simply wasted.**

Any excess losses for the year are carried forward and reduce capital gains in future years. However, **the annual exempt amount is deducted before relief is given for capital losses brought forward**. So, where gains net of current year losses are less than the annual exempt amount, any brought forward losses are preserved to offset in a future year. [TCGA 1992, s.1K\(4\)\(b\)](#)

Capital losses brought forward are also allocated against gains in the most beneficial manner if there are gains charged to tax at different rates.

➤ **Illustration 2**

Samira's capital gains and losses in the tax year 2022/23 are as follows:

	Gain/(Loss) £
Business sold 1 July 2022 – eligible for business asset disposal relief	17,000
Residential property sold 10 September 2022	40,000
Shares sold 9 November 2022	(10,000)

Samira has capital losses brought forward from the previous tax year of £(4,000). Her taxable income is £47,000.

Calculate Samira's capital gains tax for 2022/23 and the amount of capital losses carried forward.

The first thing Samira must do is utilise her current year loss – ie the loss on the shares – which will be offset in full against her current year gains. She should set the loss against the gain on the residential property since this would be taxable at 28% (as she has used her basic rate band) rather than the gain on the business which is taxable at 10%.

Once we have dealt with current year losses, we offset the annual exempt amount. This should also be set against the gain on the residential property. Finally, as there are still gains remaining chargeable, we offset the losses brought forward from the previous tax year. Losses brought forward total £4,000 and should also be set against the gain on the property.

	Gain eligible for BADR £	Residential property gain £
Business	17,000	
Residential property		40,000
Less: Shares (CY loss)		<u>(10,000)</u>
	17,000	30,000
Less: Annual exempt amount	<u>(Nil)</u>	<u>(12,300)</u>
	17,000	17,700
Less: Losses b/f	<u>(Nil)</u>	<u>(4,000)</u>
Taxable gains	<u>17,000</u>	<u>13,700</u>
CGT:		
17,000 @ 10%		1,700
13,700 @ 28%		<u>3,836</u>
		<u>5,536</u>

Capital losses c/f (4,000 – 4,000) = Nil

➤ **Illustration 3**

Laura made a capital gain on 1 August 2022 of £20,000. She made a capital loss of £6,000 on a disposal on 1 October 2022. She has capital losses brought forward at the start of the tax year of £15,000.

Calculate Laura's capital loss carried forward.

Laura must offset her current year loss against her current year gain in full. She must then offset the annual exempt amount. Finally, she will offset £1,700 of her brought forward loss, leaving taxable gains of nil.

	£
Gain	20,000
Less: CY loss	<u>(6,000)</u>
	14,000
Less: Annual exempt amount	<u>(12,300)</u>
	1,700
Less: Losses b/f	<u>(1,700)</u>
Taxable gain	<u>Nil</u>
Capital losses c/f (15,000 – 1,700)	<u>13,300</u>

EXAMPLES

❖ Example 1

Anthony sold his 1% shareholding in Technik Ltd (an unlisted trading company) in November 2022 making a gain of £13,000. He has never worked for the company.

Anthony has capital losses brought forward of £5,000.

Calculate the capital losses available to carry forward to 2023/24.

❖ Example 2

Jadon earns a salary of £64,000 pa. In 2022/23 Jadon made the following disposals:

	Date sold	Gain/(Loss) £
Painting	1.5.22	21,000
Shares in trading company	1.2.23	40,000
Cottage	1.2.23	16,000
Shares in investment company	1.3.23	(10,000)

The gain on the sale of the shares in the trading company qualifies for business asset disposal relief.

Calculate Jadon's CGT liability for 2022/23.

ANSWERS

✓ Answer 1

	£
Gain	13,000
Less: Annual exempt amount	<u>(12,300)</u>
	700
Less: Losses b/f	<u>(700)</u>
Taxable gains	<u>Nil</u>
Capital losses remaining to c/f: 5,000 – 700	<u>4,300</u>

✓ Answer 2

	Gain eligible for BADR £	Other gains not eligible for BADR £	Residential property gain £
Trading company shares	40,000		
Painting		21,000	
Cottage			16,000
Less: CY loss	<u>40,000</u>	<u>21,000</u>	<u>(10,000)</u>
			6,000
Less: Annual exempt amount	<u>40,000</u>	<u>(6,300)</u>	<u>(6,000)</u>
		<u>14,700</u>	<u>Nil</u>
CGT:			
40,000 @ 10%			4,000
14,700 @ 20%			<u>2,940</u>
			<u>6,940</u>

CAPITAL GAINS TAX PROFORMA

(W) for each asset disposal

	£	£
Gross sales proceeds	X	
Less: Selling costs	<u>(X)</u>	
Net sales proceeds		X
Less: Cost		(X)
Less: Acquisition costs		(X)
Less: Enhancement expenditure		<u>(X)</u>
Gain		<u>X</u>

CGT summary for the tax year

	Gains eligible for BADR/IR	Other gains not eligible for BADR/IR	Residential property gain
Gains arising in 2022/23	X	X	X
Less: Current year capital losses (Note 1)			(X)
Less: Annual exempt amount (Note 1)			(12,300)
Less: Capital losses brought forward			<u>(X)</u>
Taxable gains	<u>X</u>	<u>X</u>	<u>X</u>

CGT:

@ 10% if eligible for BADR/IR	X
@ 10% on other gains within basic rate band (Note 2)	X
@ 20% on other gains above basic rate band	X
@ 18% on residential property gains within basic rate band (Note 2)	X
@ 28% on residential property gains above basic rate band	<u>X</u>
Total CGT for 2022/23	<u>X</u>

Notes:

1. Losses and annual exempt amount should be offset against gains taxable at the highest rate in priority.
2. Gains eligible for business asset disposal relief/investors' relief which are subject to tax at 10% use up the basic rate band in priority to other gains.

CHAPTER 5

REPORTING OF GAINS AND PAYMENT OF CGT

By the end of this chapter you will understand:

- when and how a taxpayer needs to report any chargeable gains
- when CGT is payable and how payments on account are calculated

5.1 Introduction

There are three ways in which capital gains can be reported to HMRC.

These are:

- using the 'capital gains tax on UK property' online service within 60 days (30 days for disposals prior to 27 October 2021) of selling UK residential property;
- straight away using the 'real-time' capital gains tax online service; or
- annually in a self-assessment tax return.

Which of these reporting methods applies depends on the type of asset being sold and whether the taxpayer is UK resident or non-UK resident.

In addition, there are two possible payment dates for CGT, these being:

- payments on account within 60 days (30 days for disposals prior to 27 October 2021) of the disposal; or
- 31 January following the tax year of disposal.

Again, the tax payment date is determined by the asset being sold and whether the taxpayer is UK resident.

5.2 Disposals of UK Residential Property by UK Residents

There are special reporting and tax payment rules for disposals of UK residential property by UK residents.

Such disposals must be reported to HMRC within 60 days of the completion of the disposal (30 days for completion prior to 27 October 2021). Disposals are reported online using HMRC's 'UK property service'. [FA 2019, Sch 2, para 3\(1\)](#)

Taxpayers will need a Government Gateway user ID and password.

Reporting is done using a 'capital gains tax UK property disposals return'. For simplicity we will shorten this to 'online property return'.

The online property return must include a calculation of the chargeable gain and a computation of the tax due.

Only 'taxable gains' need to be reported. This means that **no online property return is required if there is no CGT payable** – for example, because the gain is

below the annual exempt amount, or the gain is covered by losses or is wiped out by a CGT relief (such as private residence relief). [FA 2019, Sch 2, para 4\(1\)](#)

This also means that if the disposal itself gives rise to a capital loss, no online property return is required.

If there is more than one UK residential property disposal on the same day (ie with the same completion date), all disposals on that date can be reported on the same return. [FA 2019, Sch 2, para 3\(2\)](#)

If the property is jointly owned, **separate returns must be made by each joint owner** disclosing their share of the gain.

Late filing penalties under FA 2009, Schedule 55 will apply if the return is filed late.

For taxpayers who are issued with self-assessment tax returns, **the disposal must also be reported on the Capital Gains pages of the return** (so some taxpayers will need to report their residential property gains twice).

If the online property return is either incorrect or incomplete, it can be amended as long as the self-assessment tax return has not been submitted. After that point, any amendments are notified by amending the self-assessment return itself. [FA 2019, Sch 2, para 19\(3\)](#)

If the taxpayer is not required to file a self-assessment tax return, the online property return can be amended at any time until the anniversary of the 31 January following the tax year of disposal (ie 31 January 2025 for disposals in 2022/23). [FA 2019, Sch 2, para 19\(4\)](#)

HMRC has the power to enquire into online property returns.

Clients therefore need to inform their tax advisers as soon as they have made a disposal of UK residential property giving rise to a taxable gain, because interest and penalties will be charged for late reporting.

5.3 Exchange and Completion

It is important to identify the 'completion date' for the disposal as this will determine the reporting deadline.

In a UK property transaction, the buyer and seller will 'exchange contracts'. These contracts set out the terms of the transaction and mean that, from that point, both the buyer and the seller are legally committed to the purchase. The buyer normally pays a deposit when contracts are exchanged.

The completion date is that date by which the seller must vacate the property and hand over the keys to the buyer. The buyer must have paid the balance of the purchase price by completion date. In a 'typical' house purchase, there are usually two to four weeks between exchange and completion.

These dates are important for CGT because:

- **the date of disposal is the date that contracts are exchanged;** but
- **the online property return is due within 60 days of completion.**

Exchange and completion could take place in different tax years. Therefore, if contracts for a property sale were exchanged in (say) March 2022 but the

purchase was not completed until May 2022, the disposal falls into 2021/22 even though the completion date is May 2022.

If there is no completion date, the return is due within 60 days of the date of disposal. [FA 2019, Sch 2, para 17\(2\)](#)

5.4 CGT Payments for UK Residential Property Disposals

Where a taxpayer makes a disposal of UK residential property giving rise to a taxable gain, **a payment on account of the CGT needs to be made.** [FA 2019, Sch 2, para 6\(2\)](#)

The payment on account is due no later than the filing date for the online property return – that is, within **60 days of completion (30 days for completion prior to 27 October 2021)**. [FA 2019, Sch 2, para 6\(3\)](#)

The payment on account is a 'best estimate' of the CGT due on the residential property disposal. [FA 2019, Sch 2, para 14\(4\)](#)

This estimate can take account of the annual exempt amount and can offset any capital losses made before the date of completion (including capital losses brought forward from earlier years). [FA 2019, Sch 2, para 7\(3\)](#)

The estimate cannot take account of losses which arise after completion (as these will be unknown at the date the payment on account is required). [FA 2019, Sch 2, para 7\(2\)\(a\)](#)

The estimate does not take account of gains which have already been made in the tax year on assets which are not UK residential property. [FA 2019, Sch 2, para 7\(2\)\(b\)](#)

The taxpayer will also have to make a reasonable estimate of the CGT rate which will apply to the disposal.

Remember that residential property disposals will be charged at either 18% or 28% depending on whether the taxpayer is a basic or higher rate taxpayer. At the time the payment is due, the taxpayer may not be in a position to determine their taxable income for the year, so **they should make an estimate of the amount of the basic rate band they will have remaining.**

This payment on account is deducted from the CGT which is due for the tax year. Any balance is due for payment no later than the following 31 January.

➤ Illustration 1

Amy is UK resident. She is issued with a tax return. She made the following gains/(losses) in 2022/23:

Date of disposal	Asset	Gain/(Loss) £
4 May 2022	UK residential property	100,000
21 May 2022	UK listed shares	(10,000)
5 September 2022	Antique vase	8,000
31 March 2023	Non-UK listed shares	(1,000)

Amy has capital losses of £2,000 to bring forward from 2021/22.

Amy's only income in 2022/23 is her salary from her job as a designer. She was paid £40,000 per annum, but she was promoted on 1 October 2022 with her annual salary increasing to £50,000.

The UK residential property was a buy-to-let property, but the tenants moved out in March 2022 at which point Amy marketed the property for sale. Contracts were exchanged on 4 May 2022 with the sale completed on 31 May 2022.

Calculate Amy's CGT liability for 2022/23, explain her reporting obligations and show when the CGT payments should be made.

Reporting obligations

- Amy has sold a UK residential property at a taxable gain. She must file an online property return within 60 days of the completion of the disposal (ie by 30 July 2022).
- Amy must also file a self-assessment tax return reporting all gains (due by 31 January 2024).

CGT payments

A payment on account of the CGT is due by 30 July 2022 calculated as follows:

UK residential property gain		£
Less: Loss on UK listed shares	Note 1	(10,000)
Chargeable gains		90,000
Less: Annual exempt amount		(12,300)
Less: Losses b/f		(2,000)
Taxable gains		<u>75,700</u>
Estimated CGT:		
£10,270 @ 18%	Note 2	1,849
£65,430 @ 28%		<u>18,320</u>
Payment on account due 30 July 2022		<u>20,169</u>

Notes:

1. The loss on the UK listed shares can be considered when estimating the payment on account because the shares were sold before the completion date for the property disposal.

2. Amy's payment on account would have been based on her estimate of her taxable income at the date the online property return is filed. This was before her pay rise in October 2022.

	£
Income 2022/23 (estimated on 30 July 2022)	40,000
Less: Personal allowance	<u>(12,570)</u>
Taxable income	27,430
Basic rate threshold	<u>37,700</u>
Basic rate band remaining	<u>10,270</u>

The CGT due for 2022/23 will be as follows:

	Other gains £	Property gains £
UK residential property		100,000
Antique vase	8,000	
Less: Loss on UK listed shares		(10,000)
Less: Loss on non-UK shares		<u>(1,000)</u>
Chargeable gains	<u>8,000</u>	89,000
Less: Annual exempt amount		(12,300)
Less: Losses b/f		<u>(2,000)</u>
Taxable gains	<u>8,000</u>	<u>74,700</u>

CGT:	
£5,270 @ 10% (W)	527
£2,730 @ 20%	546
£74,700 @ 28%	<u>20,916</u>
CGT due 2022/23	21,989
Less: Paid on account	<u>(20,169)</u>
Balance due 31 January 2024	<u>1,820</u>

Working

	£
Actual income 2022/23	45,000
(£40,000 × 6/12) + (£50,000 × 6/12)	
Less: Personal allowance	<u>(12,570)</u>
Taxable income	32,430
Basic rate threshold	<u>37,700</u>
Basic rate band remaining	<u>5,270</u>

There may be situations where the payment on account exceeds the CGT liability for the year, in which case HMRC will refund the overpaid CGT (or set it against income tax due on 31 January).

5.5 Reporting Rules for Other Assets

For disposals of assets other than UK residential property, taxpayers can report their capital gains via either:

- a 'real-time transaction tax return'; or
- their self-assessment tax return.

Real-time returns are normally used by unrepresented taxpayers who are not within the self-assessment system and who can therefore report a gain or loss without the need to register for self-assessment and file annual returns.

Real-time returns can be submitted at any time after the disposal up until 31 December following the end of the tax year in which the gain or loss was made.

The taxpayer will need to have an online Government Gateway account to file real-time returns. There is no facility to file a paper return.

Once the real-time return has been filed, HMRC will contact the taxpayer with details of how and when to pay any CGT. The CGT is payable by 31 January following the end of the tax year in which the gain was made, although the taxpayer can choose to settle the tax straight away if they wish (to make sure the tax is settled before they spend the disposal proceeds!).

There is no obligation to make a payment on account.

If a taxpayer does not wish to report gains in real time, they can do so via the Capital Gains pages of the self-assessment tax return and pay the tax by the normal 31 January deadline.

You should note that if a taxpayer is issued with a self-assessment return and makes a capital gain, the gain does not need to be reported if:

- a. the chargeable gain is less than the annual exempt amount; and
- b. the proceeds of sale are less than four times the annual exempt amount (£49,200 for 2022/23).

This applies for all asset disposals, including UK residential property (although residential property is rarely sold for less than £49,200).

EXAMPLES

❖ Example 1

Tash is UK resident. He is an employee and is not within the self-assessment system. He works in the NHS and has a salary of £30,000 per annum.

Tash inherited a house and some shares from his grandmother's estate in 2021. He sold these assets in 2022. Details are as follows:

Date of disposal	Asset	Probate value £	Sales proceeds £
17 August 2022	House in the UK	225,000	260,000
15 October 2022	UK shares	25,000	21,000

The sale of the house was completed on 4 September 2022.

Calculate Tash's CGT liability for 2022/23, explain his reporting obligations and show when the CGT payments should be made.

ANSWERS

✓ Answer 1

Reporting obligations

- The property sale needs to be reported on an online property return due within 60 days of the completion of the disposal (ie by 3 November 2022).
- The share gain can be reported on a real-time transaction return (due at any time before 31 December 2023) or, alternatively, Tash could request a self-assessment tax return in order to disclose his share gain (in which case, both disposals would then be reported on the Capital Gains pages).

CGT payments

A payment on account of the CGT is due by 3 November 2022, calculated as follows:

		Gain/(Loss) £
UK residential property gain	£(260,000 – 225,000)	35,000
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains	Note 1	<u>22,700</u>
Estimated CGT:		
£20,270 @ 18%	Note 2	3,649
£2,430 @ 28%		<u>680</u>
Payment on account due 3.11.22		<u>4,329</u>

Notes:

1. The loss on the UK shares cannot be considered when estimating the payment on account because the shares were sold after the completion date for the property disposal.
2. The payment on account is based on an estimate of Tash's taxable income (here being £30,000).

	£
Income 2022/23	30,000
Less: Personal allowance	<u>(12,570)</u>
Taxable income	17,430
Basic rate threshold	<u>37,700</u>
Basic rate band remaining	<u>20,270</u>

The CGT due for 2022/23 will be as follows:

		£
UK house		35,000
Less: Loss on UK shares	£(25,000 – 21,000)	<u>(4,000)</u>
Chargeable gains		31,000
Less: Annual exempt amount		<u>(12,300)</u>
Taxable gains		<u>18,700</u>
 CGT @ 18%		 3,366
Less: Paid on account		<u>(4,329)</u>
Tax repayable		<u>(963)</u>

CHAPTER 6

PART DISPOSALS

By the end of this chapter you will understand:

- how to calculate the cost on the disposal of part of an asset
- how to treat enhancement expenditure
- special rules for small part disposals of land

6.1 Introduction

A taxpayer makes a part disposal when they sell part of an asset. The most common example of a part disposal is when a taxpayer sells part of a piece of land. Land is a relatively easy asset to divide into parts. With other assets, such as buildings or paintings etc, they are not easily divided, so the part disposal rules will rarely apply. [TCGA 1992, s.21\(2\)\(a\)](#)

The part disposal rules are also used to calculate the gain on the disposal of a right or interest in an asset. For example, when a taxpayer grants a lease, they are creating a right or interest which is separate from the original asset. [TCGA 1992, s.21\(2\)\(b\)](#)

To calculate the chargeable gain on a part disposal, we start with sale proceeds then deduct the cost of the asset being sold. However, **if we are only selling part of an asset, we only take a deduction for part of the original cost.**

The way we arrive at the allowable cost, is to take the cost of the whole and multiply it by a fraction: [TCGA 1992, s.42\(2\)](#)

$$A/(A + B) \times \text{cost}$$

A = the gross disposal proceeds.

B = the value of the part retained.

Note that we use the **gross disposal proceeds** here, ie the proceeds before any expenses of sale are deducted.

➤ Illustration 1

In July 2005, Seth bought 20 acres of land for £50,000. In February 2023, he sold part of the land for £28,000. In February 2023, the value of the land remaining was £112,000.

Calculate Seth's capital gain on the part disposal and show the base cost of the remainder of the land.

	£
Proceeds	28,000
Less: Cost	
$50,000 \times 28,000 / (28,000 + 112,000)$	<u>(10,000)</u>
Capital gain	<u>18,000</u>

Seth still has part of the field remaining. Therefore, when he comes to sell it, we need to know his base cost for CGT purposes. The cost of the whole field was £50,000. The amount of this cost used in the part disposal computation is £10,000. The base cost of the remaining area of land, is therefore the difference between these two:

Base cost of remainder of land	
$50,000 - 10,000$	<u>40,000</u>

6.2 Interaction with Enhancement Expenditure

If the taxpayer has incurred enhancement expenditure it will fall into one of two categories. If the enhancement expenditure has **increased the value of the whole asset**, but only part of the asset is subsequently sold, we cannot take a deduction for the whole of the enhancement expenditure. Instead we need to multiply this expenditure by the $A/(A + B)$ fraction.

However, if the enhancement expenditure has been **specifically incurred on the part of the asset actually sold**, we are allowed to deduct the whole of the enhancement expenditure in calculating our capital gain.

➤ Illustration 2

Jack purchases 100 acres of land in June 2005 for £140,000.

In May 2008, Jack incurs enhancement expenditure of £35,000 on the whole of the field. Later on, Jack decides to divide his land into two separate plots.

In January 2012, Jack spends £10,000 in enhancing plot 1 only. In October 2022, Jack sells plot 1 only for £400,000. The value of plot 2 in October 2022 is £300,000.

Calculate Jack's capital gain on the sale of plot 1.

	£
Proceeds	400,000
Less: Cost	
$140,000 \times 400 / (400 + 300)$	(80,000)
Less: Enhancement (May 2008)	
$35,000 \times 400 / (400 + 300)$	(20,000)
Less: Enhancement (January 2012)	<u>(10,000)</u>
Gain	<u>290,000</u>

6.3 'Small' Part Disposals of Land

A part disposal of land is '**small**' if **two conditions** are satisfied. [TCGA 1992, s.242](#)

Firstly, the **proceeds** of the part disposal must be **less than or equal to 20% of the value of the land** as at the date of disposal. [TCGA 1992, s.242\(1\)\(a\)](#)

Secondly, the **total proceeds of all land sales in the year must not exceed £20,000**. This means that a part disposal of land can never be small if sale proceeds are more than £20,000. If both conditions are satisfied, we have a 'small' part disposal and the taxpayer can make a claim under s.242 TCGA 1992. [TCGA 1992, s.242\(3\)](#)

The effect of a s.242 claim is twofold:

1. The taxpayer will **not pay capital gains tax on these small proceeds** in the year of receipt. Effectively the small proceeds are ignored when considering the total capital gains for that year.
2. The small proceeds will thereafter be **deducted from the base cost of the land in the event of a future disposal**. This means that when the taxpayer sells the rest of the land, the gain on that land will be bigger because the base cost has been reduced.

This will not happen automatically. The taxpayer must make a claim by the first anniversary of 31 January following the tax year of the part disposal if they do not wish to pay tax on the small disposal proceeds.

If the taxpayer does not make a s.242 claim, a capital gain is charged in the normal way – ie by using the part disposal fraction $A/(A + B)$.

➤ **Illustration 3**

Harriet bought a 10-acre paddock of land for £25,000 in January 2008. In March 2015, she sold one acre for £8,000. At this date, the other 9 acres were valued at £75,000. This was her only land sale in the year. In August 2022, Harriet sold the remaining 9 acres of the paddock to a property developer for £110,000.

Calculate the gain arising on this disposal assuming any previous beneficial claims have been made.

In order to calculate the chargeable gains arising to Harriet as a result of these two land sales, the first question is whether the March 2015 sale was a small part disposal. The proceeds were £8,000 and the other 9 acres of land were valued at £75,000 at that point, which means that in 2015 the whole paddock was worth £83,000. Clearly £8,000 is less than 20% of the total value of the field, so the first condition is satisfied.

The second condition is that Harriet's total proceeds from all land sales in the year must be not more than £20,000 – as Harriet made no other land disposals in the year, her total land sale proceeds in 2014/15 were £8,000.

Because both of the conditions have been satisfied, Harriet can make a claim under s.242. There will be no disposal in 2014/15. Harriet will therefore have no CGT to pay on the £8,000 of proceeds received. However, this £8,000 will be deducted from the base cost of the land for a future disposal.

	£
Cost of land	25,000
Less: 'small proceeds'	<u>(8,000)</u>
Base cost for future disposal	<u>17,000</u>

On the sale of the rest of the paddock in August 2022, Harriet's sale proceeds are £110,000.

From the computation above, Harriet's base cost is £17,000. This is made up of two elements – an original cost of £25,000, less a 'negative' cost of £8,000.

	£	£
Proceeds		110,000
Less:		
Original cost	25,000	
Small proceeds	<u>(8,000)</u>	
		<u>(17,000)</u>
Gain		<u>93,000</u>

EXAMPLES

❖ Example 1

Marietta bought 15 acres of land in May 2012 for £850,000.

Marietta sold 6 acres of land in March 2023 for £950,000 (after £50,000 legal and other disposal fees had been deducted). The remaining 9 acres were valued at £1.5 million at that point.

Calculate Marietta's gain.

ANSWERS**✓ Answer 1**

	£
Gross proceeds	1,000,000
Less: Expenses of sale	<u>(50,000)</u>
	950,000
Less: Cost	
$850,000 \times 1,000,000 / (1,000,000 + 1,500,000)$	<u>(340,000)</u>
Capital gain	<u>610,000</u>

CHAPTER 7

SALES OF LEASES

By the end of this chapter you will understand:

- what a 'lease' is
- how to identify whether the lease is a long or short lease
- how to calculate a gain on the sale of a long or short lease

7.1 Basic Definitions

A lease is essentially a **right to use an asset**. Where the asset in question is land or buildings, the lease is the right to occupy the land or buildings for a specified period of time, and usually in return for a specified rent. You may be living in a house or flat under the terms of a lease – ie you have the right to occupy that property for a certain period of time.

You may also have heard of the term 'freehold'. A 'freehold' and a 'lease' are two separate assets. If an individual owns a property as a **freeholder**, this means that the individual **owns the property outright** – ie they own the entire building as well as the land on which that building is situated. A freeholder therefore has more than simply a right of occupation.

A **lease** is therefore a piece of paper that gives the tenant – also called the lessee – a **right to occupy somebody else's property**. As this lease is a valuable asset, leases can be bought and sold, and in this session we shall look at the CGT effects of a tenant selling a lease.

The legal term for **the sale of a lease is the assignment** of a lease. The assignment of a lease is therefore an outright disposal of an existing lease. **The capital sum received is wholly capital gains tax proceeds.** It is a full disposal as the taxpayer will have no rights over the property in the future.

The way we calculate the gain on the assignment of a lease depends on whether the taxpayer is selling a long lease or a short lease. A **long lease** is a lease which has **more than 50 years to run** at the date it is sold. A **short lease has 50 years or less to run** when the taxpayer sells it.

The way we calculate the capital gain on the sale of a **long lease** is by using **normal CGT rules**. We take the proceeds and deduct cost to arrive at the gain.

7.2 Assigning a Short Lease

The calculation of a gain on the assignment of a short lease is slightly more complex. Consider a taxpayer who has a 40-year lease which they acquired in March 2008. The taxpayer therefore has the right to occupy the land or buildings for 40 years from March 2008. The taxpayer sells the lease in March 2023. The taxpayer is essentially selling a piece of paper which thereafter gives the purchaser the right to occupy the property for the remaining duration of the lease. [TCGA 1992, Sch 8](#)

Between March 2008 and March 2023, 15 years have expired. This means that in March 2023, the taxpayer is selling a lease that has 25 years left to run. They are

therefore selling a short lease, and special rules apply. **An asset with a useful life of 50 years or less is called a 'wasting asset'.** A 25-year lease is therefore a wasting asset. Special rules apply to calculate gains on wasting assets. [TCGA 1992, s.44](#)

Our starting point is sale proceeds from which we deduct the base cost of the asset. However, where a wasting asset is being sold, the taxpayer **cannot take a deduction for the whole of the acquisition cost.**

As wasting assets depreciate over time, the taxpayer can only deduct part of the original base cost. The way we calculate the allowable base cost, is by using percentages from the lease **depreciation tables.** [TCGA 1992, Sch 8, para 1\(3\)](#)

The CGT base cost is the original acquisition cost of the lease, multiplied by the fraction:

$$S/P \times \text{original cost}$$

S = % for years of the lease remaining **at the date of sale.**

P = % for years of the lease remaining **at the date of purchase.**

These percentages can be found at Sch 8 TCGA 1992 and also in the Tax Tables.

➤ Illustration 1

A taxpayer bought a 40-year lease in March 2008 for £60,000. In March 2023, the taxpayer sells the lease for £90,000. As 15 years have expired between March 2008 and March 2023, the taxpayer is selling a lease with 25 years left to run. As he is selling a short lease, we need to apply the special rules.

Calculate the amount of chargeable gain using the special rules.

We start with sale proceeds of £90,000, from which we need to deduct the allowable base cost. As the taxpayer is selling a short lease, we multiply cost by the fraction S/P.

However, we cannot simply multiply £60,000 by the fraction of 25 over 40. At this point we must refer to the lease depreciation tables. If you look at your lease depreciation tables, you will see that the relevant percentage for a 25-year lease is 81.100. The relevant percentage for a 40-year lease is 95.457.

The gain is therefore:

	£
Proceeds	90,000
Less: Allowable cost	
60,000 × (81.100/95.457)	(50,976)
Gain	<u>39,024</u>

7.3 Further Points on Lease Depreciation Percentages

If you look at the lease percentages you will see that the percentages are given for whole years only. In order to calculate the percentage if the lease is not an exact number of whole years, **apportionment** is required and this is done on a monthly basis. [TCGA 1992, Sch 8, para 1\(6\)](#)

➤ Illustration 2

A taxpayer bought a 60-year lease on 1 December 2006 for £75,000. At this point he had a long lease. The taxpayer sold the lease on 20 March 2023 for £150,000.

Calculate the gain on the sale of the lease.

As any apportionments will be done on a monthly basis, we first need to decide whether to count the month of March 2023. Schedule 8 tells us, that when **14 days or more** of the month have expired, we can assume the lease has been sold at the end of the month. For apportionment purposes therefore, we can assume the lease was sold on 31 March 2023.

At 31 March 2023, 16 years and 4 months of the original 60 years have expired. The number of years remaining as at 31 March 2023 is therefore 60 years less the amount expired, leaving 43 years and 8 months. As this is less than 50 years, the taxpayer is selling a short lease. This illustrates the point, that a **long lease will eventually become a short lease**, once 50 years or less are remaining.

As the taxpayer is selling a short lease, we need to refer to the lease depreciation tables. The first thing we need to do, is to work out 'S' and 'P' – ie the percentages for the number of years remaining at the date of sale and the date of purchase. The lease had 60 years to run when it was originally acquired.

If you look at your tables, you will see that the percentage for 50 years or more is exactly 100.

The position is slightly more complicated for the number of years left at the date of sale. We need to work out a percentage for 43 years and 8 months. From the table you will see that the percentage for 43 years is 97.107, and the percentage for 44 years is 97.595. Schedule 8 tells us that, where the duration of the **lease is not an exact number of years**, the relevant percentage is found by taking an **appropriate point between these two figures**.

As the number of years in this instance is 43 years and 8 months, we take 8/12ths of the difference between these two figures, and add it to the percentage for 43 years.

$$S = 97.107 + [8/12 \times (97.595 - 97.107)] = 97.432$$

The gain here is therefore:

	£
Proceeds	150,000
Less: Cost	
75,000 × (97.432/100.0)	<u>(73,074)</u>
Gain	<u>76,926</u>

It is often helpful to draw a timeline showing how many years are left on the lease at purchase and sale and then 'depreciate' the cost of the lease as the asset being sold is not the same as that purchased. Some time has elapsed so we must write off some of the cost. This is not done on a 'straight line' basis but instead using the lease percentage tables.

EXAMPLES

❖ Example 1

Lawrence bought a 30-year lease on a piece of land for £10,000 on 31 August 2012. Lawrence sold the lease on 28 February 2023 for £18,000.

Calculate Lawrence's chargeable gain.

ANSWERS

✓ Answer 1

		%
31 August 2012	30-year lease	87.330
28 February 2023	19½-year lease	
	$70.791 + [\frac{1}{2} \times (72.770 - 70.791)]$	71.781
		£
Proceeds		18,000
Less: Cost		
$10,000 \times (71.781/87.330)$		<u>(8,220)</u>
Gain		<u>9,780</u>

CHAPTER 8

GRANTS OF LEASES

By the end of this chapter you will understand:

- what 'granting' a lease means
- how to calculate a capital gain on the grant of a long lease
- how to calculate a capital gain on the grant of a short lease

8.1 Introduction

The grant of a lease is the creation of a new asset. If an individual who owns the freehold of a property grants a lease to a tenant, the tenant has a right of occupation of the freeholder's property for a specified period of time. In essence, the freeholder has created a new asset. The new asset – ie the lease – has been brought into existence for the first time. The individual granting the lease will regain the property rights when the new lease they are granting comes to an end.

In return for being granted a right of occupation, the tenant will pay the freeholder a sum of cash. This sum is called a 'premium'. The premium is a capital sum and will be charged to capital gains tax in the hands of the freeholder. The way we calculate the capital gain, is by **treating the grant of a lease as a part disposal of the freehold**, as the freeholder is not disposing of their entire rights over the property. [TCGA 1992, s.42](#)

There are two different rules to consider here, and the way we calculate the capital gain **depends on whether the lease granted is a long lease or a short lease**. A long lease is a lease in excess of 50 years. A short lease is a lease of 50 years or less.

8.2 Granting a Long Lease

Where a freeholder grants a lease to a tenant, and that lease gives the tenant the right to occupy the property for more than 50 years, we calculate the capital gain using the normal part disposal formula. [TCGA 1992, s.42\(2\)](#)

$$\text{Allowable cost} = A / (A + B) \times \text{acquisition cost}$$

A = the gross amount of the premium paid.

B = the value of the remainder (the 'reversion' or the 'reversionary interest').

This reversion consists of two things. The first is the capital value of the property when it reverts back to the freeholder – ie when the lease has expired. The second is the current value of the right to receive future rents under the lease. [TCGA 1992, Sch 8, para 2](#)

➤ Illustration 1

Eric purchased the freehold of a property for £60,000 in January 2004. In December 2022 he grants a lease to a tenant called Ernest. The lease gives Ernest the right to live in Eric's property for the next 60 years. In return for the grant of the lease, Ernest pays Eric a premium of £100,000. Eric incurs legal fees in connection with the drafting of the lease of £2,000. The value of the freehold reversion in December 2022 is £150,000.

Calculate the chargeable gain arising on the grant of the lease.

The calculation of Eric's capital gain on the grant of this long lease will be as follows:

	£
Gross premium	100,000
Less: Legal fees	<u>(2,000)</u>
	98,000
Less: Cost	
$60,000 \times 100,000 / (100,000 + 150,000)$	<u>(24,000)</u>
Gain	<u>74,000</u>

8.3 Granting a Short Lease

The way we calculate the capital gain on the grant of a short lease, is slightly more complicated. Under the property income rules, if a landlord receives a premium for the grant of a short lease, **part of that premium is chargeable to income tax as property income.**

The **remainder of the premium is chargeable to capital gains tax**, ie [ITTOIA 2005, s.277](#)

$$\text{Capital element} = 2\% \times (N - 1) \times P$$

P = the premium received.

N = the number of years of the lease.

Having identified the amount of the premium that is chargeable to capital gains tax, we calculate the resulting capital gain using the part disposal rules, but this time we change the part disposal formula very slightly. [TCGA 1992, Sch 8, para 5](#)

There is an alternative method to calculate the income taxable on the landlord that you may use of $P \times ((50 - Y)/50)$ where P is the amount of premium and Y is the number of complete years of the lease minus one. If using this method, the capital proceeds are the remainder of the premium. [ITTOIA 2005, s.277](#)

➤ Illustration 2

Eric bought a freehold property for £60,000 in January 2004. Eric grants a lease to Ernest in December 2022, giving Ernest a right to occupy Eric's house for the next 40 years. Eric has therefore granted a short lease to Ernest. Ernest pays a premium of £100,000. Eric incurs legal fees of £2,000 on the grant of the lease and the freehold reversion is valued at £150,000 in December 2022.

Calculate the chargeable gain arising on the grant of the lease.

Remember, when a freeholder grants a short lease to a tenant, part of the premium is chargeable to income tax as property income. Therefore, the first thing we need to do is to **split the premium** of £100,000 into its income tax and CGT components.

$$\text{Capital element} = 2\% \times (40 - 1) \times £100,000 = £78,000$$

This will leave £22,000 of the premium chargeable to income tax as property income in 2022/23.

Note that, alternatively, this could be calculated as follows:

$$\text{Capital element} = £100,000 - (£100,000 \times (50 - 39)/50) = £78,000$$

This 'capital' figure of £78,000 will be the proceeds of sale for CGT purposes.

We next calculate the allowable cost. The grant of a lease out of a freehold, is treated as a part disposal. However, when we are dealing with the grant of a short lease, we use a slightly modified formula:

$$a/(A + B) \times \text{acquisition cost}$$

'A' and 'B' are the same as before – ie the gross premium and the capital value of the reversion. However, **the 'a' in this formula is the part of the premium which is chargeable to capital gains tax.**

The calculation of the gain will therefore be as follows:

	£
Capital element of premium	78,000
Less: Legal fees	<u>(2,000)</u>
	76,000
Less: Cost	
60,000 × 78,000 / (100,000 + 150,000)	<u>(18,720)</u>
Gain	<u>57,280</u>

EXAMPLES

❖ Example 1

Abigail paid a premium of £25,000 to Nigel in August 2022 upon the grant of a 55-year lease on a shop from which Abigail intends to trade.

Nigel had bought the shop in April 2004 for £22,000. The freehold reversion was valued at £75,000 in 2022.

Calculate Nigel's chargeable gain on the grant of the lease.

❖ Example 2

Rikin bought a flat in South London for £95,000 in September 2003. In September 2022 he granted a 12-year lease to Natalie for a premium of £16,000.

The freehold reversion was valued at £94,000 in September 2022.

Calculate Rikin's chargeable gain on the grant of the lease.

ANSWERS**✓ Answer 1**

Grant of long lease = normal part disposal

	£
Premium	25,000
Less: Cost	
$22,000 \times 25,000 / (25,000 + 75,000)$	<u>(5,500)</u>
Capital gain	<u>19,500</u>

✓ Answer 2

Capital element = $2\% \times (12 - 1) \times £16,000 = £3,520$

(Or: Capital element = $£16,000 - (16,000 \times ((50 - 11)/50)) = £3,520$)

	£
Proceeds	3,520
Less: Cost	
$95,000 \times 3,520 / (16,000 + 94,000)$	<u>(3,040)</u>
Capital gain	<u>480</u>

CHAPTER 9

GRANTS OF LEASES – ADVANCED ASPECTS

By the end of this chapter you will understand:

- how to calculate gains on the grant of a short sub-lease out of a short head-lease

9.1 Grant of Short Lease from a Short Lease

Special rules exist to calculate the capital gain when a **short sub-lease** is granted out of a **short head-lease**. [TCGA 1992, Sch 8, para 5](#)

Assume a taxpayer purchased a **40-year** lease on a property on 1 January 2004. The lease will **expire** in January 2044, at which point the right to **use** the property will revert to the **freeholder**.

The taxpayer decides to **sub-let** the property, and on 1 **January 2023** they grant a **10-year sub-lease** to another tenant. The **new** tenant therefore has a right to **occupy** the property until **January 2033**. The **grant** of a lease is a **disposal** for CGT purposes, therefore we need to calculate the **capital gain** arising on the grant of this 10-year sub-lease in January 2023.

Firstly, when a **short lease is granted**, **part** of the premium received by the grantor will be **charged to income tax** as property income as below:

Premium	P
Less: $2\% \times P \times (10 - 1)$	<u>(C)</u>
Taxable property income	<u>X</u>
Or: $P \times ((50 - Y)/50)$	<u>X</u>

The grant of a short lease is treated as a **part disposal** for CGT purposes. However, because this is a part disposal of a lease with 50 years or less to run, when calculating the gain we must **restrict the allowable cost** by using the depreciation table in Sch 8 TCGA 1992. The grant of a short lease out of a short head-lease therefore involves the **interaction of the grant and assignment rules** covered previously.

We **restrict** allowable cost for CGT purposes by using a new formula as below:

$$\text{Cost} \times (s - x)/y$$

s = % for years of head-lease remaining at grant of sub-lease.

x = % for years of head-lease remaining when sub-lease expires.

y = % for years of head-lease remaining at date of acquisition.

➤ **Illustration 1**

Mark acquired a 40-year lease in January 2004 costing £50,000. The lease will expire in January 2044.

In January 2023, Mark granted a 10-year sub-lease to a tenant, John, for a premium of £25,000. The sub-lease will expire in January 2033.

Calculate the property income and capital gain on the grant of the short lease by Mark.

First, as Mark has received a premium in return for granting a short lease, part of the premium will be taxed as property income. This is as follows:

	£
Premium received by Mark	25,000
Less: Capital element	
$2\% \times 25,000 \times (10 - 1)$	<u>(4,500)</u>
Property income	<u>20,500</u>
Or: $£25,000 \times ((50 - 9)/50)$	<u>20,500</u>

Next we turn our attention to the capital gain. The allowable base cost for Mark will be:

Premium paid by Mark $\times (s - x)/y$

	Years	%
s = years remaining at grant of sub-lease in January 2023	21	74.635
x = years remaining at expiry of sub-lease in January 2033	11	50.038
y = years remaining at acquisition of head-lease in January 2004	40	95.457

The gain is as follows:	£
Proceeds	25,000
Less: Cost	
$50,000 \times (\%21 - \%11)/\%40$	
$50,000 \times (74.635 - 50.038)/95.457$	<u>(12,884)</u>
Gain	<u>12,116</u>

In the above we need to recognise that **some** of the premium (ie £20,500) will have been charged to **income tax**. Therefore, if we charge the full amount of the premium to capital gains tax, we are **double taxing** the premium. This must be **deducted** from the chargeable gain:

Gain	12,116
Less: Charged as property income	<u>(20,500)</u>
Chargeable gain	<u>Nil</u>

This has the effect here of reducing the gain to zero. It is important to note that if this happens, **no capital loss is created and there is no possibility of any income tax or CGT being repaid**. Indeed it is quite common for this computation to produce a capital gain of zero because, where the sub-lease is very short, the

majority of the premium will be charged to income tax leaving only a very small capital element.

A similar calculation applies where a short sub-lease is granted from the original **grant** of a short head-lease. In this situation, when calculating the property income assessable on the grant of the sub-lease, a **deduction** is given for a **proportion of the original premium** paid, calculated as:

Property income on the grant of the head-lease $\times$ (Length of sub-lease / Length of head-lease)

This amount is deducted from the property income otherwise assessable on the grant of the sub-lease.

There was no extra deduction for the amount paid for the lease in the illustration above as the original head-lease was assigned not granted.

Tutorial Note:

A lot of people struggle with capital gains on leases. When attempting questions try to use the information in a question to identify which scenario applies.

Where a lease is **granted**, the capital sum received is termed the **premium**. In addition, you are normally given the value of the **reversionary interest** (the 'B' for the part disposal formula 'A/A+B'). 'A' here is the premium received.

Things get more complex where short leases are involved. In particular you may have to use an adjusted version of the part disposal formula for a grant of a 'short out of a long' which is 'a/A+B' where 'a' is the capital portion of the total premium 'A'.

Where a short lease is **assigned** (ie sold), you should **not** see the term premium and there will be no mention of a reversionary interest. In this case the lease depreciation tables need to be used to 'depreciate' the cost.

Finally when **granting** a short sub-lease from a short head-lease, there will be mention of a premium but no reversionary interest. Again the lease depreciation tables are needed to calculate the fall in lease percentages over the duration of the sub-lease.

In your memory jogger for this chapter there is a useful **leases summary** of the main aspects from all the lease chapters.

EXAMPLES

❖ Example 1

Stuart granted a 30-year lease to Suzanne on 1 July 2019 for a premium of £37,500. On 1 July 2022, Suzanne granted a 20-year lease to Sophie for a premium of £30,000. The rents remained the same.

Calculate Suzanne's chargeable gain.

ANSWERS

✓ Answer 1

	£
Premium	37,500
Less: $2\% \times 37,500 \times (30 - 1)$	<u>(21,750)</u>
Property income 2019/20	<u>15,750</u>
ie $\pounds 37,500 \times ((50 - 29)/50)$	
 Premium	 30,000
Less: $2\% \times 30,000 \times (20 - 1)$	<u>(11,400)</u>
ie $\pounds 30,000 \times ((50 - 19)/50)$	18,600
Less: Allowance for premium paid	
$15,750 \times 20/30$	<u>(10,500)</u>
Property income 2022/23	<u>8,100</u>
 Capital gain:	
 Full premium (July 2022)	 30,000
Less: Cost	
$37,500 \times (\%27 - \%7)/\%30$	
$37,500 \times (83.816 - 35.414)/87.330$	<u>(20,784)</u>
	9,216
Less: Property income (above)	<u>(8,100)</u>
Gain	<u>1,116</u>

Tutorial Note:

There is an extra deduction of £10,500 as in this example we have a grant of a short sub-lease from the original **grant** of a short head-lease.

The formula to calculate the allowance for the premium paid is as follows:

Property income on the head-lease $\times$ (Length of sub-lease/Length of head-lease)

CHAPTER 10

CHATELS

By the end of this chapter you will understand:

- what a chattel is
- what 'wasting' and 'non-wasting' chattels are
- the special rules that apply to disposals of non-wasting chattels that are sold for a maximum £6,000
- how to apply the 5/3 rule for non-wasting chattels

10.1 Introduction

The term 'chattel' means '**tangible moveable property**' – ie assets which can be seen, touched and moved.

Chattels include assets such as paintings, antiques, racehorses and computers. Assets such as buildings, pieces of land, leases or shares are not chattels because they cannot be seen, touched and moved. For instance, land and buildings are not moveable assets, and assets such as leases and shares, are intangible assets – ie they cannot be physically seen or touched.

10.2 Wasting Chattels

A wasting chattel is a chattel with a **predictable useful life not exceeding 50 years**. Examples of wasting chattels will be racehorses, computers, or pieces of plant or machinery. HMRC also regard assets such as clocks and watches as 'machinery' for capital gains tax purposes. This means that an asset such as an antique grandfather clock will be regarded as a wasting asset for CGT purposes, as it falls within the definition of a 'machine'. [TCGA 1992, s.44](#); [TCGA 1992, s.44\(1\)\(c\)](#)

Wasting chattels are exempt assets for CGT purposes. [TCGA 1992, s.45\(1\)](#)

This means that if a taxpayer buys a racehorse which turns out to be successful, and they subsequently sell it at a substantial capital gain, that gain is exempt from CGT because it is a gain on the sale of a wasting chattel. Clocks and watches are also exempt from CGT as they are chattels and as they fall within the definition of a machine, they are also wasting assets.

There is **one instance** when wasting chattels are **not exempt** from CGT. Wasting chattels will be chargeable to CGT if they are used in a trade and **capital allowances have been or could have been claimed on them**. Therefore, if a taxpayer makes a gain on the sale of a computer or a piece of machinery which has been used in their trade, the gain is a chargeable gain because the trader would have claimed capital allowances on those assets. In this case, the chattels rules we are about to look at will apply. [TCGA 1992, s.45\(2\)](#)

10.3 Non-Wasting Chattels: Proceeds ≤ £6,000

A non-wasting chattel is tangible moveable property that will last for **more than 50 years** – ie assets such as paintings, antiques and jewellery etc.

The first rule to consider in relation to non-wasting chattels is the '£6,000 rule'. If a non-wasting chattel is sold, and **proceeds of sale are less than or equal to £6,000**, any resulting capital **gain is exempt** from CGT. [TCGA 1992, s.262\(1\)](#)

➤ Illustration 1

A painting was bought for £200 and is sold for £5,600. The vendor has a capital profit of £5,400.

Calculate the chargeable gain on the sale of the painting.

Because this is a gain on the sale of a non-wasting chattel, and the disposal proceeds do not exceed £6,000, the gain of £5,400 will not be charged to CGT.

Remember that certain assets are always exempt from capital gains tax, regardless of the disposal proceeds. These assets will include cars, or decorations for valour etc.

10.4 Non-Wasting Chattels: Loss with Proceeds ≤ £6,000

We next look at the special rule in relation to **capital losses**. Assume a non-wasting chattel, such as a painting or antique, is sold and realises disposal proceeds of less than £6,000. This time assume that a loss arises. To calculate the allowable loss for CGT purposes, the rules assume that the taxpayer has sold the non-wasting chattel for exactly £6,000. This means that we are **pretending that gross disposal proceeds are £6,000**. [TCGA 1992, s.262\(3\)](#)

➤ Illustration 2

A taxpayer buys a painting for £8,000. He sells it for £4,000, and incurs expenses of sale of £400.

Calculate the chargeable gain/allowable loss on the sale of the painting.

The cash loss is £4,400 (4,000 – 400 – 8,000). However, for CGT purposes, in order to calculate the allowable loss, we must assume that gross proceeds were £6,000.

	£
Proceeds (deemed to be 6,000)	6,000
Less: Expenses of sale	<u>(400)</u>
	5,600
Less: Cost	<u>(8,000)</u>
Allowable loss	<u>(2,400)</u>

The allowable loss of £2,400 can be set against other gains in the same year, or carried forward in the normal way. The application of the £6,000 rule restricts the allowable loss, but **cannot turn a loss into a gain**.

Therefore if an asset costing £6,000 or less is sold for less than £6,000, and a loss arises, the taxpayer will be left with neither a gain nor a loss – ie their gain or loss will be zero.

10.5 Non-Wasting Chattels: The 5/3rds Rule

The 5/3 rule applies if a non-wasting chattel is sold, **disposal proceeds exceed £6,000, but the original acquisition cost was less than £6,000**. [TCGA 1992, s.262\(2\)](#)

We first calculate the chargeable gain in the normal way – ie proceeds less original cost to give a gain. However, this gain **cannot exceed** the gain using the following formula:

$$5/3 \times (\text{Gross proceeds} - £6,000)$$

This means that when calculating the gain on the sale of a chattel where proceeds exceed £6,000 but original cost was less than £6,000, we need to do **two computations**. The first computation calculates the gain in the normal way, whilst the second computation calculates the gain using the 5/3 rule. Having calculated two capital gains, the **lower** of these will be chargeable.

➤ Illustration 3

Tom inherited an antique vase on the death of his uncle in April 2003. The value of the vase in April 2003 – the 'probate value' – was £3,000. Tom sold the vase in February 2023 for gross proceeds of £8,400. He incurred expenses of sale of £300.

Calculate the chargeable gain on the sale of the vase.

In order to calculate Tom's chargeable gain, we will first calculate the capital gain in the usual way.

	£
Gross proceeds	8,400
Less: Expenses of sale	(300)
Net proceeds	8,100
Less: Cost (ie 'probate value')	(3,000)
Gain	5,100

As we are dealing with the sale of a non-wasting chattel, where proceeds are more than £6,000 but acquisition cost was less than £6,000, we need to **apply the 5/3 rule**.

$$5/3 \times (8,400 - 6,000) = 4,000$$

The lower of the two gains is taken ie £4,000.

Note we only use the 5/3 rule, where the asset **originally cost less than £6,000**. If an asset is bought and sold for more than £6,000, we simply calculate the gain in the normal way, by taking proceeds less cost.

EXAMPLES

❖ Example 1

Julia sold 2 assets in January 2023 as follows:

	Cost	Proceeds
	£	£
Antique desk	7,000	4,000
Rare manuscript	1,000	9,000

Calculate Julia's chargeable gains.

ANSWERS

✓ Answer 1

	£
<u>Desk</u>	
Proceeds (deemed)	6,000
Less: Cost	<u>(7,000)</u>
Allowable loss	<u>(1,000)</u>
 <u>Manuscript</u>	
Proceeds	9,000
Less: Cost	<u>(1,000)</u>
Gain	<u>8,000</u>
 Restrict to:	
$5/3 \times (9,000 - 6,000)$	5,000
Less: Loss on desk	<u>(1,000)</u>
Chargeable gains	<u>4,000</u>

CHAPTER 11

VALUATION, CONNECTED PERSONS AND INTER-SPOUSE TRANSFERS

By the end of this chapter you will understand:

- how to value quoted securities
- who is a 'connected' person
- how to deal with transactions with connected persons
- the special rules on using losses on disposals to connected persons
- the 'no gain, no loss' rule that applies to inter-spouse transfers
- how to reduce the CGT liability for a family
- the rules that apply to calculating gains where there is a series of transactions

Throughout this manual, including this chapter, the word 'spouse' means husband, wife and civil partner.

11.1 Valuation Rules

There are several situations in which the market value of an asset may need to be determined for capital gains tax purposes. For example, on the part disposal of an asset where a valuation is needed in respect of the part retained or when there is a transaction between connected persons (which we will look at later in this chapter). [TCGA 1992, s.272\(1\)](#)

The open market value of an asset is **the price which the asset might reasonably be expected to fetch if sold in the open market.**

There are special rules for valuing certain types of assets, such as **quoted shares or units in authorised unit trusts.**

11.2 Quoted Shares and Unit Trusts

To value quoted shares we look at the **official list published by the Stock Exchange** at the relevant date. The official list of share prices is published on a daily basis in financial journals such as the Financial Times. [TCGA 1992, s.272\(3\)](#)

The Stock Exchange official list does not simply give **one** price for quoted shares. The official list gives the closing 'bid' prices and closing 'offer' prices of all quoted shares and securities. What is quoted in the Financial Times is the **'bid to offer spread'**.

The 'bid' price of a share is the price at which the broker buys from the customer. The 'offer' price of a share is the price at which the broker sells to the customer. The difference in prices is the way in which the broker makes a profit.

To value the shares for CGT purposes we take **the average** of the bid and offer prices.

➤ Illustration 1

Assume that a taxpayer owns shares in a quoted company called OTL plc. At the date of the transaction, OTL plc shares are quoted at 150p to 158p.

Calculate the value of the OTL plc shares.

In order to calculate the value of the OTL plc shares, we simply add together the two quoted prices and divide by two.

The valuation is therefore 154p per share.

This method of valuation only applies for **quoted shares – it does not apply for unit trusts**. We simply value unit trusts by taking the **lower of the bid and offer prices quoted**. This is the 'bid' price – ie the price at which the investor could sell the units to the broker. [TCGA 1992, s.272\(5\)](#)

11.3 Connected Persons

There are a number of anti-avoidance provisions to prevent taxpayers from obtaining tax advantages, by entering into transactions with 'connected persons'.

Section 286 TCGA 1992 identifies persons with whom we are 'connected' for CGT purposes. A taxpayer is connected with his or her **spouse**. The term 'spouse' should be taken to include a civil partner. A taxpayer is also connected with their **relatives**. 'Relatives' include **ancestors** such as parents or grandparents. Relatives also include **lineal descendants** such as children or grandchildren, and brothers or sisters. [TCGA 1992, s.286](#)

A taxpayer is also connected with any **relatives of their spouse**. These include brothers-in-law or sisters-in-law, being the brothers or sisters of one's spouse. Relatives of a spouse also include one's mother-in-law or father-in-law, so these people are also treated as connected persons.

Finally a taxpayer is connected with **spouses of their relatives**. For example, these include a son-in-law or daughter-in-law being spouses of one's children, or a step-father, being the spouse of one's mother. A taxpayer is not connected with their aunts, uncles, cousins, nieces or nephews, as they are not relatives or lineal ancestors for CGT purposes.

Section 286 extends the definition of connected persons to cover certain other situations.

An individual is connected with a **company that they control**. An individual has control of a company, if they have power to exercise **more than 50% of the voting rights**.

A settlor of a trust is connected with the trustees of that settlement. Finally, a partner is connected with their **fellow business partners and the business partner's relatives** – ie their spouses, ancestors and descendants etc.

11.4 Transactions with Connected Persons

All transactions between 'connected persons' take place at market value for capital gains tax purposes. The only **exception** to this is transactions between **spouses** which take place at 'no gain, no loss'. [TCGA 1992, ss.17 and 18](#); [TCGA 1992, s.58](#)

➤ Illustration 2

A taxpayer transfers an asset to his daughter. The asset is worth £100,000 at the date of the transfer, but the daughter only pays her father £60,000 for the asset.

Discuss the capital gains tax implications of the transfer for Dad and his daughter.

This is a **'sale at undervalue'** – ie Dad is selling the house to his daughter for less than its present market value.

This is a disposal by Dad for CGT purposes. As he is connected with his daughter for CGT purposes, the **deemed proceeds in the CGT computation are the market value** of the asset at the date of the transfer – in this case £100,000. From this we deduct Dad's cost, to give him a gain.

When preparing the donor's CGT computation, we ignore the actual amount of cash changing hands. This is because all transactions between connected persons take place at market value, irrespective of the actual consideration paid.

The **deemed proceeds of £100,000 now becomes the daughter's base cost** for CGT purposes. The computation would have been exactly the same if the transfer had been an outright gift – ie if no cash had changed hands between the two parties. An outright gift is a disposal for capital gains tax purposes, with deemed proceeds being equal to the market value of the asset at the date of the gift.

11.5 Losses on Disposals to Connected Persons

There is a special rule to deal with transactions between connected persons which give rise to a capital loss.

Under normal circumstances, a loss must be set against any gains in the year, or carried forward against future gains. This is not the case when the loss arises on a transaction between connected persons. **Where a disposal to a connected person gives rise to a loss, that loss may only be used against gains on future disposals to the same connected person.** The future disposal could be in the same tax year or in a later tax year. This rule is to prevent a taxpayer from deliberately generating artificial losses in order to reduce their CGT liability. [TCGA 1992, s.18\(3\)](#)

➤ Illustration 3

Dad transfers an asset to his daughter when it is worth £100,000. The daughter pays Dad £60,000 for the asset. If Dad had originally paid £120,000 for the asset, the computation gives rise to a capital loss of £20,000.

How can Dad utilise the capital loss of £(20,000)?

The only way that Dad can utilise this loss of £20,000, is to make a future transfer of an asset to his daughter on which a capital gain will be generated. Otherwise the loss is wasted.

11.6 Inter-Spouse Transfers – The 'No Gain, No Loss' Rule

When an asset is transferred between spouses, there is a disposal by the donor for CGT purposes. However, **this disposal is deemed to take place at 'no gain, no loss'** – ie neither a gain nor a loss arises to the donor as a result of the disposal. [TCGA 1992, s.58](#)

This 'no gain, no loss' rule **only applies to disposals between spouses**. The rule does not apply to transfers of assets between partners who are not married.

When an asset is transferred between spouses, the donee spouse – ie the person receiving the asset – is deemed to have bought that asset from their spouse for their spouse's historic base cost (as this will be the amount which produces neither a gain nor a loss for CGT).

➤ Illustration 4

In March 2023, Mary transferred a piece of land to her husband Jeffrey. Mary had bought the land for £20,000 in September 2004.

Calculate the chargeable gain for Mary and the base cost for Jeffrey.

	£
Deemed proceeds	20,000
Less: Cost	<u>(20,000)</u>
Gain	<u>Nil</u>

Because this is a disposal between spouses, it takes place at 'no gain, no loss'. Mary's capital gain will therefore be zero. Jeffrey is deemed to have paid Mary such an amount so as to produce a gain of nil. Jeffrey is therefore treated as having paid Mary £20,000 in March 2023 for the asset. This figure is exactly equal to Mary's cost.

When Jeffrey comes to sell the asset, his base cost for CGT purposes will be £20,000.

11.7 Separating Spouses

This 'no gain, no loss' treatment **applies provided the couple are living together and applies until the end of the tax year in which the couple separate**. For example, if a couple separate part way through the tax year 2022/23, any transfers between them up until 5 April 2023 take place at no gain, no loss. 'No gain, no loss' treatment does not apply after 5 April 2023 because the couple are separated. [TCGA 1992, s.58\(1\)](#)

However, the couple are legally married or civil partners until the date of divorce (for married couples) or dissolution (for civil partners). This means that after separation the spouses are **not connected persons**.

As a result, transfers between spouses who are not living together which occur after the end of the tax year of separation but before divorce or dissolution take place with **proceeds being deemed to be equal to the market value** of the asset.

This applies up to the date the divorce is finalised with the decree absolute or the date of dissolution. Thereafter transactions take place as between independent persons.

11.8 CGT Planning

In order to reduce the CGT liability for the family, it is good tax planning to try to ensure that both spouses use their annual exempt amount each tax year. Therefore, if one spouse owns no chargeable assets, and does not make use of their CGT annual exempt amount, a 'no gain, no loss' transfer, followed by a sale

of the asset, can ensure that the annual exempt amount is utilised and brings down the overall tax bill.

'No gain, no loss' transfers can also be utilised to enable brought forward losses to be offset efficiently.

Finally, if one spouse has unused basic rate band and the other is a higher or additional rate taxpayer, 'no gain, no loss' transfers can be used to ensure gains are realised by the spouse who is charged to tax on the gains at the lowest rate.

➤ Illustration 5

A taxpayer owns 1,000 shares in a company. The shares are currently worth £30,000. The taxpayer wishes to sell them, and if he does, he will make a capital gain of £18,000. This is above the annual exempt amount, so the taxpayer will pay CGT on the disposal. Before the sale takes place, the taxpayer gives half of the shares to his wife. This is a 'no gain, no loss' transfer, so no tax will arise.

Explain the CGT liability arising for both husband and wife if they now sell the shares.

Both spouses now have 500 shares. The husband sells his shares, and realises a gain of £9,000. His wife then sells her shares, and her gain will be the same – ie £9,000. Both gains are covered by each taxpayer's annual exempt amount. This is a very common way of reducing the overall CGT liability.

11.9 Series of Transactions

Where a taxpayer makes a 'series' of disposals, either to one connected person or to several persons connected with him, the anti-avoidance rules in ss.19 and 20 TCGA 1992 must be considered. Section 19 tells us that, where a taxpayer enters into two or more transactions which are 'linked', we need to apply some special rules to calculate the resulting capital gains. [TCGA 1992, s.19](#)

Transactions are 'linked' for the purpose of s.19 if they **occur within six years of one another**.

Capital gains are calculated by using an **appropriate proportion of the 'aggregated market value'**. The effect of the rules is to require the taxpayer to go back and recalculate earlier capital gains, with the aim of preventing the artificial reduction of gains by using a series of transactions to one or more connected persons.

➤ Illustration 6

Bev owns 6,000 shares in Bev Co Ltd. Bev bought the shares for £120,000 in May 2002. Bev has a 60% holding, and as this is more than 50%, Bev will have control of the company.

It is now August 2022 and Bev wants to give the shares to her son Jason. The 6,000 shares are currently valued at £420,000.

If Bev goes ahead with this transfer, she will generate a capital gain of £300,000, being the market value of the shares, less their original base cost. Bev wonders whether it is possible to reduce this capital gain, by **giving the shares to Jason in two tranches** at two different times.

She decides to give Jason 2,000 shares – ie a 20% holding – immediately. A 20% holding in the company is worth £80,000. A few weeks later, Bev will give Jason her remaining 40% – ie the other 4,000 shares. A 40% holding in the company is worth £180,000. These share valuations are based on the principle that shares out of a 40% holding are worth considerably less than shares out of a 60% holding, because a 40% holding does not give the shareholder control of the company.

Calculate the capital gains on the two transactions, firstly ignoring any anti-avoidance provisions and secondly, taking the s.19 TCGA 1992 provisions into account.

August 2022: 2,000 shares to Jason

	£
MV in August 2022	80,000
Less: Cost	
120,000 × 20/60	(40,000)
Gain	<u>40,000</u>

September 2022: 4,000 shares to Jason

MV in September 2022	180,000
Less: Cost	
120,000 × 40/60	(80,000)
Gain	<u>100,000</u>

Total gains (40,000 + 100,000)	<u>140,000</u>
--------------------------------	----------------

Bev's total gain on the gift of the two tranches of shares to Jason is £140,000. This is considerably lower than the gain of £300,000 which would have arisen had Bev given away all the shares at the same time.

As this is a very simple – and very artificial – way of avoiding capital gains tax, there is an **anti-avoidance provision** which prevents this from working.

On the first disposal in August 2022 of 2,000 shares, Bev's gain will be as we originally calculated – ie £40,000. However, if Bev subsequently **disposes of more shares to either the same person – ie Jason – or to another person connected with Bev within six years**, then the anti-avoidance provisions will take effect.

Bev gave some more shares to Jason in September 2022. The anti-avoidance rules in s.19 TCGA 1992 will therefore be applied and revised computations of the gains which arose in August 2022 and September 2022 must be prepared.

In August 2022 the sales proceeds for the 2,000 shares given to Jason will be an 'appropriate proportion' of the market value at that date of all of the assets disposed of. The assets given away in the two transactions looked at together, are 6,000 shares in Bev Co Limited. These 6,000 shares have a total value of £420,000.

Therefore in August 2022:

Deemed proceeds = $2,000/6,000 \times 420,000 = £140,000$

A similar calculation is done in respect of the gift to Jason in September 2022. The revised gains will be as follows:

August 2022

	£
Proceeds	140,000
Less: Cost	
$2000/6000 \times 120,000$	<u>(40,000)</u>
Revised gain	<u>100,000</u>

September 2022

Proceeds	280,000
Less: Cost	
$4000/6000 \times 120,000$	<u>(80,000)</u>
Gain	<u>200,000</u>

If we add these together, the total gains chargeable on Bev in 2022/23 will be £300,000. These aggregated gains are exactly the same as would have been the case had Bev simply transferred all the 6,000 shares at the same time. The only way that Bev could have avoided falling foul of s.19, was to leave a period of more than six years between the two transfers to Jason.

EXAMPLES

❖ Example 1

Sally sold 5,000 shares in Naxon plc to her daughter for £5,000 on 1 June 2022. On that day, the shares were quoted at 275p to 290p. The shares were traded at 272p, 278p and 284p.

Sally had paid £6,000 for the shares in October 2012.

Calculate the gain (or loss) arising on the disposal.

❖ Example 2

Jamal makes the following gifts to members of his family in 2022/23:

Asset	Given to	Date	Gain/(Loss) £
Shares	Grandson	1.7.22	6,000
Cottage	Daughter	1.8.22	(5,000)
Picture	Son	1.9.22	(4,000)
Land	Son	1.10.22	3,500

Calculate Jamal's gains.

❖ Example 3

Charlotte invites the following people to her 40th birthday party:

- a. Husband Henry
- b. Uncle George
- c. Henry's sister Henrietta
- d. Financial adviser Percy
- e. Mother-in-law Isabel
- f. Best friend Tamsin

Which of the people are connected with Charlotte for CGT purposes?

❖ Example 4

Lars gave an antique vase to his civil partner Steffan in May 2015, when it was worth £5,000. Lars had bought the vase in July 2013 for £4,000.

Steffan sold the vase in August 2022 for gross proceeds of £7,200. He incurred a valuation fee of £200 on the sale.

Calculate Steffan's chargeable gain.

ANSWERS

✓ Answer 1

	£
Sale Proceeds (MV) (Working)	14,125
Less: Cost	<u>(6,000)</u>
Gain	<u>8,125</u>

Working

Market value is $(275 + 290)/2 = 282.5$

so $5,000 \times 282.5 = 14,125$

✓ Answer 2

	£	£
Gain on shares given to grandson (July 2022)		6,000
Loss on cottage given to daughter	<u>(5,000)</u>	
C/f against future gains on gifts to daughter		
Loss on picture given to son (Sept 2022)	<u>(4,000)</u>	
Gain on land given to son (Oct 2022)	<u>3,500</u>	
Net loss remaining	<u>(500)</u>	
C/f against future gains on gifts to son		
Gains		<u>6,000</u>

✓ Answer 3

	Connected	
	Yes	No
a. Husband Henry	X	
b. Uncle George		X
c. Sister-in-law Henrietta	X	
d. Financial adviser		X
e. Mother-in-law Isabel	X	
f. Best friend Tamsin		X

✓ **Answer 4**

	£
<u>Transfer by Lars (May 2015):</u>	
Deemed proceeds	4,000
Less: Cost	<u>(4,000)</u>
No gain, no loss	<u>Nil</u>
 <u>Disposal by Steffan (August 2022):</u>	
Gross proceeds	7,200
Less: Expenses	<u>(200)</u>
Net proceeds	7,000
Less: Cost (above)	<u>(4,000)</u>
Gain	<u>3,000</u>
 Restrict to:	
$5/3 \times (7,200 - 6,000)$	<u>2,000</u>

CHAPTER 12

SHARES AND SECURITIES – MATCHING RULES

By the end of this chapter you will understand:

- how to apply the 'matching rules' to work out which shares have been sold
- the 's.104' pool and which shares go in it
- how to calculate capital gains for disposals of shares
- cryptocurrency gains

12.1 Introduction

In this chapter we shall examine how we calculate capital gains on sales of shares. Before we examine the treatment of shares, we will consider why we need special rules in the first place.

Consider a taxpayer who has been buying shares in a quoted company called XYZ Plc for a number of years. The share purchases have been as follows:

Date	Shares	Cost £
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	<u>4,000</u>	<u>20,000</u>
Total	<u>10,000</u>	<u>39,000</u>

The taxpayer currently has 10,000 shares, which have been acquired in four tranches between 2002 and 2016 and the total cost of the taxpayer's shareholding is £39,000.

In August 2022, the taxpayer sells 6,000 of the XYZ Plc shares for £36,000. His capital gain will therefore be:

	£
Proceeds	36,000
Less: CGT base cost	<u>(?)</u>
Capital gain	<u>X</u>

In order to calculate the chargeable gain arising on the sale of these 6,000 shares, we need to identify their base cost. To calculate the base cost, **we need to identify which shares the taxpayer has sold.**

The share 'matching' rules determine the order in which shares are deemed to have been sold. The 'matching' rules we are about to study, **apply for individuals only.** There are different matching rules for disposals of shares by companies.

Also note that the 'matching' rules only apply to shares **in the same class in the same company.** We should never mix up different types of shares in different companies. Indeed, with shares of different types there is no need for matching rules because there is not the same difficulty telling them apart.

12.2 The Share Matching Rules

There are 3 matching rules, and we shall cover them in their order of priority: [TCGA 1992, s.106\(A\)](#)

1. If an individual disposes of shares, they are first deemed to have sold any shares they acquired on the **same day**. [TCGA 1992, s.105](#)
2. Next, the shareholder is deemed to have sold any shares they acquired in the **following 30 days**. This rule was introduced to prevent the common tax planning practice known as 'bed and breakfasting'. [TCGA 1992, s.106A\(5\)](#)
3. Finally, the disposal will be matched with all other share acquisitions which are 'pooled' together and form one asset for CGT purposes. This asset is called the **'s.104 pool'**.

If there are multiple acquisitions in the s.104 pool, each share in that pool will be treated as having a base cost equal to the **average cost of the shares in the pool** as at the date of the disposal.

➤ Illustration 1

Geoff has shares in XYZ Plc, acquired over a number of years. The share purchases have been as follows:

Date	Shares	Cost £
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	4,000	20,000

On 15 August 2022, Geoff sold 6,000 shares for £36,000.

Calculate the gain in 2022/23 and show how the matching rules are applied.

To calculate Geoff's capital gain, we first identify which shares Geoff has sold, by applying the share matching rules.

Geoff sold 6,000 shares on 15 August 2022. Our first question is 'did Geoff buy any shares on the **same day?**' – ie did he buy any shares on 15 August 2022? If he did, these shares will be sold in priority to any others. The answer to this question is 'no'.

We then move to the second matching rule, and ask whether Geoff bought any shares in the **30 days following** the date of disposal.

The 30 days following the disposal, runs from 16 August 2022 to 14 September 2022. The answer to this question is again 'no'.

We now move to the last matching rule. The third match is with any other shares acquired. Geoff has bought several lots of shares. These shares form a 'pool' and Geoff is treated as selling his shares from the pool on a pro-rata basis.

The s.104 pool is therefore as follows:

Date	Shares	Cost £
December 2002	1,000	2,000
June 2007	3,000	9,000
September 2011	2,000	8,000
December 2016	<u>4,000</u>	<u>20,000</u>
Total	10,000	39,000
Less: Sale (August 2022)	<u>(6,000)</u>	<u>(23,400)</u>
Balance c/f	<u>4,000</u>	<u>15,600</u>

His capital gain will therefore be:

Proceeds	36,000
Less: CGT base cost (above)	<u>(23,400)</u>
Capital gain	<u>12,600</u>

Note that as Geoff has sold 6,000 of the 10,000 shares in the pool (ie 60%), we take 60% of the total base cost.

➤ **Illustration 2**

Glenys has bought shares in ABC Plc as follows:

Date	Shares	Cost £
21 December 2005	20,000	10,000
18 June 2012	40,000	80,000
29 March 2023	10,000	40,000

On 14 March 2023, Glenys sold 20,000 shares for £75,000. She made no other disposals in the year.

Calculate the chargeable gain in 2022/23.

To calculate Glenys's capital gain, we first identify which shares she has sold.

Glenys sold 20,000 shares on 14 March 2023. Our first question is 'did Glenys buy any shares on the **same day?**' – ie did she buy any shares on 14 March 2023? The answer to this question is 'no'.

We then move to the second matching rule, and ask whether Glenys bought any shares in the **30 days following** the date of disposal.

The 30 days following the disposal, runs from 15 March 2023 to 13 April 2023. The answer to this question is '**yes**' as Glenys bought 10,000 shares on 29 March 2023. **These 10,000 shares are therefore sold first.**

The capital gain/loss on the sale of these 10,000 shares is as follows:

	£
Proceeds ($10,000/20,000 \times £75,000$)	37,500
Less: Cost (29.3.23)	<u>(40,000)</u>
Capital loss	<u>(2,500)</u>

The last match is with all other shares acquired which are in the **s.104 pool**. The s.104 pool is as follows:

Date	Shares	Cost £
21 December 2005	20,000	10,000
18 June 2012	<u>40,000</u>	<u>80,000</u>
Total	60,000	90,000
Less: Sale (March 2023)	<u>(10,000)</u>	<u>(15,000)</u>
Balance c/f	<u>50,000</u>	<u>75,000</u>

Glenys's capital gain will therefore be:

Proceeds ($10,000/20,000 \times £75,000$)	37,500
Less: CGT base cost (above)	<u>(15,000)</u>
Capital gain	<u>22,500</u>

Glenys has therefore sold 2 assets:

1. 10,000 shares bought on 29 March 2023; and
2. 10,000 shares from the s.104 pool.

Her net gain on sale is therefore:

Gain on s.104 pool shares	22,500
Less: Loss on shares bought on 29.3.23	<u>(2,500)</u>
Net chargeable gain	<u>20,000</u>

12.3 Cryptocurrencies

A cryptocurrency is a relatively new form of electronic money or digital currency, designed to be an online medium of exchange.

Unlike traditional currencies such as sterling or dollars, cryptocurrencies are not reliant on any central authority, such as a government or bank, to uphold or maintain them.

A cryptocurrency can be used to buy goods or services, but in most cases individuals seem to hold it as an investment.

Bitcoin is the perhaps the best-known form of cryptocurrency but there are others (such as Ether, Ripple and Stellar).

If an individual buys and sells cryptocurrency, **any profits or losses are within the capital gains rules.**

Gains are chargeable to CGT at 10% or 20% (depending on income).

Losses are treated like any other capital losses and are deductible against general capital gains (not just cryptocurrency gains) in the same year and the excess loss carried forward.

The share matching rules apply to disposals of cryptocurrencies of the same class.

There is a different 'pool' for each type of cryptocurrency an individual owns.

➤ **Illustration 3**

Laith is a Bitcoin investor and his Bitcoin purchases in recent years have been as follows:

Date of purchase	Amount	Cost £
15 April 2013	10	2,500
28 November 2016	25	25,000
4 December 2017	3	54,000
12 December 2019	20	80,000
5 January 2021	1	45,000
24 May 2022	<u>1</u>	<u>36,000</u>
Total	<u>60</u>	<u>242,500</u>

On 24 May 2022 he sold 4 Bitcoin for £136,000 (net of selling costs).

Calculate the chargeable gain (or allowable loss) arising.

The share matching rules apply.

First match: 1 Bitcoin bought on 24 May 2022 (same day)

Second match: 3 Bitcoin in the S.104 pool

Chargeable gains/losses:

		£	£
1st match:			
Proceeds	$\frac{1}{4} \times £136,000$	34,000	
Less: Cost		<u>(36,000)</u>	
Loss			(2,000)
2nd match:			
Proceeds	$\frac{3}{4} \times £136,000$	102,000	
Less: Cost (W)		<u>(10,500)</u>	
Gain			<u>91,500</u>
Net gain			<u>89,500</u>

Working: S.104 pool

	Amount	£
15 April 2013	10	2,500
29 November 2016	25	25,000
4 December 2017	3	54,000
12 December 2019	20	80,000
5 January 2021	<u>1</u>	<u>45,000</u>
	59	206,500
Less: Sale 24 May 2022	<u>(3)</u>	<u>(10,500)</u>
Pool c/f	<u>56</u>	<u>196,000</u>

EXAMPLES

❖ Example 1

Ricardo sold 2,000 shares (a 2% holding) in Widget Co Ltd for £16,000 on 1.10.22. His shares had been acquired as follows:

Date	No.	Cost £
1.12.19	1,000	4,000
1.12.20	1,000	5,000
1.12.21	1,000	6,000
1.12.22	1,000	8,500

Calculate Ricardo's chargeable gain.

❖ Example 2

Anna had the following share transactions in ABC plc:

Date	Event	No.	Cost £	Proceeds £
1.3.23	Buy	10,000	15,000	
21.3.23	Sell	8,000		16,000
21.3.23	Buy	4,000	10,000	
28.3.23	Buy	6,000	18,000	

Calculate Anna's gain/(loss) on the sale in March 2023.

ANSWERS

✓ Answer 1

2,000 shares sold 1.10.22:

Same day?	No
Next 30 days?	No
S.104 pool	Yes

Date	Shares	Cost £
1.12.19	1,000	4,000
1.12.20	1,000	5,000
1.12.21	<u>1,000</u>	<u>6,000</u>
Total	3,000	15,000
Less: Sale (1.10.22)	<u>(2,000)</u>	<u>(10,000)</u>
	1,000	5,000
1.12.22	<u>1,000</u>	<u>8,500</u>
Balance c/f	<u>2,000</u>	<u>13,500</u>

Ricardo's capital gain will therefore be:

Proceeds	16,000
Less: CGT base cost (above)	<u>(10,000)</u>
Capital gain	<u>6,000</u>

✓ Answer 2

8,000 shares sold 21.3.23:

Same day?	Yes	4,000 bought 21.3.23
Next 30 days?	Yes	<u>4,000</u> bought 28.3.23
		<u>8,000</u>

	£	£
<u>Disposal 1 – sale of 4,000 shares bought 21.3.23</u>		
Proceeds		
$16,000 \times (4,000/8,000)$	8,000	
Less: Cost (21.3.23)	<u>(10,000)</u>	
Loss	<u>(2,000)</u>	(2,000)
<u>Disposal 2 – sale of 4,000 shares bought 28.3.23</u>		
Proceeds		
$16,000 \times (4,000/8,000)$	8,000	
Less: Cost (28.3.23)		
$18,000 \times (4,000/6,000)$	<u>(12,000)</u>	
Loss	<u>(4,000)</u>	<u>(4,000)</u>
Total loss		<u>(6,000)</u>

CHAPTER 13

BONUS ISSUES AND RIGHTS ISSUES

By the end of this chapter you will understand:

- what happens when free shares are given to a shareholder under a 'bonus' issue
- what happens when a shareholder buys further shares under a rights issue
- how bonus issues and rights issues affect the calculation of a capital gain

13.1 Bonus Issues

A bonus issue is a **free issue of shares** by a company to its shareholders. Bonus shares are issued to shareholders in proportion to their existing holdings. [TCGA 1992, s.127](#)

For example, if a taxpayer owns 20,000 shares in ABC Plc and the company announces a '1 for 5 bonus issue', the shareholder will receive 1 bonus share for every 5 shares they already own. The shareholder will be given 4,000 free shares, taking their holding up to 24,000 shares. There is no cost involved – the shares are issued free of charge.

A company will announce a bonus issue in order to reduce the share price and to make the shares more marketable or more tradeable.

To illustrate this, assume that before the bonus issue the 20,000 shares had a market value of £120,000. Before the bonus issue, the shares were worth £6 each.

After the bonus issue, even though the shareholder has more shares, their total holding is still worth £120,000. A bonus issue will therefore increase the number of shares, but will not affect the overall value. After the bonus issue, the shareholder has 24,000 shares, valued in total at £120,000. The price per share has therefore come down to £5.

13.2 Effect on the Computation

Bonus shares are treated as having been **acquired at the same time as the original shares** for CGT purposes.

➤ Illustration 1

Nita buys 10,000 shares in Cobra Ltd in May 2005 for £1 per share. A further 4,000 shares are acquired in January 2008 for £1.50 per share and another 2,000 are acquired in October 2012 for £2.50 per share. These are all allocated to the s.104 pool.

Cobra Ltd announced a '1 for 2 bonus issue' in December 2022. Nita currently has 16,000 shares, so she is entitled to receive 8,000 free shares.

Nita sells 6,000 shares in March 2023 for £4.50 per share.

Calculate the capital gain in 2022/23.

The shares are allocated to the existing shares to which they relate. This means that the 8,000 also go into the s.104 pool.

	Shares	Cost £
May 2005	10,000	10,000
January 2008	4,000	6,000
October 2012	<u>2,000</u>	<u>5,000</u>
	16,000	21,000
Bonus 1:2 December 2022	<u>8,000</u>	<u>Nil</u>
Total	<u>24,000</u>	<u>21,000</u>

Nita sells 6,000 shares in March 2023 for £4.50 per share. Her gain is as follows:

Pool b/f	24,000	21,000
Less: Sale March 2023	<u>(6,000)</u>	<u>*(5,250)</u>
Total	<u>18,000</u>	<u>15,750</u>

* CGT base cost is $6,000/24,000 \times £21,000 = £5,250$

Capital gain:

Proceeds ($6,000 \times 4.50$)	27,000
Less: CGT base cost (above)	<u>(5,250)</u>
Capital gain	<u>21,750</u>

13.3 Rights Issues

A rights issue operates in a similar way to a bonus issue, except with a rights issue the shareholder will **buy** any new shares offered to them. There is therefore a cost attached to a rights issue. [TCGA 1992, s.128](#)

Like bonus shares, rights shares are **issued in proportion to the existing holding**.

For example, if a taxpayer has 40,000 shares in a company and the company announces a '1 for 4 rights issue' at £2 per share, this means that the shareholder has a right to buy 1 additional share for every 4 shares that they hold, and they will pay £2 per share.

The shareholder can therefore buy a maximum of 10,000 shares for £20,000.

The shareholder can buy less than their rights entitlement (or none at all) if they so wish.

The main purpose of a rights issue is to enable the company to raise additional cash from its shareholders.

The company obviously wants the shareholders to take up their rights and to buy the new shares. Therefore, as an incentive, the new rights shares are **usually** offered at a price which is less than the current market value of the shares. For instance in the above example, the company offer the rights shares at £2 each, when in fact their market value could be, say, £2.50.

13.4 Effect on the Computation

Like bonus shares, rights shares are treated as having been acquired at the same time as the original shares for CGT purposes.

As there is a cost attaching to the rights shares, they are simply treated as a **normal purchase of shares** for CGT purposes.

➤ Illustration 2

Danny owns shares in ABC Plc. Danny bought 2,000 shares in January 2004 for £2,000.

Danny bought an additional 1,000 shares in May 2011 for £2,000. On 4 February 2018, ABC Plc announced a 1 for 4 rights issue at £2.50 per share.

On 30 November 2022, Danny sold 2,700 shares for £9,450.

Danny bought a further 1,200 shares on 10 December 2022 for £3,600.

Calculate the 2022/23 chargeable gain.

First we decide which shares Danny has sold by using the matching rules:

2,700 shares sold 30.11.22:

Same day?	No	
Next 30 days?	Yes	1,200 shares
S.104 pool	Yes	<u>1,500 shares</u>
		<u>2,700</u>

The first match is with 1,200 shares bought on 10 December 2022:

The gain on these shares will be:

	£
Proceeds ($1,200/2,700 \times 9,450$)	4,200
Less: CGT base cost (above)	<u>(3,600)</u>
Capital gain	<u>600</u>

The second match is with 1,500 shares in the s.104 pool:

Date	Shares	Cost £
Jan 2004	2,000	2,000
May 2011	<u>1,000</u>	<u>2,000</u>
	3,000	4,000
February 2018 (1:4 rights issue @ 2.50)	<u>750</u>	<u>1,875</u>
Total	3,750	5,875
Less: Sale (30.11.22)	<u>(1,500)</u>	<u>(2,350)</u>
Balance c/f	<u>2,250</u>	<u>3,525</u>

Gain on the s.104 pool shares:

Proceeds ($1,500/2,700 \times 9,450$)	5,250
Less: CGT base cost (above)	<u>(2,350)</u>
Capital gain	<u>2,900</u>

Net gain on sale:

Gain on s.104 pool shares	2,900
Gain on shares bought 10.12.22	<u>600</u>
Net chargeable gain	<u>3,500</u>

EXAMPLES

❖ Example 1

Liliana bought 10,000 shares in BCD plc for £20,000 in April 2010. She bought another 20,000 shares for £80,000 in August 2011.

In May 2013, BCD plc announced a 1:3 rights issue at £5 per share. Liliana took up her rights in full.

In March 2020, BCD plc announced a 1:5 bonus issue.

Liliana sold 12,000 shares for £100,000 in December 2022.

Calculate Liliana's capital gain.

ANSWERS

✓ Answer 1

All shares in s.104 pool

Date	Shares	Cost £
April 2010	10,000	20,000
August 2011	<u>20,000</u>	<u>80,000</u>
	30,000	100,000
May 2013 (1:3 rights issue @ 5)	<u>10,000</u>	<u>50,000</u>
	40,000	150,000
March 2020 (1:5 bonus issue)	<u>8,000</u>	<u>Nil</u>
	48,000	150,000
Less: Sale (Dec 2022)	<u>(12,000)</u>	<u>(37,500)</u>
Balance c/f	<u>36,000</u>	<u>112,500</u>
Gain		
Proceeds		100,000
Less: CGT base cost (above)		<u>(37,500)</u>
Capital gain		<u>62,500</u>

CHAPTER 14

TAKEOVERS

By the end of this chapter you will understand:

- what a takeover is
- what happens in a takeover where a shareholder receives shares ('share for share' exchanges)
- the CGT implications on a takeover where the shareholder receives cash
- the CGT implications where a shareholder receives different classes of shares
- how subsequent sales of shares in the new company are treated
- the interaction with business asset disposal relief
- the interaction with investors' relief

14.1 Introduction

In this chapter, we shall consider the capital gains tax implications of the **takeover** by one company of another company. This will happen when Company A acquires more than 50% of the shares of Company B. [TCGA 1992, s.135](#)

For example, assume a taxpayer owns all the shares of Widget Co Ltd. A larger company – Big Co Plc – wishes to take over Widget Co Ltd by acquiring all of its shares. After the takeover has taken place, Big Co Plc will own all of the shares of Widget Co Ltd. To acquire all of the shares of the 'target' company, Big Co Plc must purchase them from the shareholder(s). Big Co Plc can do this in a number of ways.

The consideration paid by Big Co Plc to the shareholder(s) could be either:

1. wholly in cash; or
2. new shares in Big Co Plc in exchange for shares in Widget Co Ltd (a '**share for share' exchange**); or
3. a mixture of cash plus new shares.

If the shareholders accept the offer, they will be disposing of their shares in Widget Co Ltd, and we must therefore consider the capital gains implications.

14.2 Share for Share Exchanges

Share for share exchanges are also called 'paper for paper' exchanges. A shareholder is simply swapping one piece of paper – ie a share certificate in one company – for a certificate in another.

Where 'old' shares are swapped for 'new' shares, **there is no disposal for capital gains tax purposes**. As such, no gain arises on a share for share exchange. [TCGA 1992, s.127](#)

This applies automatically and no formal claim is required.

The simple logic is that on a 'paper for paper' exchange, the vendor has no cash, and therefore has no means of paying any subsequent CGT liability.

This is a general principle of capital gains tax – ie if a taxpayer disposes of an asset and they are paid in non-cash form, there is unlikely to be a corresponding tax liability.

➤ Illustration 1

Teresa bought 1,000 shares in Widget Co Ltd in May 2002 for £10,000. Widget Co Ltd is taken over by Big Co Plc. In return for her Widget Co shares, Teresa receives 500 new shares in Big Co Plc.

Discuss the CGT implications of the takeover.

As this is a share for share exchange, no disposal takes place for capital gains tax purposes. Teresa will therefore have no tax liability on the disposal of her original Widget Co Ltd shares.

For CGT purposes, the new Big Co Plc shares '**stand in the shoes**' of the old Widget Co Ltd shares. This means that for CGT purposes, Teresa is treated as having bought 500 new Big Co Plc shares for £10,000 in May 2002 – ie the **new shares have the same base cost and acquisition date as the original shares**.

Teresa will therefore have a CGT liability when she eventually sells her new Big Co Plc shares.

14.3 Takeovers Involving Cash

A chargeable **gain only arises** if all or part of the consideration given to the vendor on a takeover **involves cash**.

If old shares are exchanged for cash, this is a disposal of all of the original shares and a gain arises. The gain is calculated in the normal way – ie using the share matching rules.

If old shares are exchanged for a **mixture of new shares plus cash**, this is a **part disposal** for CGT. A gain arises on the cash element, but a gain does not arise on the shares element. We use the part disposal rules, because only part of the consideration is paid in cash form. [TCGA 1992, s.129](#)

Wherever a part disposal arises, we calculate the allowable cost by using the formula:

$$A/(A + B) \times \text{original cost}$$

In this instance, 'A' is the cash received on the takeover, whilst 'B' is the market value of the new shares received.

➤ Illustration 2

Teresa buys 1,000 shares in Widget Co Ltd for £10,000 in May 2002. Widget Co Ltd is taken over by Big Co Plc in July 2022. The consideration paid to Teresa by Big Co Plc, is made up of £20,000 in cash and 500 new shares in Big Co Plc. The value of the new shares is £80,000.

Calculate the gain for this cash element and the remaining base cost for a future disposal.

Teresa has received £100,000 in total for the sale of her shares, but only part of this has been paid in cash. In 2022/23, Teresa will pay capital gains tax in respect of the cash element only. Because only part of the consideration is paid in cash form, we calculate the gain by using the part disposal rules.

As only 20% of the consideration was paid in cash form, only 20% of the cost of the shares is allowable.

	£
Proceeds	20,000
Less: Cost $(10,000 \times 20,000 / (20,000 + 80,000))$	<u>(2,000)</u>
Chargeable gain	<u>18,000</u>

Teresa is left with 500 shares in Big Co Plc. She will have a capital gain in the future when she sells these shares and at that point we will need to ascertain their base cost.

The base cost of the new shares is part of the base cost of the old Widget Co Ltd shares. Because 80% of the consideration was paid in new shares, the base cost of the Big Co Plc shares is 80% of the original base cost of the Widget Co Ltd shares. Teresa is therefore deemed to have bought 500 Big Co Plc shares in May 2002 for £8,000 (ie $80\% \times £10,000$).

In summary, the cost of the original Widget Co Ltd shares (£10,000) is split using the ratio of the market value of the different elements of the consideration on takeover (cash and Big Co Plc shares) as follows:

	Market value £	Cost £
Cash	20,000	2,000
Big Co Plc shares	<u>80,000</u>	<u>8,000</u>
	<u>100,000</u>	<u>10,000</u>

When the Big Co Plc shares are sold in the future, they are treated as if they had been bought when the Widget Co Ltd shares were bought for £8,000.

The remaining £2,000 cost of the Widget Co Ltd shares has already been used in the part disposal that took place at takeover due to the cash consideration.

14.4 Different Classes of Shares

You may come across takeovers in which the vendor receives different classes of shares in the new company.

The shares we have looked at so far have been ordinary shares. **Ordinary shares** generally carry voting rights – ie they usually give the shareholder the right to vote at company meetings. If a shareholder has more than 50% of the ordinary shares of the company, they will generally control the company by being able to exercise more than half of the voting rights.

A shareholder could also be given **preference shares** in the company. Preference shares do not usually carry voting rights, but instead a preference shareholder has a preferential right to a dividend. Dividends are generally paid to preference shareholders in priority to ordinary shareholders.

It may be that on a takeover, the acquiring company – ie in our example Big Co Plc – would not want to give Teresa the right to vote at a shareholders meeting. Big Co Plc may therefore offer Teresa preference shares rather than ordinary shares.

For CGT purposes, it makes no difference whether the vendor receives ordinary shares or preference shares. Both types of shares are chargeable assets, so we calculate capital gains on sale in the normal way. It is not uncommon for different types or different classes of shares to be included within a takeover offer.

➤ Illustration 3

Malcolm bought 10,000 shares in White Ltd for £20,000 in May 2010. White Ltd was taken over by Black Plc on 1 July 2022. In return for his old White Ltd shares, Malcolm received a mixture of new shares and cash.

For every White Ltd share he held, Malcolm received:

2 Black Plc ordinary shares (MV £5.50 per share)
1 Black Plc preference share (MV £7.50 per share)
£1.50 cash

Calculate the capital gains as a result of the takeover and also the revised base costs.

We need to consider Malcolm's capital gains tax position on the takeover in July 2022.

We need to establish what Malcolm has after the takeover. He started with 10,000 White Ltd shares which cost £20,000 in May 2010.

After the takeover Malcolm has:

	Value £
Black Plc ordinary shares (20,000 × 5.50)	110,000
Black Plc preference shares (10,000 × 7.50)	75,000
Cash (10,000 × 1.50)	<u>15,000</u>
	<u>200,000</u>

In this situation, there have been **two share for share exchanges**. This means that the receipt of the ordinary shares and the preference shares does not give rise to a disposal for CGT. However, because part of the consideration has been paid in cash, Malcolm has an **immediate gain on the cash element**, and to calculate the gain we use the part disposal rules.

Gain on receipt of cash:

Proceeds	15,000
Less: Cost (20,000 × (15,000/200,000))	<u>(1,500)</u>
Chargeable gain	<u>13,500</u>

After the takeover, Malcolm has 20,000 Black ordinary shares, 10,000 Black preference shares, and £15,000 cash. Malcolm originally spent £20,000 in acquiring White Ltd shares in May 2010. This is his total base cost. We have already allocated £1,500 of this base cost to the cash element.

To arrive at the base cost of the ordinary shares and the preference shares, we do exactly the same exercise.

	Base cost
Black Plc ordinary shares (110,000/200,000) × 20,000	<u>11,000</u>
Black Plc preference shares (75,000/200,000) × 20,000	<u>7,500</u>

Malcolm sells the Black Plc ordinary shares for £125,000 on 31 March 2023.

Malcolm's gain is calculated as follows:

Proceeds	125,000
Less: Cost (May 2010)	<u>(11,000)</u>
Chargeable gain	<u>114,000</u>

14.5 Interaction with Business Asset Disposal Relief

Where shares in one company are exchanged for shares in another on takeover, the 'share for share' rules apply automatically. There is no disposal for CGT purposes and therefore no gain at the time of the takeover. The 'new' shares inherit the base cost of the 'old' shares. [TCGA 1992, s.127](#)

However, it is possible for a taxpayer to **make an election to disapply the share-for-share rules** on a takeover. This is to enable taxpayers to make full use of business asset disposal relief in the tax year of the takeover if they wish. The election must be made by the anniversary of the 31 January following the year in which the takeover takes place – ie by 31 January 2025 for takeovers in 2022/23. [TCGA 1992, s.169Q](#)

Such an election has the following effects:

1. A gain arises, calculated as if the value of the new shares received was cash. This gain can then qualify for business asset disposal relief (assuming the relevant conditions are satisfied).
2. The new shares have a base cost equal to their market value at the date of the takeover. This reduces the gain when the new shares are eventually sold.

14.6 Interaction with Investors' Relief

Where the 'share for share' rules apply, **the 'new' shares will be treated as being subscribed for at the same time as the 'old' shares.** Where the combined ownership period of the shares is at least three years, a subsequent disposal of the 'new' shares will qualify for investors' relief, provided that the other conditions are met (ie being in a trading company of which the individual is not an employee). However, whilst the 'old' shares must have been in an unlisted trading company when issued, **relief will still be available if the 'new' shares are in a listed company.** [TCGA 1992, s.169VQ](#)

EXAMPLES

❖ Example 1

Dorothy bought 2,000 Oz Ltd shares in May 2014 for £6,000. She bought another 3,000 shares in July 2018 for £12,000.

Oz Ltd was taken over by Emerald plc in July 2022. For each of her Oz Ltd shares, Dorothy received:

£5 cash
5 Emerald plc shares

The Emerald plc shares were worth £2 each in July 2022.

Calculate Dorothy's gain in July 2022.

ANSWERS

✓ Answer 1

Before: 5,000 shares in the s.104 pool as follows:

	Shares	Cost £
May 2014	2,000	6,000
July 2018	<u>3,000</u>	<u>12,000</u>
Total	<u>5,000</u>	<u>18,000</u>

After:	Value
Cash ($5,000 \times 5$)	25,000
Emerald plc shares ($25,000 \times 2.00$)	<u>50,000</u>
	<u>75,000</u>

Gain on cash received:

Proceeds (cash)	25,000
Less: CGT base cost ($18,000 \times (25,000/75,000)$)	<u>(6,000)</u>
Chargeable gain	<u>19,000</u>

CHAPTER 15

GILTS AND QCBs

By the end of this chapter you will understand:

- what a qualifying corporate bond (QCB) is
- what a gilt is
- the CGT implications of gilts and QCBs
- the CGT implications of non-QCBs
- how the receipt of a QCB on a takeover is treated for CGT

15.1 What is a QCB?

A QCB or '**qualifying corporate bond**' is a type of security. These are also referred to as **loan stock or debentures**.

If an individual invests money in a company, they will either be buying shares or some sort of loan stock – ie securities. If the investor acquires shares in the company, they have a stake in the company and a say in how the company is run. In return for their investment, the shareholder will receive dividends and rights to vote at shareholder meetings.

If an investor acquires loan stock in a company, this can be thought of as an 'IOU'. The investor is simply lending money to the company, and this money will be paid back at a future date. If a company issues loan stock to an investor, the company will pay the investor interest on the loan as opposed to dividends.

The attraction of loan stock is that it is usually less risky than holding shares. The share price is far more likely to fluctuate than the value of the loan stock. The disadvantage of holding loan stock, is that there is less opportunity to make a substantial profit and the stockholder usually has no voting rights.

For loan stock to satisfy the definition of a QCB, it must satisfy the following three conditions: [TCGA 1992, s.117](#)

- i. The loan stock must have been issued **after March 1984**.
- ii. The loan stock must be expressed in **sterling**.
- iii. The loan stock **cannot be converted** into any other currency.

If the terms of the loan are expressed in such a way that the security can be converted into another currency, it will not satisfy the definition of a QCB.

When a UK company pays interest on loan stock to its investors, assuming those investors are individuals, it must **withhold 20% tax at source**. The investor therefore receives the interest net of tax.

15.2 Gilts

A gilt-edged security is another example of loan stock, but this time the stock is **issued by the Government** rather than by a company. Examples of gilt-edged securities are UK Government Treasury Stock or Exchequer Stock. [TCGA 1992, Sch 9](#)

All gilt-edged securities are denominated in Sterling and are non-convertible. Gilts carry a **fixed rate of interest** from the date of acquisition through until the date of redemption. For example, if a taxpayer acquires 8% Treasury Stock 2025, they have lent the money to the Government which will pay interest at a fixed rate of 8% per annum, until the loan is repaid by the Government in 2025. Because an investor is lending money to the UK Government, this is an extremely safe investment and for this reason gilts are quite popular.

Interest on gilts is generally paid to investors every six months. Interest paid on gilts is paid gross.

15.3 CGT Treatment of Gilts and QCBs

Gilts and QCBs are **exempt assets** for CGT. Therefore, if a taxpayer sells a gilt or QCB and makes a profit, the gain is not charged to tax. Similarly, **losses** on gilts and QCBs are **not allowable**. [TCGA 1992, s.115](#)

These rules only apply for individuals – they do not apply for companies. If a **company** sells a gilt or QCB and makes a profit or loss, the resulting profit or loss is dealt with under the loan relationship rules.

15.4 CGT Treatment of Non-QCBs

If a security does not satisfy the definition of a QCB, it is a chargeable asset for CGT purposes. For instance, loan stock or debentures issued by a company which are expressed in US Dollars are not QCBs. Remember QCBs must be denominated in Sterling and are not convertible.

If an investor holds a **non-QCB**, we **treat this in exactly the same way as a share** for capital gains tax purposes. The same pooling and matching rules apply, and any gains are chargeable and any losses allowable.

15.5 QCBs and Takeovers

A QCB may be offered by a company as part of the consideration on a takeover. As well as offering new shares and cash for the vendor's old shares, the issuing company may also offer loan stock which satisfies the definition of a QCB. [TCGA 1992, s.116](#)

For example, assume a taxpayer owns shares in Old Ltd. Old Ltd is taken over by New Co Plc. New Co Plc offers the shareholder cash plus shares in New Co Plc in exchange for the Old Ltd shares. As part of the consideration, New Co Plc also offers loan stock in New Co Plc. This loan stock satisfies the definition of a QCB. We have to consider how each element of the consideration is treated for CGT purposes.

Because the shareholder has received part of the consideration in cash, a chargeable gain arises, calculated using the part disposal rules. The share for share exchange does not give rise to a disposal for CGT purposes, so no gain arises. However, the share for share exchange rules cannot apply to the QCB, as it is not a share for CGT purposes.

On the **receipt of a QCB on takeover**, we assume the shareholder has received an amount of cash equal to the value of the QCB. We therefore **calculate the capital gain** that would have arisen on the receipt of this 'pretend cash'. However, because the shareholder does not physically have the cash in their possession, we **do not charge this gain immediately**. Instead, we **'freeze' it**.

This 'frozen' gain is eventually **charged** to tax when the shareholder **disposes of the QCB** sometime in the future. If the investor sells part of the QCB, only part of the frozen gain becomes taxable.

➤ Illustration 1

Michael owns 1,000 shares in Mike Ltd which he bought in January 2010 for £30,000. In November 2022, Mike Ltd is taken over by Giant Plc. The terms of the takeover are that Michael will receive total consideration of £150,000 split as follows:

	Value £
1,000 ordinary shares in Giant Plc	100,000
£10,000 of loan stock in Giant Plc	15,000
Cash	<u>35,000</u>
Total	<u>150,000</u>

Note that £10,000 of loan stock is not necessarily worth £10,000. Here it is worth more. The £10,000 is the 'nominal value' of the stock – ie this is the amount on which interest is calculated. Loan stock could be worth more or less than its nominal value depending on interest rates and on the strength of the company.

Set out the capital gains tax position as a result of this takeover.

We need to calculate the capital gains arising at the point of takeover. Because part of the consideration has been paid in cash, a **chargeable gain will arise on the cash element**. To calculate the gain, we use the part disposal rules as follows:

Gain on cash received:	
Proceeds	35,000
Less: Cost $\times A/(A + B)$	
$30,000 \times (35,000/150,000)$	<u>(7,000)</u>
Chargeable gain	<u>28,000</u>

Part of Michael's consideration has been paid in the form of a **QCB**. We calculate the gain by pretending that the £15,000 of loan stock received is cash. This **gain will then be 'frozen' until the QCB is eventually sold**.

The proceeds are the market value of the loan stock at the date of the takeover, being £15,000.

Gain on QCB received:	
Proceeds (MV at takeover)	15,000
Less: Cost $\times A/(A + B)$	
$30,000 \times (15,000/150,000)$	<u>(3,000)</u>
Gain	<u>12,000</u>

This gain of £12,000 is then frozen. The gain will 'crystallise' when the QCB is eventually sold.

For example, assume Michael sells half of his loan stock in July 2023 for £18,000 to an unconnected third party. As Michael is **disposing of half of his QCBs**, he will **crystallise half of the frozen gain** in the year in which the QCBs are sold – in this case in 2023/24.

Frozen gain (Nov 2022)	<u>12,000</u>
------------------------	---------------

50% crystallises	<u>6,000</u>
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This is taxed in 2023/24.

As the **QCB itself is an exempt asset**, the sale of the QCB will not give rise to a chargeable gain or an allowable loss, so the proceeds figure of £18,000 in this example is irrelevant.

EXAMPLES

❖ Example 1

Nazeem (a retired businessman) bought 2,000 shares in Brown plc in February 2010 for £20,000.

Brown plc was taken over by Purple plc in May 2015. Nazeem received:

- 1,000 new Purple plc shares (MV £120,000); and
- £75,000 Purple plc loan stock (MV £80,000).

Nazeem sold £50,000 of the loan stock in March 2023 for £40,000.

The loan stock satisfies the condition of a QCB.

Calculate Nazeem's chargeable gain on the sale of the loan stock.

ANSWERS**✓ Answer 1**

Before: 2,000 Brown plc shares cost £20,000

After:	Purple plc shares	£120,000
	Purple plc loan stock	<u>80,000</u>
		<u>200,000</u>

May 2015 – Gain on QCB received:

Proceeds	80,000
Less: Cost (20,000 × 80/200)	<u>(8,000)</u>
Frozen gain (May 2015)	<u>72,000</u>

March 2023 – Disposal of £50,000 of QCB:

Frozen gain on £75,000 of QCB	<u>72,000</u>
Crystallises	
50/75 × frozen gain	<u>48,000</u>

CHAPTER 16

DEFERRED CONSIDERATION

By the end of this chapter you will understand:

- the date a disposal takes place for CGT purposes
- when CGT can be paid by instalments
- what an 'earn out' is and the impact for CGT where the consideration is ascertainable

16.1 When does a Disposal Take Place?

The date of disposal for capital gains tax is the **date when the contract** to sell the asset **is signed**, ie the date that contracts are exchanged. If a **contract is conditional** on a particular event taking place, the date of disposal for CGT purposes is the **date that all of the relevant conditions have been fulfilled**. [TCGA 1992, s.28\(1\), \(2\)](#)

It is important that we identify the correct date of disposal as this determines in which tax year the gain will be charged. The date of payment of the sale proceeds is largely irrelevant for CGT purposes. The date of payment is only important if the purchaser pays for the asset in instalments. In this case, in certain circumstances, the vendor can **pay the capital gains tax in instalments**.

16.2 CGT Instalments

A vendor may be able to pay the CGT in instalments under s.280 if the **consideration** (ie sale proceeds) **is receivable in instalments over a period in excess of 18 months** which ends after the normal due date for payment of the CGT. This is not automatic – if the vendor wants to pay the CGT by instalments, they must make an application in writing under s.280. If no application is made, the CGT is payable on 31 January following the tax year of the disposal. [TCGA 1992, s.280](#)

The taxpayer is normally expected to **pay instalments of CGT equal to 50% of each instalment of consideration receivable** under the contract until the total CGT liability has been discharged.

The period over which the vendor can pay the CGT is the **shorter of** two periods being the **period over which consideration is receivable** and **eight years**.

The final instalment of CGT can **never be due any later** than the due date for the final instalment of consideration.

If a taxpayer pays their CGT in instalments under s.280, these **instalments are interest free** – ie interest is not charged on the unpaid balance of CGT.

16.3 Deferred Consideration – Ascertainable Consideration

The consideration paid by a purchaser to a vendor may include something called an earn-out element. An 'earn out' is a term which describes further or **additional proceeds, payable** to the vendor on the **satisfaction of some future event**.

The additional future proceeds are also referred to as '**deferred consideration**'. We often see deferred consideration on the sale of shares or land.

It is common for consideration payable on the sale of a company's shares to be split such that the vendor receives a sum of cash at the point of disposal and an additional amount on the satisfaction of a condition or on the happening of a future event. That future event may be the company reaching a **prescribed profit target**, or the company **floating** – ie obtaining a listing on the Stock Exchange.

If the additional consideration is **fixed** – ie the future amount which will be paid is ascertainable at the date of disposal – the whole transaction is **treated as one disposal** for capital gains tax purposes. Therefore, all proceeds – ie the cash paid now plus the future consideration – are brought into the capital gains tax computation in the year that contracts are signed.

➤ Illustration 1

A vendor sells shares in a company to a purchaser in July 2022. Contracts are exchanged in July 2022, so this is the date of disposal for CGT purposes. The capital gain therefore falls into 2022/23. The purchaser agrees to pay consideration of £1.5 million to the vendor for the sale of the shares. The vendor will receive £1 million in cash in July 2022 and a further £500,000 if the company obtains a listing on the Stock Exchange within 2 years of the date of sale.

Explain how the capital gain will be calculated and when any CGT will be due for payment.

To calculate the capital gain in 2022/23 we take not only the cash paid in July 2022 but we also **add on the future consideration** which we know will be £500,000. Total sale proceeds in 2022/23 are therefore £1.5 million.

From this we will deduct cost to give a gain. Assuming the capital gains tax is (say) £200,000, the vendor should pay this tax no later than 31 January 2024.

The full amount of the tax is due on 31 January 2024, as the total tax due is less than 50% of the initial instalment of the proceeds.

In the event that the company never obtains a Stock Exchange listing, the vendor will never receive the additional £500,000. In this case, a claim can be made to adjust the sale proceeds in the CGT computation and any excess tax paid can be reclaimed.

EXAMPLES

❖ Example 1

Stephanie sold her shares in Scully Ltd (a trading company) to Hoyland Holdings plc in December 2022. This was her only disposal in 2022/23. Stephanie owned 100% of the shares and was managing director. She had bought the shares in January 2013 for £25,000.

Hoyland Holdings plc offered £500,000 in cash plus an additional cash payment of £200,000 if Scully Ltd met certain profit targets in the next 12 months.

Assuming all appropriate claims are made, calculate Stephanie's chargeable gain in 2022/23.

ANSWERS**✓ Answer 1**

Gain December 2022:

	£
Proceeds:	
Cash	500,000
Deferred consideration	<u>200,000</u>
	700,000
Less: Cost	<u>(25,000)</u>
Chargeable gain	<u>675,000</u>

(The gain will qualify for business asset disposal relief as Stephanie held at least 5% of Scully Ltd and worked for the company.)

CHAPTER 17

CGT AND EMPLOYEE SHARE SCHEMES

By the end of this chapter you will understand:

- how the cost for CGT is calculated for shares acquired from an employee share scheme
- the business asset disposal relief available when shares acquired from an employee share scheme are disposed of

17.1 CGT and Share Schemes – General Principles

Employees generally acquire shares in their employer company in one of two ways:

1. **Via an award of shares** by the employer either from a Share Incentive Plan (SIP) or a non-tax advantaged share scheme.
2. **On the exercise of a share option** such as from a SAYE scheme, a Company Share Option Plan (CSOP), an Enterprise Management Incentive (EMI) Scheme or a non-tax advantaged share option scheme.

For CGT purposes, the base cost of the shares will be:

	£
Amount paid by employee for the shares	X
Plus: Amount(s) chargeable to income tax on acquisition of the shares	<u>X</u>
CGT base cost	<u>X</u>

The only exception to this is with regard to shares acquired from a **SIP** where the **base cost of the shares will be equal to the market value of the shares at the date they are withdrawn** from the plan. Employees generally withdraw the shares from a SIP immediately prior to sale, so no chargeable gain would then arise. Gains will only therefore arise on SIP shares if there is a delay between withdrawing the shares from the plan and selling them.

In the case of a sale of shares following the exercise of a **tax advantaged share option**, in most cases **the amount chargeable to income tax on exercise will be nil** (particularly where shares are acquired from SAYE schemes or CSOPs). In this case the CGT base cost will be the amount paid by the employee for the shares.

➤ Illustration 1

In January 2017, Glassworks Ltd granted non-tax advantaged options to Graham, a senior employee. The options give Graham the right to buy 100,000 shares at 10p per share. The share price at the time of grant was £1.25.

Graham exercised the options in June 2022 when the share price was £1.80.

Graham sold the shares in December 2022 for £2.20 per share.

Calculate Graham's employment income for 2022/23 and capital gain on the sale of the shares.

Graham's employment income charge is calculated as follows:

	£
Value of shares at exercise (100,000 × £1.80)	180,000
Less: Price paid for shares (100,000 × 10p)	<u>(10,000)</u>
Employment income 2022/23	<u>170,000</u>

Graham's capital gain on the sale of the shares is:

	£	£
Proceeds (100,000 × 2.20)		220,000
CGT base cost:		
Amount paid by employee for the shares	10,000	
Plus: Amount chargeable to income tax	<u>170,000</u>	
		<u>(180,000)</u>
Chargeable gain		<u>40,000</u>

17.2 Business Asset Disposal Relief on Shares Acquired From Share Schemes

In the case of a disposal of shares, business asset disposal relief will be available provided that for the two years prior to the disposal:

1. the company is the individual's 'personal trading company'; and
2. the taxpayer was an **officer or employee** of the company.

A personal company is one where the shareholder owns **at least 5% of the ordinary share capital** and is able to **exercise at least 5% of the voting rights**. In addition, the shareholder must **either** be entitled to **at least 5% of the distributable profits** and **5% of the assets available on a winding up**, and/or be entitled to **at least 5% of the proceeds of a disposal of the whole of the ordinary share capital** of the company. [TCGA 1992, s.169S\(3\)](#)

Where shares are acquired on the exercise of a share option, **the date of acquisition is the date that the option was exercised**. Therefore, the period between the grant and exercise of the share option is not relevant when determining whether the company is the individual's personal company for the two years prior to the disposal of the shares. As employees often sell their shares immediately an option is exercised and/or are unlikely to own at least 5% of the company, BADR is unlikely to be available in respect of shares acquired by way of share options.

However, these rules are relaxed where shares are acquired from an Enterprise Management Incentive (EMI) Scheme, provided the option is exercised within ten years of grant. These shares are known as '**relevant EMI shares**'.

A disposal of relevant EMI shares will qualify for BADR provided that:

- a. the option was granted at least two years prior to the disposal; and
- b. for the two years prior to disposal:
 - i. the company was a 'trading company'; and
 - ii. the taxpayer was an officer or employee of the company.
[TCGA 1992, s.169I\(7A\)](#)

In this case, **the company does not have to be the individual's personal company**, so relief is available even where the individual owns less than 5% of the ordinary share capital. In addition, **provided the option has been held for at least two years**, the disposal will qualify for BADR even if the shares are sold immediately.

CHAPTER 18

GIFT RELIEF

By the end of this chapter you will understand:

- how to calculate gains on gifts of chargeable assets
- how the deferral relief works
- what assets qualify for the relief
- how to claim the relief

18.1 Introduction

A gift is a disposal for capital gains tax purposes. Therefore the person who is giving the asset away – the donor – could have CGT to pay even though they have received no money from the recipient. To calculate the donor's capital gain, we **assume that sales proceeds are equal to the market value of the asset** at the date of the gift. This rule applies whether or not the donor and the donee are connected persons. [TCGA 1992, s.17](#)

Consider the situation where Dad gives shares in a company called Dad Limited to his son. The shares are worth £200,000 at the date of the gift. To calculate Dad's capital gain, we deduct the cost of the shares to arrive at the gain.

	£
MV at gift	200,000
Less: Cost	(120,000)
	<u>80,000</u>

As far as the son is concerned, we **assume that he has bought the shares from Dad for their market value** – ie for £200,000. This becomes the son's base cost for CGT purposes.

18.2 The Deferral Relief

In the above scenario, it seems unfair that Dad has a gain of £80,000, when he has no money to pay the capital gains tax. [TCGA 1992, s.165](#)

Therefore in certain situations, 'gift relief' is available to defer Dad's gain on the gift of the shares. We **defer the gain** on Dad's gift by **rolling over this capital gain against the base cost of the shares in the hands of the donee**. Essentially, the relief transfers Dad's capital gain to the son. Gift relief is sometimes called 'holdover relief'. [TCGA 1992, s.165\(4\)](#)

If gift relief is available to defer the capital gain, the way in which the relief is given is by taking the capital gain of £80,000 and deducting it from the base cost of the donee. Two things are happening here. First, the donor's capital gain is reduced to zero by the gift relief.

	£
Proceeds (MV)	200,000
Less: Cost	(120,000)
Gain	80,000
Less: Gift relief	(80,000)
Gain	<u>Nil</u>

Second, the donee's base cost of £200,000 is reduced to £120,000. This is what we mean by the donor's capital gain being transferred to the donee. When the **donee comes to sell the asset, his capital gain will be higher** by £80,000 because of this reduction in his base cost.

Cost	200,000
Less: Rolled over gain	(80,000)
Base cost	<u>120,000</u>

The donee's base cost is equal to the donor's base cost.

18.3 Qualifying Assets

Not all gifts will qualify for gift relief. Sometimes the donor will be left with a CGT liability even though he has received no cash proceeds.

Gift relief is available under either s.165 or s.260 TCGA 1992.

Gift Relief Under s.165

Section 165 TCGA 1992 allows a gift relief claim when the asset being gifted is a '**business asset**'.

Any number of shares in an unquoted trading company are business assets for gift relief purposes. **Shares in a personal trading company** are also business assets under s.165. A personal company is any company in which the shareholder owns at least 5% of the voting rights. [TCGA 1992, s.165\(2\)\(b\)](#)

Assets used in a business will also qualify for relief. Typically these will include land and buildings, goodwill or plant and machinery used for the purpose of a trade. A **furnished holiday letting** qualifies as a trade for this purpose. [TCGA 1992, s.165\(2\)\(a\)](#)

Agricultural land and buildings used for the purposes of farming will also qualify for gift relief. [TCGA 1992, Sch 7, para \(1\)](#)

The most common asset that is **not** a business asset under s.165, is shares in a **quoted** company where the donor **does not have 5%** of the voting rights. In most instances gifts of quoted shares will not qualify for gift relief. If gift relief is not available, the donor will pay capital gains tax in the normal way.

Gift Relief Under s.260

Section 260 TCGA 1992 allows gift relief where the **gift is immediately chargeable to inheritance tax**. This will apply when an individual makes a gift to a **trust**. In this instance, the type of asset being gifted is irrelevant. [TCGA 1992, s.260](#)

18.4 Claiming Gift Relief

In order for the donor to receive gift relief, it is necessary for a specific claim to be made, either under s.165 or under s.260. In the majority of cases, the election is a **joint election** between the donor and the donee. The donor cannot usually make a gift relief claim on their own – they must have the consent of the donee. The only time when a gift relief claim is not a joint election, is in the case of a gift to a trust. Gifts between individuals always require a joint election to be made. [TCGA 1992, s.165\(1\)\(b\)](#)

The time limit for the gift relief claim is **four years from the end of the tax year** of disposal. Therefore, for a gift in the tax year 2022/23, a gift relief claim is only valid if it is made on or before 5 April 2027. In reality, most gift relief claims are made when filing the self-assessment return for the tax year in which the gift is made (as otherwise CGT will be payable). [TMA 1970, s.43\(1\)](#)

EXAMPLES

❖ Example 1

Ms Kent bought a furnished holiday cottage for £50,000 in September 2010 which qualifies as a furnished holiday letting. She gave the cottage to her daughter Carla in May 2022 when it was worth £190,000.

Carla sold the cottage in March 2023 for £220,000 having used it in the summer for her family.

Assuming all appropriate claims are made, calculate Carla's chargeable gain on the sale of the cottage.

❖ Example 2

Which of the following assets is NOT a business asset for gift relief purposes?

- a. A 4% holding of shares in Chiswick Ltd, an unquoted trading company.
- b. A 6% holding of shares in Hammersmith plc, a quoted trading company.
- c. A 10% holding of shares in Richmond Investments Ltd, an unquoted investment company.
- d. A furnished holiday letting.

ANSWERS

✓ Answer 1

<u>Ms Kent's gain:</u>	£
Proceeds (MV)	190,000
Less: Cost	<u>(50,000)</u>
	140,000
Less: Gift relief under s.165	<u>(140,000)</u>
Chargeable gain	<u>Nil</u>
 <u>Carla's base cost:</u>	
Market value (May 2022)	190,000
Less: Gift relief	<u>(140,000)</u>
Base cost	<u>50,000</u>
 <u>Carla's gain:</u>	
Proceeds (March 2023)	220,000
Less: Base cost	<u>(50,000)</u>
Gain	<u>170,000</u>

✓ Answer 2

The answer is **C**

Shares in investment companies do not qualify for gift relief.

Shares in unquoted trading company, shares in personal trading company and furnished holiday lettings all qualify for gift relief.

CHAPTER 19

GIFT RELIEF – RESTRICTIONS

By the end of this chapter you will understand:

- the restriction to the relief where there is a sale at an undervalue
- how gift relief interacts with business asset disposal relief
- how gift relief interacts with investors' relief

19.1 Restriction for Sales at Undervalue

Full gift relief will not be available where there is a 'sale at an undervalue'. A 'sale at undervalue' means the donee pays the donor for the transfer of the assets. However, the **amount paid by the donee is less than the market value** of the asset at the date of the gift. Therefore we have a sale, but the consideration is less than market value. [TCGA 1992, s.165\(7\)](#)

A sale at undervalue is **treated as a gift** for CGT purposes. As with all gifts, we calculate the capital gain by **assuming sale proceeds are the market value** of the asset at the date of the gift. This means that when calculating the capital gain, we ignore any actual proceeds changing hands.

Assuming the asset being transferred is a business asset, gift relief is available to reduce this gain. The amount of the gift relief is then rolled over and deducted from the donee's base cost.

In many instances, a sale at undervalue will result in gains being left chargeable after a gift relief claim has been made. In this instance, the **gain will be equal to the 'excess proceeds'**:

$$\text{Excess proceeds} = \text{Cash received} - \text{Base cost}$$

If the donor makes a **cash profit** on the sale at undervalue, this profit is **immediately charged** to capital gains tax.

➤ Illustration 1

Priti bought a building for £130,000 in March 2009. In September 2022, Priti transfers the building to Jamie when it is worth £400,000. The building is used in Priti's trade and is therefore a qualifying asset under s.165.

Jamie pays Priti £140,000 for the asset in September 2022.

Calculate the gain remaining chargeable after gift relief and Jamie's base cost.

This is a sale at undervalue because the amount that Jamie pays to Priti for the asset is less than its market value.

The first thing we do is calculate Priti's capital gain.

	£
Proceeds (MV)	400,000
Less: Cost	<u>(130,000)</u>
Gain	<u>270,000</u>

We now consider gift relief. Where we have a sale at undervalue, we must consider whether Priti has 'excess proceeds'. Priti actually sold the asset for £140,000, having paid £130,000 for the asset in March 2009. Priti is therefore making a **cash profit of £10,000**. This is her gain which is taxed in the usual way.

The difference between Priti's gain and her chargeable gain, is the gift relief, which will be rolled over and deducted from Jamie's base cost.

Gain	270,000
Less: Gift relief	<u>(260,000)</u>
Chargeable gain (140,000 – 130,000)	<u>10,000</u>
Cost	400,000
Less: Rolled over gain	<u>(260,000)</u>
Base cost	<u>140,000</u>

Note here that the £140,000 paid by Jamie to Priti for the asset is only relevant for the purposes of working out how much gift relief is given to Priti. If there are **no excess proceeds** – ie the gift is **an outright gift**, or if Jamie had paid Priti less than £130,000 for the asset – **full gift relief** is available.

19.2 Interaction with Business Asset Disposal Relief

A gain on a gift may be **eligible for both gift relief and business asset disposal relief (BADR)**. This would apply, for example, where a sole trader is gifting the whole of their business or where shares are gifted in a personal trading company for which the donor works.

Where a gain is eligible for both gift relief and BADR, **gift relief is applied first**. Therefore, if the full gain qualifies for gift relief and a claim for gift relief is made, BADR will not apply as there is no gain left in charge.

If part of the gain in respect of a gift remains chargeable after a claim for gift relief, BADR can be claimed on the balance. This assumes that the gift meets the conditions of a qualifying disposal for BADR.

➤ Illustration 2

Steven owns the entire share capital of Smith Enterprises Ltd, a family trading company, for which he has worked as a director for many years. The base cost of his shares is £280,000. He is a higher rate taxpayer.

In July 2022, Steven sold the shares, which were worth £900,000, to his son Tom for £400,000. Tom also works for the company.

The disposal qualifies for gift relief and BADR and Steven decides to claim both. Steven makes no other disposals in 2022/23.

Calculate the capital gains tax due assuming a claim is made for both gift relief and BADR.

The capital gains tax computation is as follows:

	£
Market value	900,000
Less: Base cost	<u>(280,000)</u>
Gain	620,000
Less: Gift relief (s.165) (£900,000-£400,000)	<u>(500,000)</u>
Chargeable gain (400,000 – 280,000)	120,000
Less: Annual exempt amount Taxable gain	<u>(12,300)</u>
	107,700
CGT @ 10%	<u>10,770</u>

19.3 Interaction with Investors' Relief

A gain on the gift of shares in a personal trading company may also qualify for investors' relief, where the necessary conditions have been met. As with business asset disposal relief, **gift relief is applied first**. Therefore, if the full gain qualifies for gift relief and a claim for gift relief is made, investors' relief will not apply as there is no gain left in charge. If part of the gain in respect of a gift remains chargeable after a claim for gift relief, investors' relief can be claimed on the balance where relevant.

EXAMPLES

❖ Example 1

Bernard sold 1,000 shares (a 30% holding) in Widget Ltd, an unquoted trading company, to his niece Zoe in February 2023. The shares were worth £90,000. Zoe paid £48,000 for the shares.

Bernard had bought the shares in April 2012 for £25,000.

Assuming Bernard and Zoe make a gift relief claim, calculate the amount of Bernard's gain that can be deferred under gift relief.

ANSWERS**✓ Answer 1**

	£
Proceeds (MV)	90,000
Less: Cost	<u>(25,000)</u>
	65,000
Less: Gift relief	<u>(42,000)</u>
Gain (48,000 – 25,000)	<u>23,000</u>

The amount that can be deferred is £42,000.

CHAPTER 20

EIS, SEIS AND SOCIAL ENTERPRISE REINVESTMENT RELIEF

By the end of this chapter you will understand:

- when EIS reinvestment relief is available
- how the deferral operates
- the amount of relief that can be claimed
- the conditions for the relief
- what happens to the 'frozen' gain
- the interaction with investors' relief
- how SEIS reinvestment relief operates
- how social enterprise reinvestment relief operates

20.1 Introduction

In this chapter we shall consider three further CGT reliefs: 'EIS reinvestment relief', 'SEIS reinvestment relief' and 'social enterprise reinvestment relief'.

We will start with EIS reinvestment relief. [TCGA 1992, Sch 5B](#)

When an individual subscribes for shares in a qualifying EIS company, they receive income tax relief by way of a tax reducer at 30% of the amount subscribed. This is capped at £1 million, giving a maximum tax reducer of £300,000. [TCGA 1992, Sch 5B](#)

The maximum amount eligible for relief increases where shares are subscribed for in **knowledge intensive companies**. In this case, the maximum overall amount eligible for EIS relief is £2 million, of which no more than £1 million can be invested in companies which are not knowledge intensive. This gives a maximum tax reducer of £600,000.

In this chapter we shall look at EIS from a capital gains tax perspective. If an individual sells an asset, and **reinvests** the sale proceeds in acquiring qualifying EIS shares, they may claim **EIS reinvestment relief**.

Like gift relief, EIS reinvestment relief allows the taxpayer to **defer** the capital gain to a later time. There is **no ceiling** to the amount of the gain that can be deferred – **the £1 million subscription limit only applies for income tax purposes**.

EIS reinvestment relief is more flexible than gift relief, in that it allows the gain on **any asset** to be deferred, as long as the proceeds are reinvested in qualifying EIS shares.

Gift relief only applies if the individual is disposing of a business asset. However, any taxpayer – not just those in business – can take advantage of EIS reinvestment relief.

➤ Illustration 1

An individual sells a painting for £200,000 realising a capital gain of £80,000. They use part of the money to subscribe for qualifying shares in an EIS company. The new shares cost £120,000.

Calculate the amount of gain chargeable on the sale of the painting after taking the maximum amount of EIS reinvestment relief available. Assume the annual exempt amount has already been used.

Because the taxpayer has sold an asset and has subscribed for new EIS shares, they can make an EIS reinvestment relief claim to defer all or part of the gain of £80,000. The amount of the gain that can be deferred is the **lowest** of three amounts: [TCGA 1992, Sch 5B, para 2\(1\)](#)

- i. the **gain**;
- ii. the **amount reinvested**;
- iii. the **specific amount claimed**.

As the taxpayer has made a gain of £80,000, it makes sense that they can only defer a gain of up to £80,000.

The EIS reinvestment relief claim **cannot exceed the amount reinvested** in the new shares. Here the maximum claim is therefore the lower of £80,000 or £120,000, being £80,000.

If the taxpayer wishes, they **could claim a specific amount**, which is less than £80,000. The EIS reinvestment relief rules state that the investor must claim a specific amount of reinvestment relief, which could be less than the maximum permitted. This will allow the taxpayer, for example, to **take advantage of any unused annual exempt amount**.

Note that the gift relief rules do not permit the taxpayer to claim a specific amount. **Gift relief is an 'all or nothing' relief** and does not allow the claimant to restrict a claim to utilise the annual exempt amount.

Here, the taxpayer has already used their annual exempt amount, so they claim the maximum amount of EIS reinvestment relief, being £80,000. This reduces the gain to zero.

	£
Proceeds	200,000
Less: Cost	(120,000)
Gain	80,000
Less: EIS reinvestment relief	(80,000)
Chargeable gain	<u>Nil</u>

20.2 How the Deferral Operates

The £80,000 of deferred gain is not rolled over against the base cost of the new EIS shares, but is **frozen** instead. The base cost of the new EIS shares is untouched and remains the same. [TCGA 1992, Sch 5B, para 2](#)

This frozen gain of £80,000 will **crystallise** and become chargeable, in the year of what we call a 'chargeable event'. We shall look at chargeable events later, but the most common chargeable event is the **sale of the EIS shares**.

There are only two ways in which HMRC allow taxpayers to defer a capital gain – one is by **rolling** the gain against the base cost of another asset, or against the base cost in the hands of another person. The other is by **freezing** the gain until the happening of a later event. EIS reinvestment relief is given by freezing the deferred gain.

20.3 Amount of Relief

The claimant must stipulate the amount of EIS reinvestment relief they wish to take. In the previous illustration the taxpayer made a gain of £80,000 on the disposal of an asset and claimed £80,000 relief leaving no chargeable gain.

EIS reinvestment relief is very flexible in that it enables taxpayers to claim a lower amount so as to utilise the annual exempt amount.

➤ Illustration 2

Assume that the taxpayer in the previous illustration had not made any other disposals in the year so the annual exempt amount of £12,300 was still available. The objective of the taxpayer is to **restrict their EIS reinvestment relief** claim as far as possible, without having to pay capital gains tax.

Calculate the taxable gain after claiming all available reliefs.

	£
Gain	80,000
Less: EIS reinvestment relief	(67,700)
	12,300
Less: Annual exempt amount	(12,300)
Taxable gain	Nil

This gain will be frozen until the taxpayer sells the EIS shares. By restricting the claim to £67,700, the taxpayer is reducing the amount of future CGT they will have to pay, and is also making sure that their annual exempt amount for the current tax year does not go to waste.

20.4 Conditions for the Relief

There are certain conditions to be satisfied before an individual can claim EIS reinvestment relief. Firstly, the investor must be **UK resident** at the time the gain was made and at the time of the reinvestment. [TCGA 1992, Sch 5B, para 1\(1\)\(d\)](#)

The investor must be '**subscribing**' for shares in a qualifying EIS company. A qualifying EIS company is broadly an **unquoted** company with a permanent establishment in the UK, carrying on a **qualifying trade**. [ITA 2007, s.180](#)

There is a specific **time window** in which the investor must subscribe for the EIS shares. The reinvestment must be made within **12 months before or 36 months after** the disposal of the original asset. [TCGA 1992, Sch 5B, para 1\(3\)\(a\)](#)

The EIS reinvestment relief **claim** itself must be made no later than **five years** from 31 January after the end of the tax year in which the shares are issued. Therefore for shares issued in the tax year 2022/23, a claim must be made no later than 31 January 2029. [TCGA 1992, Sch 5B, para 6](#)

For an investor to obtain income tax relief on an EIS subscription, they must not be 'connected' with the company. Employees and certain directors are 'connected'

with a company, as are individuals who own more than 30% of the shares. If the investor is connected with a company, no income tax relief will be available.

This rule **does not apply for EIS reinvestment relief** for CGT purposes. Therefore, **if an individual sells an asset and subscribes for shares in an EIS company, they will receive reinvestment relief, regardless of their stake in the company.**

Similarly, there is no restriction to prevent existing shareholders claiming deferral relief.

A CGT deferral claim can be made, even if the investor is an employee of the company, or they hold 100% of the shares. Therefore a taxpayer can sell an asset, set up their own qualifying EIS company in which they own all of the shares, and make a claim to defer the capital gain.

Whilst HMRC will give CGT deferral relief, in this instance no income tax relief is available, because the taxpayer has more than 30% of the share capital.

20.5 The Frozen Gain

The frozen gain becomes chargeable when there is a chargeable event. [TCGA 1992, Sch 5B, para 3](#)

The most common chargeable event is the **sale of the EIS shares** themselves. When the EIS shares are sold, there will sometimes be a gain on the shares themselves, and this disposal will also crystallise the frozen gain.

A **gift** of the EIS shares is also a chargeable event, **unless** the gift is to one's **spouse**. If a taxpayer gifts shares to their spouse, this does not crystallise the frozen gain. However, when the spouse ultimately disposes of the EIS shares, this will be a chargeable event.

Also, if the EIS **shares themselves cease to be eligible** shares, the frozen gain will become chargeable. For example, if the EIS company changes its trade and engages in non-qualifying activities, the deferred gain is charged.

However, a **flotation** of the EIS company on the Stock Exchange **does not crystallise the frozen gain.**

The frozen gain will crystallise in the year of the chargeable event, and not when the original disposal took place. [TCGA 1992, Sch 5B, para 4](#)

Where only part of the holding of EIS shares is disposed of, only a corresponding part of the deferred gain will crystallise. [TCGA 1992, Sch 5B, para 4\(1\)](#)

20.6 Interaction with Business Asset Disposal Relief

It is possible for a gain to be eligible for **both** EIS reinvestment relief and business asset disposal relief (entrepreneurs' relief prior to 6 April 2020). The individual claims either business asset disposal relief or EIS reinvestment relief on the disposal. However, if EIS reinvestment relief is claimed, it will be possible to claim business asset disposal relief when the frozen gain comes back into charge. The deferred gain will therefore be taxed at the business asset disposal relief rate of 10%.

The business asset disposal relief claim must be made by the first anniversary of 31 January following the tax year in which the frozen gain comes into charge. You

should note that the availability of business asset disposal relief depends on satisfying the BADR conditions at the time of the **original** disposal.

20.7 Interaction with Investors' Relief

It is possible for a gain to be eligible for both EIS reinvestment relief and investors' relief:

1. If the individual **claims investors' relief** in respect of the gain, the gain will be chargeable in the year of disposal at a rate of **10%**.
2. If the individual **claims EIS reinvestment relief**, when the frozen gain comes back into charge, it will be taxed at 10% or 20% depending on whether the individual is a higher rate taxpayer. It will not qualify for the investors' relief tax rate of 10%.

20.8 SEIS Reinvestment Relief

We will now consider Seed Enterprise Investment Scheme (SEIS) reinvestment relief. [TCGA 1992, Sch 5BB](#)

SEIS reinvestment relief applies where an individual makes a chargeable gain on a disposal **and also** claims SEIS income tax relief.

When an individual subscribes for shares in a qualifying SEIS company, they receive income tax relief by way of a tax reducer at 50% of the amount subscribed. This is capped at £100,000 giving a maximum tax reducer of £50,000.

From a CGT perspective, if an individual sells an asset and **reinvests** the sale proceeds in acquiring shares on which SEIS income tax relief is claimed in respect of the year of disposal of the asset, they may claim **SEIS reinvestment relief**.

SEIS reinvestment relief does not defer the gain. Instead it **exempts an amount of the gain from CGT**. [TCGA 1992, Sch 5BB, para 1](#)

The amount of the exempt gain is 50% of the available SEIS expenditure.

The amount of the available SEIS expenditure is the lowest of:

- i. the **gain**;
- ii. the amount **reinvested on which SEIS income tax relief is claimed**;
- iii. the **specific amount claimed**.

As the maximum amount on which SEIS income tax relief can be claimed is £100,000 per tax year, **the maximum available expenditure is £100,000**. The maximum gain that can be treated as exempt is therefore £50,000.

➤ Illustration 3

Harriet sold a painting in December 2022 and realised a gain of £50,000. In February 2023 she subscribed £20,000 for shares in Tom Ltd and claimed SEIS income tax relief.

Show how much of the gain on the sale of the painting will be exempted with SEIS reinvestment relief and how much will be chargeable, assuming the maximum claim for relief is made.

The amount of the available SEIS expenditure is the lowest of:

- i. the gain – £50,000;
- ii. the amount invested on which SEIS income tax relief is claimed – £20,000;
- iii. the amount claimed.

The maximum amount Harriet can claim is £20,000.

The amount of the exempt gain is 50% of the available expenditure, ie £10,000. The balance of the gain of £40,000 is chargeable as normal.

The SEIS reinvestment relief **claim** must be made no later than **five years** from the **31 January** after the end of the tax year in which the shares are issued. Therefore, for claims in respect of shares issued in the tax year 2022/23, a claim must be made no later than 31 January 2029.

Provided the SEIS shares **are held for three years** the relieved gain is **wholly exempt**. If the SEIS income tax relief is withdrawn, most likely because the SEIS shares are sold within three years, the relieved gain becomes chargeable. The gain will be charged to tax in the tax year the shares were originally issued. [TCGA 1992, Sch 5BB, para 5](#)

20.9 Social Enterprise Reinvestment Relief

Social investment tax relief (SITR) aims to **encourage individuals to invest in 'social enterprises'** such as Community Benefit Societies or Community Interest Companies.

SITR offers investors a **30% income tax reducer** in the year the investment is made.

The investment can be in the form of **newly issued shares or debt** (eg debentures or simple commercial loan). The income tax relief is wholly or partly withdrawn if the investment is disposed of within three years.

A capital gains tax deferral relief is also available when a SITR investment is made.

Social enterprise reinvestment relief allows **capital gains on disposals of any asset to be deferred** where the gain is reinvested in shares or debt investments in an organisation which is eligible for relief under the SITR scheme. [TCGA 1992, Sch 8B](#)

To make a CGT deferral claim, the **investor must be eligible for social investment income tax relief**, although a claim for the income tax relief does not actually have to be made. [TCGA 1992, Sch 8B, para 1\(1\)\(c\)](#)

This means that the **investor** (together with their associates) **cannot either**:

- **work for the social enterprise** as an employee or paid director; or
- **own more than 30%** of the social enterprise's ordinary share capital, loan capital or voting rights.

The maximum amount of capital gains which may be deferred in a tax year by way of social enterprise reinvestment relief is £1 million. [TCGA 1992, Sch 8B, para 4\(5\)](#)

The gain to be deferred can arise from the disposal of **any kind of asset**.

The investor must be UK resident both when the gain accrues and when the investment in the social enterprise is made. [TCGA 1992, Sch 8B, para 1\(4\)](#)

The eligible social enterprise investment must be made in the period **one year before or three years after the gain arose**. [TCGA 1992, Sch 8B, para 1\(6\)](#)

The amount of the gain that can be deferred is the lowest of:

- a. the gain arising;
- b. the amount invested in the social enterprise; or
- c. the amount specified in the claim. [TCGA 1992, Sch 8B, para 4](#)

The deferred gain can therefore be **restricted so as to use the taxpayer's annual exempt amount**.

The claim for relief must be made no later than five years after the 31 January following the tax year in which the investment is made (ie 31 January 2029 for investments made in 2022/23). [TCGA 1992, Sch 8B, para 8](#)

The deferred capital gain is brought back into charge whenever a 'chargeable event' occurs. [TCGA 1992, Sch 8B, para 5](#)

The most common 'chargeable events' will be either:

- i. a **disposal of the investment** (other than a transfer to a spouse); or
- ii. the social enterprise **ceasing to meet the requirements** of the scheme. [TCGA 1992, Sch 8B, para 6\(1\)](#)

EXAMPLES

❖ Example 1

Graham, a higher rate taxpayer, sold his 40% shareholding in Gunn Ltd in June 2022 making a gain of £50,000. He had owned the shares for many years but had never worked for the company. This was his only disposal in 2022/23.

Graham subscribed for 35,000 £1 shares in Risky Business Ltd, a qualifying EIS company, in March 2023.

What amount of EIS reinvestment relief would you advise Graham to claim?

❖ Example 2

Karolina, a higher rate taxpayer, sold a painting in May 2010 resulting in a gain of £185,000.

She invested £100,000 in a qualifying EIS company in April 2011. She sold these shares in July 2022.

What amount of CGT in respect of the sale of the painting will be payable for 2022/23, assuming that Karolina always makes any beneficial claims for relief?

ANSWERS

✓ Answer 1

	£
Gain on Gunn Ltd shares	50,000
Less: EIS reinvestment relief	<u>(35,000)</u>
	15,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gain	<u>2,700</u>
CGT @ 20%	<u>540</u>

Graham should claim the full **£35,000** of EIS reinvestment relief.

Business asset disposal relief will not be available as he did not work for the company.

✓ Answer 2

An EIS claim for £100,000 would have been made in respect of the 2010 gain. This £100,000 would have been frozen until the disposal of the EIS shares.

The frozen gain therefore becomes chargeable in 2022/23.

	£
Deferred gain now chargeable	100,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gain	<u>87,700</u>
CGT @ 20%	<u>17,540</u>

CHAPTER 21

GAINS AND LOSSES ON EIS/SEIS/SOCIAL ENTERPRISE/VCT SHARES

By the end of this chapter you will understand:

- when gains on EIS/SEIS shares are exempt
- the calculation of losses on EIS/SEIS shares
- how losses in respect of EIS/SEIS shares can be used against income
- CGT consequences of sales of VCT shares
- CGT consequences of sales of social enterprise shares

21.1 EIS and SEIS Shares Sold at a Gain

Where EIS and SEIS shares are sold at a gain, that capital gain is **sometimes exempt** from CGT. [TCGA 1992, s.150A\(2\)](#); [TCGA 1992, s.150E\(2\)](#)

The gain is exempt from CGT if **two conditions** are satisfied.

1. The shares must be sold outside the 'relevant period', which is **three years** after the issue of the shares.
2. The investor must have **obtained income tax relief** on the subscription. To obtain income tax relief on the subscription, the investor must not have been 'connected' with the company. Therefore if the investor is connected with the company – eg they are an employee or own more than 30% of the shares – they cannot obtain income tax relief on the subscription, so the gains on the shares will not be exempt from CGT.

If any of these conditions are **not** satisfied, a gain on EIS or SEIS shares is a chargeable gain as usual. A claim for investors' relief may be possible if the necessary conditions have been met.

The annual maximum investment qualifying for EIS income tax relief is currently limited to £1 million (or £2 million provided at least £1 million is invested in knowledge intensive companies).

The annual maximum investment qualifying for SEIS income tax relief is currently £100,000.

21.2 EIS and SEIS Shares Sold at a Loss

Where EIS and SEIS shares are sold at a loss, the loss is **always an allowable loss** regardless of when the shares were sold. However, in order to calculate the amount of the allowable loss, any **income tax relief** obtained on the subscription reduces the base cost for capital gains tax purposes. Essentially, any income tax relief obtained by the investor **will reduce the capital loss** that they may claim. [TCGA 1992, ss.150A\(2A\), 150A\(1\) and 150E\(3\)](#)

As we know, an investor currently receives income tax relief by way of a tax reducer of 30% of the amount of the EIS subscription, now capped at £1 million (or £2 million if there is investment in knowledge intensive companies). The tax reducer in respect of a SEIS subscription is 50% of the amount subscribed, capped at £100,000. This **income tax relief is withdrawn** if the shares are **sold within three years**

of their issue. The amount of the income tax relief withdrawn is the proceeds of sale multiplied by the rate at which income tax relief was originally given. [ITA 2007, s.209; s.257FA](#)

In the vast majority of instances, the rate of relief is 30% for EIS shares issued and 50% for SEIS shares. The withdrawal will never exceed the amount of relief given in the first place. Income tax relief is withdrawn by means of an assessment for the year in which the relief was originally obtained.

➤ Illustration 1

In May 2020, Karen subscribed £50,000 for shares in a qualifying EIS company. She received income tax relief of £15,000 on the subscription being £50,000 at 30%. Karen sells the shares in March 2023. Her proceeds of sale are £32,000.

Calculate the allowable loss available.

Karen paid £50,000 for the shares, so her cash loss is £18,000. However, to arrive at the allowable loss for CGT purposes, we must deduct any income tax relief Karen has been given from the base cost of the shares for CGT purposes.

Karen's original income tax relief was £15,000. However, because she sold the EIS shares within three years of issue, some of this income tax relief is withdrawn. The income tax relief withdrawn is £32,000 – ie the sale proceeds – multiplied by the rate of relief which applied when the shares were issued, ie 30%, to give £9,600. In total therefore, Karen has only received £5,400 worth of income tax relief. The base cost of Karen's EIS shares is therefore £44,600. Karen's allowable loss for CGT purposes is therefore £12,600.

March 2023		£
Proceeds		32,000
Cost	50,000	
Income tax relief		
Original – Amount withdrawn (15,000 – 9,600)	(5,400)	
		(44,600)
Allowable loss		(12,600)

Another way of arriving at this figure, is to look at the loss on the sale of the shares and deduct any income tax relief given. Karen lost £18,000 on the sale of the shares, but received £5,400 worth of income tax relief. Her effective loss is therefore £12,600 and this is the allowable loss for CGT.

➤ Illustration 2

Consider whether the position would have been different if Karen had sold her shares in March 2024, again for £32,000.

Karen paid £50,000 for the shares in May 2020. The income tax relief obtained on the subscription was £15,000. This time, because Karen has sold the shares more than three years after their issue, none of the income tax relief is withdrawn. The total income tax relief given is therefore £15,000. This reduces the base cost of the EIS shares to £35,000.

Karen's allowable loss for capital gains tax purposes is therefore £3,000. Again this is the loss on the shares of £18,000, less income tax relief given of £15,000.

March 2024		£
Proceeds		32,000
Cost	50,000	
Income tax relief	<u>(15,000)</u>	
		<u>(35,000)</u>
Allowable loss		<u>(3,000)</u>

21.3 Sale of Social Enterprise Shares

A gain on shares in a social enterprise is exempt from CGT if:

- i. **Income tax relief (SITR) was received in respect of the investment** and has not subsequently been withdrawn; and
- ii. The shares **have been held for at least three years.**

[TCGA 1992, s.255B\(2\)](#)

If either of the above conditions do not apply, the capital gain on the social enterprise shares is chargeable in the usual way.

Where a disposal of social enterprise shares gives rise to a capital loss, **the loss is allowable for CGT purposes** (irrespective of when the disposal took place).

[TCGA 1992, s.255B\(3\)](#)

However, when calculating the allowable loss, **the base cost of the shares is reduced by any income tax relief** obtained on the investment.

[TCGA 1992, s.255B\(1\)](#)

Note that the capital gains rules on disposals of investments **only usually need to be considered where the SITR investment is in the form of shares.**

SITR also applies where the investment is by way of loan or debenture. However, these assets will usually be exempt from CGT because the debenture qualifies as a QCB (most loan stock and debentures issued by UK social enterprises will be denominated in sterling and be non-convertible and will therefore be QCBs).

21.4 S.131 ITA 2007 Election – Use of Capital Losses Against Income

Under normal rules, a loss on sale of shares is relieved as any other capital loss. It must first be set against gains in the same tax year and any excess will be carried forward and set against future capital gains.

However, s.131 ITA 2007 allows an individual to use losses qualifying in a slightly different way. If a claim is made, the capital loss **can be deducted in computing the individual's net income**, either of the **current year or of the preceding year.**

[ITA 2007, s.131](#)

This is very unusual and is the **only time** when a taxpayer can **set a capital loss against income**. Section 131 allows a taxpayer to use a loss on shares in much the same way as a trading loss can be used – ie in computing net income.

This **relief is available on qualifying shares**. These are either:

- shares on which **EIS** income tax relief has been claimed; or

- **unquoted** shares in a **qualifying trading** company which have been **subscribed** for by the individual (which would include SEIS shares).

In practice, relief will most commonly arise when an individual makes losses on shares which have EIS or SEIS income tax relief attributable to them.

However, if an individual subscribes for shares in an unquoted trading company which meets the conditions for s.131 relief, which broadly means they do meet the conditions of qualifying EIS shares, then any loss arising on disposal can normally be set against net income, even where EIS income tax relief has not been claimed.

As such, any allowable loss on SEIS shares or SITR shares will also qualify for relief under s.131.

➤ Illustration 3

Returning to the illustration above and assuming Karen sold the EIS shares in March 2023 with an allowable capital loss of £12,600 for 2022/23, discuss Karen's option for using the loss.

If no claims are made, this capital loss will **first be set** against Karen's capital **gains in the same tax year**, and any **excess** will be **carried forward** and set against future capital gains. In this situation the loss on the EIS shares is relieved in the same way as losses on other assets.

However, if Karen makes a claim under s.131, instead of setting the capital loss against other capital gains, Karen could elect to set the loss against her income for 2022/23 or against her income for the preceding year 2021/22. [ITA 2007, s.131](#)

Whether or not it is beneficial to make the claim will depend on the taxpayer's individual circumstances. However, given that CGT rates are generally lower than income tax rates, this will often be a desirable claim.

21.5 Sales of VCT Shares

If VCT shares are sold at a profit, the capital **gain is exempt** from CGT. Unlike EIS shares, the ownership period is irrelevant. [TCGA 1992, s.151A\(1\)](#)

Similarly, any **losses** incurred on a sale of VCT shares are **not allowable** for capital gains tax purposes.

However, the above exemption only applies to the first £200,000 of shares acquired in the year. Any shares acquired in excess of this threshold are chargeable assets for CGT purposes.

If an allowable loss is incurred in respect of VCT shares, relief for the loss is only available against capital gains. VCT shares do not meet the conditions for relief under s.131 ITA 2007 and therefore relief for the loss cannot be claimed against income.

There are some useful **summaries** in the corresponding chapter of your memory jogger which recap on both the **income tax** and **capital gains tax** implications of **EIS, SEIS, Social Enterprise and VCT investments**.

EXAMPLES

❖ Example 1

Riccardo sold his shares in British Airways plc (< 1% holding) in May 2022 making a gain of £100,000. He had owned the shares for many years.

In September 2022 he subscribed for £75,000 of shares in Wot-Widget Ltd, an EIS company.

Riccardo sold the Wot-Widget Ltd shares in December 2023 for £85,000.

Calculate Riccardo's gains in 2023/24, assuming maximum claims for relief are made.

❖ Example 2

Vicky subscribed for the following EIS shares in June 2021.

	£
Corner Shop Ltd	60,000
Street Cars Ltd	50,000

She received income tax relief on both subscriptions.

In December 2022, Vicky sold the Corner Shop Ltd shares for £40,000 and the Street Cars Ltd shares for £75,000.

Calculate Vicky's chargeable gains and/or allowable losses in 2022/23.

ANSWERS

✓ Answer 1

<u>2022/23</u>	£
Gain on British Airways shares	100,000
Less: EIS reinvestment relief	<u>(75,000)</u>
Gain	<u>25,000</u>

The maximum claim for reinvestment relief here is £75,000, so this much of the gain will be frozen.

2023/24

<u>Sale of EIS shares: (held < 3 years)</u>	
Proceeds	85,000
Less: Cost	<u>(75,000)</u>
Gain	10,000
Plus frozen gain now crystallising	<u>75,000</u>
Chargeable gains	<u>85,000</u>

✓ Answer 2

Corner Shop Ltd shares:

	£	£
Shares sold at a loss.		
Income tax relief withdrawn as sold within three years		
Proceeds		40,000
Cost	60,000	
Less: Income tax relief		
Original – Amount withdrawn (18,000 – 12,000)	<u>(6,000)</u>	
		<u>(54,000)</u>
Loss		<u>(14,000)</u>

Street Cars Ltd shares:

Gain is chargeable as sold within three years	
Proceeds	75,000
Less: Cost	<u>(50,000)</u>
Gain	<u>25,000</u>

Note that the loss on the Corner Shop shares can either be set against the current year gain or can alternatively be deducted in computing Vicky's net income in 2021/22 or 2022/23. Which is the most beneficial position will depend on the level of Vicky's taxable income.

CHAPTER 22

PRIVATE RESIDENCE RELIEF

By the end of this chapter you will understand:

- what the term 'private residence' means
- how to calculate private residence relief (PRR)
- the 'deemed occupation' rules and their impact on the relief available
- the effect of delayed occupation on the relief available

22.1 Introduction

In this section, we shall look at the relief an individual receives when they make a capital gain on the sale of their **only or main residence**. This relief is known as 'private residence relief', shortened to 'PRR'.

You will find that PRR is also known as principal private residence relief (PPR relief), which you may encounter in practice. However, throughout this manual we will refer to private residence relief (PRR).

PRR exempts all or part of a gain which arises on a property which an individual has used as their home. We start by calculating the capital gain on the sale of the property in the normal way. From this we will deduct private residence relief to arrive at the chargeable gain. [TCGA 1992, s.223\(1\)](#)

Gain on property	X
Less: PRR	(X)
Chargeable gain	X

In the majority of instances, we are dealing with a private residence – ie not an asset used in a business.

PRR is an exemption relief and reduces the capital gain rather than deferring it to a later period in time. To calculate the amount of the gain which is exempt, we multiply the gain by the following fraction: [TCGA 1992, s.223\(2\)](#)

$$\text{Gain} \times \text{Period of occupation of property} / \text{Period of ownership}$$

As you will see, if the taxpayer has lived in the property as their home throughout the whole period of ownership, 100% of the gain is exempt and no gain is chargeable.

For most taxpayers therefore, a capital gain made on the sale of their home will be completely exempt as it will be wholly covered by PRR. A **gain will only arise** if the taxpayer has been **absent** from the property **at some point** during their period of ownership. We will look at how we calculate capital gains in this instance later in the session.

22.2 Private Residence

Before we look at the detailed computation, we will consider what is meant by the term 'private residence'. Gains on the disposal of a **'dwelling house'** will qualify for PRR. A 'dwelling house' means not only the main building, but includes any relevant buildings adjoining it. Relevant buildings here would include garages, outhouses, and separate buildings occupied either by members of the family or by staff or employees. [TCGA 1992, s.222](#)

A taxpayer's private residence also includes **gardens and grounds**, provided the entire area including the site of the house, does not exceed **half a hectare**. HMRC will permit a larger area to qualify for PRR if they are satisfied that the whole area of land is required for the **'reasonable enjoyment'** of the property. [TCGA 1992, ss.222\(2\)–\(3\)](#)

22.3 Calculation of the Relief

The PRR is the gain, multiplied by periods of occupation, divided by the total period of ownership.

The acquisition date for CGT purposes is the date that **unconditional contracts are exchanged**. However, the **period of ownership** for PRR purposes **begins on the date the purchase is complete** and the individual has the right to occupy the property.

In this context, 'occupation' means both **actual** occupation and **deemed** occupation.

By deemed occupation we mean periods during which the taxpayer is **physically absent** from the property, but for PRR purposes they are **treated as living there**. We shall look at the various periods of deemed occupation in more detail shortly.

In any event, the **last nine months** of ownership are **always** treated as a period of **deemed occupation**, regardless of whether the taxpayer is living there or not. The only condition here is that the taxpayer must have **occupied the property as their home at some stage**. [TCGA 1992, s.223\(2\)\(a\)](#)

22.4 Deemed Occupation

Certain periods of absence can be treated as occupation, and these periods are listed at s.223 TCGA 1992. Before looking at periods of deemed occupation, it is very important to note that a period of absence can only be treated as a period of deemed occupation if it was both **preceded and followed by a period of actual, physical occupation**. [TCGA 1992, s.223\(3\)](#)

Therefore, if a taxpayer purchases a property, lives in it for a while then moves out, we can only count the period of absence as a period of occupation if the taxpayer returns to the property and lives in the house before they sell it.

HMRC has not given any guidance about how long a taxpayer must live in a property for that to constitute actual occupation. Instead they will look at the individual facts and circumstances of each case. It may be possible for a taxpayer to return to their house for just a few weeks, but the important thing is that the taxpayer must satisfy HMRC that for that short period the property was their home. As far as HMRC is concerned, they will look at the **quality** of the occupation rather than the physical time period.

The legislation is very specific as to which periods of absence can count as deemed occupation. There are **three** periods of absence that will qualify.

1. Where the owner is **abroad by reason of their employment**, that period of absence can be treated as a period of deemed occupation. This period is **unlimited**. [TCGA 1992, s.223\(3\)\(b\)](#)
2. Where the owner was absent from the property due to **working elsewhere** – either as an employee or as a self-employed trader – that period of absence will also qualify as deemed occupation. Here the period of deemed occupation is limited to a **maximum of four years**. [TCGA 1992, s.223\(3\)\(c\)](#)
3. Finally, **any period** of absence up to a **maximum of three years** will qualify as a period of deemed occupation. [TCGA 1992, s.223\(3\)\(a\)](#)

These three periods of deemed occupation can apply cumulatively. This means that a longer period of absence may all qualify as deemed occupation, as certain periods can be added together.

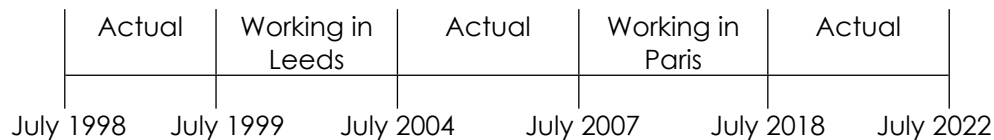
A period of absence is treated as a period of deemed occupation if the individual is **living with a spouse who meets one of the necessary conditions** relating to work or employment.

It is extremely important to remember that a period of absence will only qualify as deemed occupation if it was **both preceded and followed by actual occupation**. This means that the taxpayer must return to the property and live in the house as their home, in order for the intervening periods to qualify.

➤ Illustration 1

A taxpayer bought a house in July 1998 and sold it 24 years later in July 2022. From July 1998 to July 1999, the taxpayer occupied the property as their main residence. In July 1999 the taxpayer was relocated by their employer to work in Leeds, and their secondment finished in July 2004. At that point they returned to the property and lived there until July 2007.

In July 2007 the taxpayer was sent by their employer to work in Paris. They returned from Paris in July 2018 and resumed occupation of the property until the date of sale in July 2022. While in Paris they lived in employer provided accommodation.



On the sale of the property in July 2022, the taxpayer made a gain of £600,000.

Calculate the chargeable gain, after PRR.

To calculate the PRR, we must identify the taxpayer's periods of occupation and periods of absence. From July 1998 until July 1999, the taxpayer lived in the property, so this is one year of actual occupation.

Between July 1999 and July 2004, the taxpayer was unable to occupy the house due to working elsewhere. To determine whether this qualifies as a period of deemed occupation, we must look forward and find out if the taxpayer resumes occupation of the property at some point after July 2004. Between July 2004 and July 2007, the taxpayer lived in the property again as their main residence. We therefore can consider the deemed occupation rules.

Periods of absence whilst the taxpayer is working elsewhere qualify as deemed occupation up to the maximum of four years. In addition, any period of absence up to three years will also qualify as deemed occupation. **Because these periods can apply cumulatively, we can add them together.** This means that the whole of the five-year period between July 1999 and July 2004 will qualify as a period of deemed occupation.

Between July 2007 and July 2018, the taxpayer was in Paris by reason of their employment. Again, in order to find out whether this period qualifies, we look forward and see if the taxpayer comes back and reoccupies the property.

The taxpayer returned to the property and lived there between July 2018 and July 2022. They therefore have four years of actual occupation.

Again, we can consider the deemed occupation rules. Any period of absence during which the owner was abroad by reason of their employment will qualify as deemed occupation. Here, therefore, the whole eleven-year period will be treated as a period of occupation.

	Occupation months	Absence months
July 1998 – July 1999 (actual)	12	
July 1999 – July 2004 (4 years working in UK + 1 year for any reason)	60	
July 2004 – July 2007 (actual)	36	
July 2007 – July 2018 (working abroad)	132	
July 2018 – July 2022 (actual)	48	
Total	<u>288</u>	<u>Nil</u>

The whole period of ownership – ie 288 months – is therefore treated as occupation, and the taxpayer has no periods of absence. This is despite the fact that out of the 288 months of ownership, they have only physically lived in the property for 96 months. The gain of £600,000 will therefore qualify for £600,000 worth of PRR. This reduces the gain to zero, effectively making the gain completely exempt.

Gain	£ 600,000
Less: PRR $600,000 \times 288/288$	(600,000)
Chargeable gain	<u>Nil</u>

➤ Illustration 2

A taxpayer purchased a property on 1 April 1987 and sold it on 1 October 2022. Between the date of purchase and April 1996, the taxpayer occupied the property as their main residence. They moved out in April 1996 to live in their partner's house.

They returned to the property in April 1998 and resumed residence. In April 2001, they were sent by their employer to work abroad and lived in employer provided accommodation. The taxpayer returned to the UK in October 2015, but never reoccupied the property. They sold the property in October 2022 making a gain of £600,000.

Calculate the chargeable gain, after PRR.

We split the taxpayer's ownership period between periods of occupation and periods of absence.

Between April 1987 and April 1996, the taxpayer had 108 months of actual occupation. Between April 1996 and April 1998, the taxpayer was living with their partner. To determine whether this will qualify as deemed occupation, we look forward and see if the taxpayer returned to the property. The taxpayer came back and lived in the property between April 1998 and April 2001. Here they will have another 36 months of actual occupation.

We can consider the deemed occupation rules for the period in between. Here the 24 months period will qualify as deemed occupation, because it is a period of less than three years for any reason whatsoever.

The taxpayer left the UK to take up employment abroad in April 2001. The taxpayer never returned to the property before they sold it in October 2022. This means that they will not be able to claim that the period during which they were employed abroad was a period of deemed occupation.

However, the last nine months of ownership are always treated as deemed occupation, as long as the taxpayer has lived in the property at some time beforehand. Therefore, the 9-month period from January 2022 to October 2022 is treated as a period of occupation.

Because the taxpayer never returned to the property, the period from April 2001 to January 2022 will be treated as a period of absence.

Therefore the taxpayer will have 177 months of occupation and 249 months of absence. These total 426 months– ie the period between April 1987 and October 2022.

	Occupation months	Absence months	Total months
April 1987 – April 1996 (actual)	108		
April 1996 – April 1998 (any reason)	24		
April 1998 – April 2001 (actual)	36		
April 2001 – January 2022 (never returned)		249	
January 2022 – October 2022 (last 9 months)	9		
Total	<u>177</u>	<u>249</u>	<u>426</u>

The taxpayer sold the property and made a gain of £600,000. The PRR is therefore the gain, multiplied by the period of occupation, divided by the period of ownership.

Gain	£ 600,000
Less: PRR	
$600,000 \times 177/426$	<u>(249,296)</u>
Chargeable gain	<u>350,704</u>

From these two illustrations, you will note the technique we use to identify periods of occupation and periods of absence. Identify each separate period, dealing with actual occupation first. Remember that any absences can only be counted as deemed occupation if the taxpayer returns to occupy the property at some time in the future. If they do you can consider the three periods of deemed occupation. Finally, do not forget that as long as the taxpayer has lived in the property at some point, **the last nine months of ownership will always count as occupation.**

22.5 Unable to Reoccupy Property

We have seen that where an owner is absent from a property due to employment overseas (for any period) or due to working elsewhere (for up to four years), the period of absence will be treated as deemed occupation provided it is both preceded and followed by actual occupation.

However, if an individual is **unable to reoccupy the property** as the situation of their place of work or the terms of their employment require them to work elsewhere, the period of absence can still be treated as a period of deemed occupation. [TCGA 1992, s.223\(3B\)](#)

22.6 Delay in Taking up Residence

It is common in practice for an individual to acquire a house to live in as their main residence but then to be unable to occupy the property immediately because, for example, certain alterations or decorations need to be carried out.

There is therefore a period of 'absence' created at the start of the period of ownership.

PRR is allowed during this period of absence provided it does not exceed 24 months.

The period of absence is treated as a period of occupation if, prior to the individual moving in within the 24-month period, there is a qualifying event. A qualifying event is either:

- the completion of construction, renovation, redecoration or alteration of the property; or
- the disposal of an interest in another dwelling house which immediately prior to disposal was the individual's only or main residence. [TCGA 1992, s.223ZA](#)

EXAMPLES

❖ Example 1

Samira sold her house in Kent in December 2022 making a gain of £100,000. She bought it in December 2011 and lived in it until December 2015 at which point she was sent on an assignment to Scotland by her employer and lived in employer provided accommodation. She returned to Kent in 2021 but never re-occupied the property.

Calculate the private residence relief available to Samira.

❖ Example 2

Adrian made a gain of £315,000 on the sale of his flat in London in March 2023. He bought the flat in March 2000. In March 2002 he was relocated to Bristol where he lived with his parents until March 2011. He returned to the flat and lived there until March 2016 at which point he moved to Windsor to live in his girlfriend's house. Adrian never returned to the flat.

Calculate his chargeable gain.

ANSWERS

✓ Answer 1

	Occupation months	Absence months	Total months
December 2011 – December 2015 (actual)	48		
December 2015 – March 2022 (never returned)		75	
March 2022 – December 2022 (last 9 months)	9		
Total	<u>57</u>	<u>75</u>	<u>132</u>

PRR: $100,000 \times 57/132 = \underline{43,182}$

✓ Answer 2

	Occupation months	Absence months	Total months
March 2000 – March 2002 (actual)	24		
March 2002 – March 2011 (first 4 years – working in UK)	48		
(next 3 years – any reason) (remainder)	36		
March 2011 – March 2016 (actual)	60	24	
March 2016 – June 2022 (never returned)		75	
June 2022 – March 2023 (last 9 months)	9		
Total	<u>177</u>	<u>99</u>	<u>276</u>

Gain	£ 315,000
Less: PRR	
$315,000 \times 177/276$	<u>(202,011)</u>
Chargeable gain	<u>112,989</u>

CHAPTER 23

PRR – FURTHER ASPECTS

By the end of this chapter you will understand:

- the conditions for 'lettings relief' to apply
- how to calculate lettings relief
- how PRR interacts with the 'rent-a-room' scheme
- what happens if an individual owns more than one residence
- the rules for spouses

23.1 Lettings Relief

Having discussed the basic principles of PRR in the previous chapter, we will take the topic a stage further by discussing further aspects, starting with lettings relief. Lettings relief can be given in certain circumstances in addition to PRR. Lettings relief is available where **part** of a dwelling house is the **individual's main residence** and another **part** of the house is **let out** as **residential accommodation**. It is necessary that the individual and the tenant share occupation of the house, but that the tenant has exclusive use of their part. [TCGA 1992, s.223B](#)

As a result of the tenant having exclusive use of their part, the individual's main residence does not include the part let out. PRR will not apply to the part let out. However, lettings relief will apply to this part.

Lettings relief is the **lowest of three numbers**:

1. Lettings relief cannot be more than the **gain attributable** to the let part which is not covered by PRR.
2. Lettings relief can never exceed the amount of the PRR.
3. Finally, the maximum amount of lettings relief is **£40,000**.

Lettings relief cannot turn a gain into a loss. It could, however, reduce a gain to zero.

Gains are apportioned on an 'appropriate' basis, and in practice a split of the gain based on the floor area of the individual and let components of the property will usually be acceptable to HMRC.

Any gains arising in the **last nine months** of ownership will still be **fully exempt**, as long as **all of the house has been used** for living accommodation as the individual's **main residence at some point** during the period of ownership.

➤ Illustration 1

A taxpayer purchased a house on 1 April 2007. For the first six years, the taxpayer occupied the whole of the house as their main residence. During the other ten years, the top floor, representing one third of the property, was let to a tenant for their exclusive use as residential accommodation. The entire property was sold in March 2023 at a capital gain of £230,400.

Calculate the chargeable gain after PRR and lettings relief.

Between April 2007 and March 2013, all of the property was occupied by the taxpayer as their main residence. The whole of this six-year period will therefore qualify for full PRR. As the whole of the property has been used as the taxpayer's main residence at some stage during the period of ownership, full PRR can be claimed in the last nine months. Therefore, 100% of the capital gain is exempt for 81 months out of the 192 months of ownership.

	Full relief months	Partial relief months	Total months
April 2007 – March 2013	72		
April 2013 – June 2022 (let 1/3) (PRR 2/3)		111	
July 2022 – March 2023	<u>9</u>	<u> </u>	<u> </u>
Total	<u>81</u>	<u>111</u>	<u>192</u>

This leaves a 111-month period between April 2013 and June 2022 where the property was partly used as the taxpayer's main residence and partly let out as living accommodation. PRR can therefore be claimed on two thirds of the gain arising in this 111-month period.

The PRR will be:

	£
$230,400 \times 81/192$	97,200
$230,400 \times 111/192 \times 2/3$	<u>88,800</u>
PRR	<u>186,000</u>

Lettings relief is the lowest of three figures:

- The gain attributable to the let part not covered by PRR. Part of the property was let between April 2013 and June 2022. The gain attributable to letting in this 111-month period is one third of 111/192ths of the total gain of £230,400, being £44,400 ($1/3 \times 111/192 \times 230,400$).
- PRR being £186,000.
- The maximum lettings relief of **£40,000**.

The lowest of these three numbers is £40,000, so this is the lettings relief. We deduct this lettings relief to give the chargeable gain.

	£	£
Gain		230,400
Less: PRR (as above)		<u>(186,000)</u>
		44,400
Less: Lettings relief		
Lowest of:		
i. Gain attributable to let period (as above)	44,400	
ii. PRR	186,000	
iii. Maximum	40,000	
		<u>(40,000)</u>
Gain		<u>4,400</u>

Remember, it is a requirement for lettings relief that part of the house is let for exclusive use as residential accommodation and part of the house is occupied by the taxpayer as their main residence. Consequently, it is likely that the availability of lettings relief will be fairly limited.

23.2 Interaction with the 'Rent-a-Room' Scheme

Where a home owner lets out part of their main residence to a lodger – ie the owner and the lodger share the house – then, for income tax purposes, rental income is only taxable to the extent that it exceeds the rent-a-room threshold of £7,500. In this case, the owner and the lodger are sharing occupation of the whole property. The lodger does not normally have exclusive use of any part. [ITTOIA 2005, s.789](#)

In this instance, when the owner comes to sell their house, **full PRR** will be available. There is no need for the taxpayer to apportion the gain into that which relates to the owner-occupied part and that which relates to the let part. In effect, for PRR purposes, they are treated as having lived in the whole of the property despite the fact that part of it was being let out to a lodger. There is therefore no need to consider lettings relief if rent-a-room relief applies and no need to restrict the PRR available.

23.3 More than One Residence

Next we will consider how we deal with the situation where an individual has more than one private residence available for them to use as a home at any given time. If no action is taken, **HMRC will determine** which of the two properties is to be treated as the main private residence for CGT purposes as a matter of fact. Usually the property which is most commonly used as a residence, will be regarded as the main residence. [TCGA 1992, s.222\(5\)](#)

However, the **taxpayer can instead** make an **election to nominate** one of the residences as their main residence for CGT purposes.

If a taxpayer wishes to nominate which of their residences is their main residence, they must make an **election to that effect within two years** of the date from which they had **two residences**. Note that in order to make the election the individual must **actually reside in both** properties. This means that if a taxpayer has two properties, one used as a home and one let out to a tenant, the home will automatically be eligible for PRR and no nomination will be possible.

Typically the taxpayer will elect for whichever of the properties is standing at the largest capital gain to be their principal private residence. This need not necessarily be the residence in which the taxpayer spends the majority of their time.

As a general rule, a taxpayer **can only have one** main private residence at any given time. The PRR rules do not normally allow exempt periods to overlap. However the **last nine months** of ownership of a property is **always treated as a period of exemption**, as long as the taxpayer has actually occupied the property as their private residence at some time beforehand.

Therefore, if a taxpayer purchases a second residence, and makes an election for that second residence to be treated as their main residence, as long as they sell the first residence within nine months, they will have two exempt residences for that period.

Similarly, if an election is made for a second property to be treated as the main residence but the property subsequently **ceases to be occupied as a residence, the election will lapse**. The first property will again be the main residence as a point of fact. However, as the second property was the main residence **at some point**, the last nine months of ownership will be treated as a period of occupation for PRR purposes.

In addition, if relief is given under s.223ZA TCGA 1992 (short delay by owner-occupier in taking up residence), then relief will be available for both residences if the taxpayer has another property which qualifies as their main residence during this period.

Where there is a period of absence from a property which qualifies as a period of deemed occupation, the individual is treated as residing in the property. Therefore, if the taxpayer has another property which qualifies as their private residence at the same time, they will need to elect which property is to be treated as their main residence. For example, if an individual owned and lived in a house in Birmingham but purchased a flat in Edinburgh to live in whilst on assignment there for three years, they would need to elect which property was to be treated as their main residence during that period.

23.4 Varying a Main Residence Nomination

Once a taxpayer has made a valid nomination for one of their residences to be their main residence, **they can vary that nomination at any time**.

The variation can either take effect from the date it is made, or it can be backdated to take effect from any time in the previous two years.

This ability to vary a nomination can be used for planning purposes in order to achieve some CGT relief on a property which would otherwise have been fully taxable.

➤ Illustration 2

Ezri owns a house in Birmingham which is his main residence. In 2020 he bought a flat in Liverpool as he needed to work in Liverpool for a couple of weeks every month and he didn't want to either commute or stay in hotels.

As he had two properties being used as residence at the same time, Ezri nominated the house in Birmingham to be his main residence.

Ezri's Liverpool contract will finish soon, so he has decided to sell the flat. A buyer has been found and contracts will be exchanged in 3 or 4 weeks' time. The gain arising will not be eligible for any PRR as the house in Birmingham is Ezri's nominated main residence.

However, Ezri could vary the nomination just before the sale of the flat and ask HMRC to treat the Liverpool property as his main residence for the period from now until contracts are signed. If he does this, PRR will be available for the final nine months of ownership as the Liverpool flat had, by virtue of the nomination, been his main residence for some of the period of ownership.

When the flat is sold, the house in Birmingham will automatically revert to being Ezri's main residence. When he sells that house, he will only have a non-exempt period of a couple of weeks.

Ezri could ask HMRC to backdate the variation to take effect from any date in the last two years. This would reduce the chargeable gain on the Liverpool flat but would then mean that he would have a longer non-exempt period on the sale of the house in Birmingham.

The decision as to whether to backdate would be driven by which of the properties was standing at the higher gain.

23.5 Spouses

Throughout this manual, including this section, the word 'spouse' means husband, wife and civil partner.

Where **spouses** are living together, they may **only have one** qualifying main residence between them. It is not possible for them to each own a property, and for each of them to elect for the different properties to be their own respective main residences. [TCGA 1992, s.222\(6\)](#)

Couples who are not married or in a civil partnership can, however, each have a property qualifying for PRR, and will lose this privilege on marriage or entering into a civil partnership.

Transfers between spouses

Where spouses are living together for any part of a tax year, transfers of chargeable assets in that year automatically take place at **no gain/no loss**. The effect of this provision is that the donee spouse inherits the historical CGT base cost of the donor spouse for the purposes of calculating a gain on a future disposal.

PRR on inter-spouse transfers

If the spouses are living together, for PRR purposes the donee spouse is deemed to have acquired the part transferred at the date when it was acquired by the donor spouse. In addition, **any periods during which the donor had occupied the property as their residence are similarly deemed to be residence periods for the donee**. [TCGA 1992, s.222\(7\)](#)

EXAMPLES

❖ Example 1

Keith sold his home in March 2023 making a gain of £510,000.

He had bought it in March 2005 and lived in the whole property until March 2010.

Between March 2010 and the date of sale, part of the property was let to a residential tenant for their exclusive use. The let part represented 20% of the floor area. Keith continued to occupy the rest of the property.

Calculate Keith's chargeable gain.

❖ Example 2

Naga sold her house in Brighton in February 2023 making a gain of £140,000. She had bought it in February 2007 and had always lived there.

In February 2016, Naga had acquired a flat in London to use on an occasional basis. She elected for this to be her main residence immediately.

Calculate Naga's chargeable gain on the Brighton house.

ANSWERS

✓ Answer 1

	Full relief months	Partial relief months	Total months
March 2005 – March 2010 (actual)	60		
March 2010 – June 2022 (let 20%) (PRR 80%)		147	
June 2022 – Mar 2023 (last 9 months)	<u>9</u>	<u>147</u>	<u>216</u>
Total	<u>69</u>	<u>147</u>	<u>216</u>
Gain			£ 510,000
Less: PRR			
510,000 × 69/216	162,917		
510,000 × 147/216 × 80%	277,667		
			<u>(440,584)</u>
Gain after PRR			69,416
Less: Lettings relief			
Lowest of:			
i. Gain attributable to letting (510,000 × 147/216 × 20%)	69,416		
ii. PRR	440,584		
iii. Maximum	40,000		
			<u>(40,000)</u>
Gain			<u>29,416</u>

✓ Answer 2

	Occupation months	Absence months	Total months
February 2007 – February 2016 (actual)	108		
February 2016 – May 2022 (another main residence)		75	
May 2022 – February 2023 (last 9 months)	<u>9</u>	<u>75</u>	<u>192</u>
Total	<u>117</u>	<u>75</u>	<u>192</u>
Gain			£ 140,000
Less: PRR (140,000 × 117/192)			<u>(85,313)</u>
Gain			<u>54,687</u>

CHAPTER 24

ASSETS LOST OR DESTROYED

By the end of this chapter you will understand:

- how to calculate a gain when compensation is received
- the 'rollover' relief available and how it works
- what a 'negligible value claim' is and how it works

24.1 Introduction

As a general principle, if an individual receives a capital sum as **compensation** for the loss or destruction of an asset, this is a disposal for capital gains tax purposes. The detailed rules can be found at ss.22–24 TCGA 1992. [TCGA 1992, s.22](#)

The **date of disposal** for capital gains tax, is the **date that the capital sum is received**. The date of disposal is not the date that the asset was either lost or destroyed. [TCGA 1992, s.22\(2\)](#)

If an asset is physically **damaged** without being completely destroyed, and the individual receives a capital sum in compensation for the damage to the asset, we treat this as a **part disposal** for CGT purposes. As we have a part disposal we will use the 'A over A plus B' formula to help us calculate the capital gain. In this chapter we shall concentrate on assets which have been completely lost or destroyed. Where an asset is lost or destroyed this is a full disposal for CGT purposes.

24.2 Calculation of the Gain

The sale proceeds for CGT purposes is the capital sum received by the individual. Typically this capital sum will be paid by an insurance company in settlement of a claim.

If an asset is lost or destroyed but no proceeds are received, the individual makes a capital loss. This will be the case, for example, where an asset is lost or destroyed but that asset has not been insured.

To calculate the capital gain we use normal CGT rules. We take the insurance money received, then deduct cost to arrive at a gain in the normal way.

Insurance money	X
Less: Cost	(X)
Gain	X

24.3 'Rollover' Relief

Section 23 allows a form of 'rollover' relief to defer the capital gain when an asset is lost or destroyed. Assume an individual owns a painting which is stolen in a robbery. The painting is insured, so the insurance company pay a capital sum to the individual as compensation for the loss of the asset. We deduct cost from the insurance proceeds to arrive at a capital gain in the normal way.

If, within 12 months of the receipt of the capital sum, the individual replaces the stolen asset with a new asset, the legislation allows the individual to make a **rollover relief** claim, such that the capital gain on the loss of the original asset can be rolled over and **set against the base cost of the new asset**. [TCGA 1992, s.23\(4\)](#)

Before a rollover relief claim can be made, certain **conditions** must be satisfied. Firstly the **replacement asset must be acquired within 12 months** of the receipt of the capital sum.

The replacement asset does not necessarily need to be the same as the asset which has been lost or destroyed. The replacement asset **must however be a chargeable asset** for CGT purposes. This means that an individual cannot make a rollover relief claim if a painting is lost or destroyed and replaced with an exempt asset such as a car.

If the individual retains some part of the insurance proceeds, the amount of **cash retained is immediately chargeable**.

When calculating the capital gain on the loss or destruction of the original asset, the proceeds of sale will consist of two elements. We take the **capital sum received** from the insurance company, and to it we must **add** any 'residual' or '**scrap**' value of the old asset. For example, if an asset is destroyed in a fire or flood and some small part of the asset remains, that scrap value must be added to the capital sum received.

Relief must be formally **claimed** by the individual no later than **four years** from the end of the tax year of disposal. This means that for disposals in 2022/23, claims under s.23 must be made on or before 5 April 2027.

➤ Illustration 1

An individual owns a picture which cost £80,000 and which is destroyed in a fire in August 2022. The individual makes an insurance claim, and a capital sum of £200,000 is received in September 2022. After the fire, the picture frame is still intact and has a scrap value of £10,000. The sale proceeds for CGT purposes are therefore £210,000.

In March 2023, the individual uses part of the sale proceeds in purchasing a vase. The vase cost £160,000.

Calculate the chargeable gain arising in 2022/23 after making a s.23 rollover claim and identify the base cost of the vase.

As a replacement asset has been purchased in the 12 months following the date of receipt of the capital proceeds, a rollover claim can be made under s.23.

The first thing we do is identify the capital sum retained. The individual has received £200,000 from the insurance company, and has spent £160,000 of this capital sum in acquiring the new asset. The cash retained is therefore £40,000, and this will be immediately chargeable to capital gains tax. Thus £90,000 will be rolled over and reduces the base cost of the replacement asset.

	£
Capital sum	200,000
Scrap value	<u>10,000</u>
	210,000
Less: Cost	<u>(80,000)</u>
Gain	130,000
Less: Deferred gain	<u>(90,000)</u>
Gain chargeable now = Capital sum retained	
200,000 – 160,000	<u>40,000</u>
 Cost	 160,000
Less: Rolled over gain	<u>(90,000)</u>
Base cost	<u>70,000</u>

24.4 Negligible Value Claims

A negligible value claim can be made by a taxpayer if an asset in their possession becomes **worthless** – ie its value becomes negligible. [TCGA 1992, s.24\(2\)](#)

This is most commonly applied to shares where the company goes into liquidation, but it could be applied to other assets which, for a variety of reasons, have no value.

If an individual owns an asset whose value has become negligible, the owner can make a claim under s.24. The effect of the claim is that the owner can pretend that they have sold the asset, and that the **proceeds** of sale are equal to its **current market value** – in many instances the current market value of the asset will be zero.

The individual is then deemed to have immediately reacquired the asset for the same price. This means the individual's base cost for CGT purposes will be nil.

The effect of this 'pretend sale' is that a **capital loss will arise** at the date of this deemed disposal. Assuming that the asset is completely worthless, the capital loss will be equal to the original base cost.

Having made a claim under s.24, the taxpayer must decide what they wish to do with the resulting capital loss. The loss can be treated as a **current year loss** of the year in which the claim is made. Alternatively, the taxpayer can elect to treat this loss as a current year loss arising **in any of the two years immediately preceding the claim**. This option to effectively carry back the loss for two years, is only available if HMRC are satisfied that the asset in question was of negligible value in those two years. [TCGA 1992, s.24\(2\)\(b\)](#)

➤ Illustration 2

Veronica bought some shares in Plughole plc for £10,000 in 2002. Plughole plc has been in liquidation since 2019, so it is unlikely that Veronica will see any return on her investment.

Veronica is entitled to make a negligible value claim under s.24, and duly does so in March 2023.

Discuss the effect of the negligible value claim and the options available to Veronica.

In March 2023 we pretend that Veronica sold the shares for their then market value, ie zero. The base cost of the shares was £10,000, leaving Veronica with a capital loss in March 2023 of £10,000.

At this point, the base cost of the Plughole plc shares becomes zero. Therefore, if the company subsequently recovers and Veronica is able to sell the shares and realise some cash, this cash gain will become chargeable to CGT.

Veronica can treat the £10,000 as a loss arising in the year of the claim – ie 2022/23. Alternatively, Veronica can elect to treat the £10,000 capital loss as having arisen either in 2021/22 or in 2020/21. Once this capital loss has been allocated to a tax year, it is treated as a loss actually made in that tax year.

For example, if Veronica chooses to take the loss in 2021/22, that loss must first be set against other gains in that year, then any excess can be carried forward. Veronica's decision as to where to place the loss will depend on whether she has made any capital gains in those relevant tax years.

The reason behind the negligible value legislation is to allow taxpayers to realise losses on assets which they would otherwise be unable to sell, simply because those assets have become worthless.

HMRC maintain a published list of companies whose shares have become of negligible value, and s.24 claims in respect of those shares will be readily accepted.

EXAMPLES

❖ Example 1

Seamus bought 10,000 shares in Beta-Max plc in 2003 for £8,000. The company ceased trading in December 2020 and in June 2022 Seamus was officially informed that the company had gone into liquidation and no funds were available to distribute to the shareholders.

Seamus has capital gains in recent years as follows.

	2020/21	2021/22	2022/23
Gains	£3,500	Nil	£13,000

Advise Seamus on his most appropriate claim.

❖ Example 2

Mark's valuable Auerbach painting was destroyed in a flood in November 2022. It had cost £5,000 in March 2005 and had an insurance value of £30,000. This was received in November 2022. Mark rescued the frame from the flood. This was worth £1,000.

In January 2023, Mark bought an antique chest for £27,000 with the insurance proceeds.

Calculate Mark's chargeable gain in 2022/23 assuming any beneficial claims are made.

ANSWERS

✓ Answer 1

Seamus should make a negligible value claim under s.24 TCGA 1992. This will generate a capital loss of £(8,000). As the shares became of negligible value in 2020/21, Seamus can claim the loss as a current year loss in either, 2020/21, 2021/22 or 2022/23.

Seamus's most efficient claim is to **take relief in 2021/22**. He will then have a capital loss of £(8,000) in 2021/22 which can be carried forward against gains in 2022/23 as follows:

	2022/23
	£
Gains	13,000
Less: Annual exempt amount	<u>(12,300)</u>
	700
Less: Capital loss b/f from 2021/22	<u>(700)</u>
Taxable gains	Nil
Loss c/f to 2023/24: (8,000 – 700)	<u>7,300</u>

Tutorial Note:

There is no point taking relief in either 2020/21, as the gain is already covered by the annual exempt amount for that year, or 2022/23, as the full loss would have to be set against the 2022/23 gains, leaving no remaining losses to be carried forward.

✓ Answer 2

<u>Compensation received (November 2022)</u>	£
Insurance proceeds	30,000
Residual value of asset	<u>1,000</u>
Total disposal proceeds	31,000
Less: Cost	<u>(5,000)</u>
Gain	26,000
Less: Gain deferred	<u>(23,000)</u>
Gain = proceeds retained	
30,000 – 27,000	<u>3,000</u>
<u>Antique chest (January 2023)</u>	
Cost	27,000
Less: Rolled over gain	<u>(23,000)</u>
Base cost	<u>4,000</u>

Tutorial Note:

Rollover relief under s.23 TCGA 1992 can be claimed as a replacement chargeable asset is purchased within 12 months of receipt of the capital proceeds.

CHAPTER 25

COMPENSATION FOR ASSETS DAMAGED

By the end of this chapter you will understand:

- how to calculate a gain on the part disposal of an asset when compensation is received because an asset is damaged
- what happens for CGT where the asset is restored
- the claims that can be made to avoid the part disposal

25.1 Introduction

In this chapter, we shall consider the CGT implications of a taxpayer receiving compensation for an asset that is **damaged but not destroyed**.

If an asset is completely lost or destroyed, there is a full disposal for CGT purposes, the sale proceeds being equal to the compensation received. It therefore stands to reason, that if an asset is partly damaged but not completely destroyed, this is treated as a **part disposal** for CGT purposes.

As we are dealing with part disposals, to calculate the allowable cost for CGT purposes we will use the following formula:

$$A/(A + B) \times \text{Original cost}$$

A = compensation received

B = value of remaining asset ('unrestored' value)

The date of disposal for CGT purposes is the date that the compensation is received and not the date when the asset was originally damaged.

➤ Illustration 1

Mark purchased a house for £90,000 in January 2000. In March 2022, the property was damaged in a flood. Mark made an insurance claim and in September 2022 received a compensation payment of £50,000.

The insurance company valued the house at £100,000 at this point. This is what we mean by the 'unrestored' value.

Calculate the gain arising on receipt of the insurance proceeds.

As an asset has been partly damaged but not completely destroyed, there is a part disposal at the date that the compensation has been received – ie in September 2022.

	£
Compensation received	50,000
Less: Allowable cost $(90,000 \times 50,000 / (50,000 + 100,000))$	<u>(30,000)</u>
Chargeable gain	<u>20,000</u>

Here we will assume that the house is not Mark's main residence. Under general principles, disposals or part disposals of one's main residence would qualify for PRR in the normal way.

25.2 Restoration of the Asset

Presumably, having received compensation from the insurance company, the taxpayer would use all or part of that money in **restoring** the property. If the capital sum is spent on restoring the asset, we treat this as **enhancement expenditure** for CGT purposes.

Under normal principles, enhancement expenditure is deductible when calculating a gain or loss on a disposal of an asset.

➤ Illustration 2

Returning to the previous illustration, assume that in March 2023 Mark spent £48,000 of his capital proceeds in restoring the property and Mark sold the house for £250,000 in August 2023.

Calculate the capital gain arising on the sale of the house.

Sale proceeds are £250,000 from which we deduct Mark's base cost. Mark originally paid £90,000 for the property in January 2000. However, when we calculated the gain on the part disposal in September 2022, we deducted £30,000 of this cost in arriving at Mark's capital gain.

Remaining base cost = £90,000 – 30,000 = £60,000.

To this we must add the enhancement expenditure – ie the money spent on restoring the property – in March 2023.

The calculation will be as follows:

	£
Proceeds	250,000
Less: Remaining base cost	(60,000)
Less: Enhancement expenditure	(48,000)
Gain	<u>142,000</u>

25.3 Claims to Avoid this Part Disposal

The subject of compensation is dealt with by s.23 TCGA 1992. Under s.23(1), the taxpayer may make a claim for the receipt of compensation not to be treated as a part disposal, as long as **one of three conditions** are satisfied. [TCGA 1992, s.23\(1\)](#)

1. The receipt of compensation is not treated as a part disposal for CGT purposes if **all of the compensation is used in restoring** or enhancing the asset.
2. A taxpayer can also make a claim under s.23 not to have a part disposal, if they do not use all of the compensation in restoring the asset, but the **amount retained is 'small'**. 'Small' in this instance is defined by HMRC as being not more than either **£3,000 or 5%** of the compensation received, whichever is the higher. [TCGA 1992, s.23\(1\)\(b\)](#); RI 164

This means that if a taxpayer receives compensation for damage to an asset, and after restoring the asset the proceeds retained are not more than £3,000, they will always be able to make a claim under s.23. However, if the taxpayer retains proceeds of more than £3,000, we must look at whether the proceeds retained exceed 5% of the compensation received. If the proceeds retained are not more than 5% of the compensation received, once again the taxpayer can make a claim under s.23;

3. A s.23 claim can always be made if the capital sum received by way of compensation is itself 'small' – ie either not more than £3,000 or not more than 5% of the value of the asset.

Remember, that if a taxpayer does not make a claim under s.23 the receipt of compensation will be treated as a part disposal and a capital gain will arise in the usual way.

The claim must be made within four years from the end of the tax year of disposal.

➤ Illustration 3

Going back to the illustration again, Mark bought a property in January 2000 for £90,000. The property was damaged and Mark received compensation of £50,000 in September 2022. In March 2023 he spent most of this money – ie £48,000 – in restoring the property.

State the capital gains tax position on the receipt of the compensation after claiming all available reliefs.

The amount of compensation not reinvested by Mark is £2,000. Mark can make a claim under s.23 TCGA 1992, if the compensation not reinvested is 'small'. Anything not more than £3,000 is always regarded as small; therefore, Mark will be able to make a claim under s.23.

Assuming Mark makes an appropriate claim, HMRC will not treat the receipt of compensation in September 2022 as a part disposal. Mark will not therefore have a capital gain in 2022/23. Instead, HMRC will take the compensation received of £50,000, and **roll it over and deduct it from the base cost** of Mark's original asset.

Mark's base cost:

	£
Original cost	90,000
Less: Compensation rolled over	(50,000)
CGT base cost	<u>40,000</u>

This will be used to calculate the capital gain when Mark eventually sells the asset. Remember that by reducing the base cost of the asset, HMRC are simply increasing the capital gain that will be charged in the future. Therefore, a claim under s.23 does not extinguish the gain, but it simply **defers** it to a later period of time.

Calculate the chargeable gain on the assumption Mark sells the house in August 2023 for £250,000.

	£	£
Sale proceeds (August 2023)		250,000
Original cost (January 2000)	90,000	
Less: Compensation 'rolled over'	(50,000)	
	40,000	
Enhancement (March 2023)	<u>48,000</u>	
		(88,000)
Gain		<u>162,000</u>

Cash profit:

	£	£
Cash received:		
– Compensation	50,000	
– Sale proceeds	<u>250,000</u>	
		300,000
Cash spent:		
– Original cost	90,000	
– Restoration	<u>48,000</u>	
		(138,000)
Cash profit		<u>162,000</u>

EXAMPLES

❖ Example 1

Violet bought a shop in January 2002 for £120,000 from which she runs a florists business.

In September 2022, the shop was damaged by a storm. It was valued at £150,000 at that point.

In October 2022 Violet received compensation of £100,000.

In December 2022 she spent £96,000 in restoring the shop.

Assuming a claim is made under s.23 TCGA 1992, calculate the total amount Violet can deduct when calculating the gain on any future disposal of the shop.

ANSWERS**✓ Answer 1**

	£
Compensation received	100,000
Less: Spent on restoration	<u>(96,000)</u>
Proceeds retained	<u>4,000</u>
< 5% of £100,000 'small'	
No part disposal	
Compensation fully rolled over	
Original cost	120,000
Less: Compensation rolled over	<u>(100,000)</u>
Add: Enhancement	<u>96,000</u>
Total expenditure	<u>116,000</u>

CHAPTER 26

FOREIGN ASPECTS OF CAPITAL GAINS TAX

By the end of this chapter you will understand:

- who is liable to pay CGT
- when a person is liable to pay CGT on gains on UK and foreign assets
- the election available to non-domiciled individuals to pay tax on the 'remittance basis'
- the 'remittance basis charge' and when it applies
- the temporary non-residence rules and when they apply
- how tax is charged on disposals of interests in UK land by non-residents
- what the 'situs' rules are

26.1 Introduction

In this chapter we shall take an introductory look at overseas aspects of capital gains tax. First let us examine a few general principles.

The most important general principle can be found in s.1A TCGA 1992. It tells us that, in general, a person can only be chargeable to UK capital gains tax if they are **resident** in the UK. The definition of residence is the same as for income tax purposes. [TCGA 1992, s.1A](#)

Therefore, if a person is **not resident** in the UK they will **not usually pay UK CGT**. This is irrespective of where the asset is situated. So, if a French resident individual sells shares in a UK trading company and deposits the proceeds in a UK bank account, they will not pay UK CGT as they are not resident in the UK. They may of course pay tax on these gains in France.

As is the case for most general principles, there are important **exceptions**. One important exception is the temporary non-residence rules contained in s.1M TCGA 1992. Another important exception is where a non-resident person sells an interest in UK land or an interest in a company where at least 75% of the value of its assets is derived from UK land.

26.2 Sales of UK Assets

If an individual who is **resident** in the UK sells a UK asset, any **capital gain is taxable** at the point that it is made. This is regardless of their domicile status.

If a **non-resident** individual sells a **UK asset**, generally they will **not be chargeable to UK capital gains tax**. We will look at the exceptions to this rule later.

26.3 Sales of Foreign Assets

If a foreign asset is disposed of by an individual who is **resident and domiciled in the UK**, any capital gain is **taxable at the point it is made**. Therefore for individuals who live in the UK and who were born and remain in the UK, **all capital gains are taxable in the year in which they are made**, regardless of where those assets are situated. An individual who is resident and domiciled in the UK will therefore be chargeable to capital gains tax in respect of their **worldwide capital gains**.

This is also the case for individuals who are deemed domiciled in the UK. The rules on deemed domicile were covered in your personal income tax manual and apply for both income tax and capital gains tax.

Remember that where the disposal is of residential property, any gain will be charged to tax at 18% or 28%, rather than 10% or 20%.

Equally, a **capital loss** on a disposal of a foreign asset made by a UK resident and domiciled individual will be **allowable** in the usual way.

If a non-resident person sells a foreign asset and makes a capital gain, that capital gain is not chargeable. Similarly any losses made by non-residents on foreign assets are not allowable.

If a foreign asset is disposed of by an individual who is **resident but not domiciled** in the UK, the rules are more complicated. These are considered below.

26.4 Non-Domiciled Individuals

A non-domiciled individual who is resident in the UK can elect under s.809B ITA 2007 for **the remittance basis** to apply in respect of **overseas income and gains**. The s.809B election applies for both income and gains. [ITA 2007, s.809B](#)

If such an election is made, the individual is only taxed on gains on foreign assets **to the extent the gain is remitted to the UK**. Such gains are called '**foreign chargeable gains**'.

When the proceeds of any 'foreign chargeable gains' are remitted to the UK, the **gain element is deemed to be remitted first**.

The capital gain is **taxed in the year in which the gain is remitted to the UK**. In many cases, the gain will be remitted in a different tax year to that in which the gain was made.

A taxpayer claiming the remittance basis is **not allowed to claim an annual exempt amount** in the year in which a s.809B claim is made. [TCGA 1992, s.1K\(6\)](#)

If a remittance basis claim is not made in a subsequent year, an annual exempt amount can be claimed.

If an individual has unremitted foreign income and gains of **less than £2,000** for a tax year, the remittance basis applies automatically and no claim is needed under s.809B. In this case the individual remains entitled to an annual exempt amount and personal allowance. [ITA 2007, s.809D](#)

➤ **Illustration 1**

Milo has been resident in the UK for the past three tax years but is domiciled in Jersey. He works for a UK charity and earns £30,000 per annum. He has no other UK income. He has various investments held overseas and these generate income of £6,000 per annum.

In December 2022, Milo sold:

- some land in the UK for £85,000 making a gain of £50,000; and
- shares in Calcio Inc (a foreign company) for £60,000, making a gain of £35,000.

The £60,000 proceeds from the sale of the shares was paid into a new non-interest bearing account in the Bahamas. Milo claimed the remittance basis for 2022/23 and made no remittances of foreign income or gains.

Calculate the CGT for 2022/23.

The CGT position is as follows:

	£
UK salary	30,000
Foreign income (not remitted)	<u>Nil</u>
	30,000
Less: Personal allowance (not available as s.809B claim made)	<u>Nil</u>
	30,000
Less: Basic rate threshold	<u>(37,700)</u>
Basic rate band remaining	<u>7,700</u>
Gains:	
UK gains (taxed on arising basis)	50,000
Foreign gain (not remitted)	<u>Nil</u>
Chargeable gains	50,000
Less: Annual exempt amount (not available as s.809B claim made)	<u>(Nil)</u>
Taxable gains	<u>50,000</u>
CGT:	
7,700 @ 10%	770
42,300 @ 20%	<u>8,460</u>
	<u>9,230</u>
Unremitted foreign gain	<u>35,000</u>

➤ Illustration 2

Let's continue with the previous illustration.

In May 2023 Milo sold a painting in Jersey for £20,000 making a gain of £8,000. The proceeds were paid into his bank account in Jersey.

In March 2024, Milo transferred £40,000 from the account in the Bahamas to his bank account in the UK. Milo will therefore be treated as remitting the whole of the 2022/23 gain of £35,000 in 2023/24.

Milo did not make a s.809B claim for 2023/24.

Calculate the CGT for 2023/24. Assume rates and allowances are as for 2022/23.

The CGT position is as follows:

	£
UK salary	30,000
Foreign income (taxed on an arising basis)	<u>6,000</u>
Total income	36,000
Less: Personal allowance	<u>(12,570)</u>
	23,430
Less: Basic rate threshold	<u>(37,700)</u>
Basic rate band remaining	<u>14,270</u>
Gains:	
Painting (taxed on arising basis)	8,000
Remitted gain from 2022/23	35,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gains	<u>30,700</u>
CGT:	
14,270 @ 10%	1,427
16,430 @ 20%	<u>3,286</u>
	<u>4,713</u>

Tutorial Note:

As no s.809B claim is made for 2023/24, all income and gains are taxed on an arising basis. UK personal allowances and annual exempt amount are available.

26.5 Non-Domiciled Individuals – ‘Remittance Basis Charge’

Individuals who: [ITA 2007, s.809H](#)

- are non-UK domiciled,
- are aged 18 or over,
- have been **resident in the UK for seven of the nine** tax years preceding the relevant tax year, and
- claim the remittance basis of taxation,

have to pay a **£30,000 annual remittance basis charge (RBC)** in respect of the foreign income and gains they leave outside the UK.

This £30,000 RBC is **in addition to any tax due on foreign income and gains actually remitted** to the UK.

This charge is increased to £60,000 where the individual has been resident in the UK for 12 of the 14 tax years preceding the relevant tax year.

An individual who has elected for the remittance basis will nominate the income and/or gains in respect of which the RBC is treated as paid.

Non-domiciled individuals can **choose each tax year** whether:

- a. to claim to use the remittance basis; or
- b. to pay tax on their worldwide income and gains (whether remitted or not).

If the remittance basis is not claimed for that year, the RBC will not apply.

You should note that taxpayers who are subject to the RBC are treated as having fully utilised their basic rate band. Therefore any gains remitted to the UK are taxed at the appropriate rates for higher rate taxpayers (typically 20% or 28%).

➤ Illustration 3

Arsene has been resident in the UK for 10 years but is domiciled in France.

In October 2022 Arsene sold a commercial property in France for £600,000, resulting in a gain of £100,000. He does not intend to remit the proceeds to the UK. He did not make any other capital disposals in 2022/23. Arsene has no foreign income in 2022/23, but his UK income is such that he pays income tax at 40% but is not entitled to a personal allowance.

Advise if it would be beneficial for Arsene to claim the remittance basis in 2022/23 under s.809B or not.

1. Assume Arsene does **not** claim the remittance basis.

In this case he will pay CGT on his worldwide gains (whether or not remitted). He will be entitled to an annual exempt amount but he will not be liable to the RBC.

His CGT is as follows:

	£
Gain	100,000
Less: Annual exempt amount	<u>(12,300)</u>
	<u>87,700</u>
CGT @ 20%	<u>17,540</u>

2. Assume Arsene **claims** the remittance basis.

In this case he will pay CGT on his remitted gains only. As he remits no gains, his CGT will be Nil. However, he will instead be liable to the RBC. Arsene's tax liability for the year will therefore be £30,000.

In this case, it will **not** be beneficial for Arsene to claim the remittance basis in 2022/23.

Instead assume that Arsene makes a capital gain of £100,000 on the French property and in December 2022 he also sold some shares in a French company for £800,000 making a gain of £320,000. He remits £50,000 of the proceeds to the UK.

Advise if it would be beneficial for Arsene to claim the remittance basis in 2022/23 under s.809B or not.

1. Assume Arsene does **not** claim the remittance basis.

He will pay CGT on his worldwide gains (whether or not remitted). He will be entitled to an annual exempt amount but he will not be liable to the RBC.

His CGT is as follows:

	£
Gain on French property	100,000
Gain on French shares	<u>320,000</u>
	420,000
Less: Annual exempt amount	<u>(12,300)</u>
	<u>407,700</u>
CGT @ 20%	<u>81,540</u>

2. Assume Arsene **claims** the remittance basis.

In this case he will pay CGT on his remitted gains only (£50,000). He will not receive an annual exempt amount.

However, he will be liable to the RBC.

His CGT is as follows:

	£
Remitted gains	50,000
Less: Annual exempt amount	(Nil)
	<u>50,000</u>
CGT @ 20%	10,000
Add: RBC	<u>30,000</u>
Tax payable	<u>40,000</u>

In this case, it **will be beneficial for Arsene to claim the remittance basis under s.809B** in 2022/23.

26.6 Split Year

The Statutory Residence Test allows a tax year to be split into a 'UK part' for which the individual is taxed as a UK resident and an 'overseas part' for which the individual is taxed as a non-UK resident. This may apply in the year of departure and in the year of arrival.

By splitting the tax year into a 'UK part' and an 'overseas part' an individual **will generally not be charged UK CGT on gains accruing in the overseas part of the year**. This applies to gains on both UK and foreign assets. Equally, losses accruing in the overseas part of the year will not be allowable.

However, this normal rule will not apply if the individual is regarded as temporarily non-resident.

26.7 Temporary Non-Residence

If an individual is not resident in the UK, he is not generally liable to UK CGT.

Therefore, without anti-avoidance legislation, a taxpayer could **emigrate** and become non-UK resident, then **sell an asset** and make a capital gain. Because the capital gain is made in a non-resident period, the gain will **not be charged** to UK CGT. The taxpayer would then spend a year or so abroad, then return to the UK with the proceeds and no CGT would be payable.

This was a very simple planning idea and was used by a large number of individuals to shelter substantial capital gains. As a result, in order to counter what HMRC saw as blatant tax avoidance, anti-avoidance legislation was introduced to charge capital gains tax on individuals who became 'temporarily' non-UK resident.

An individual is regarded as temporarily non-resident if: [FA 2013, Sch 45, para 110](#)

- the individual becomes non-resident;
- the individual was UK resident for at least four of the seven tax years immediately preceding the year of departure; and

- the period of non-residence is five years or less.

Under s.1M TCGA 1992 if an individual is temporarily non-resident, then returns to the UK and **becomes UK resident again**, any capital **gains made in the intervening period will all be taxed in the year of return**. [TCGA 1992, s.1M](#)

For example, if a taxpayer left the UK in December 2019 and resumed residence in the UK in June 2023, any gains made between the date of departure and the date of return will all be taxable in 2023/24.

The capital gain made in the non-resident period will **only escape UK tax** if the individual **remains non-UK resident** for more than **five complete years**. Therefore, to avoid CGT on gains made after departure, the taxpayer will have to spend more than five years outside the UK.

For example, if a taxpayer left the UK on 12 July 2019, gains made after departure will only escape tax if the individual does not become UK resident again until after 12 July 2024.

The temporary non-residence rules under s.1M **do not apply to assets which were acquired by the taxpayer during the temporary period of non-residence**. This means that if an individual leaves the UK, buys an asset after becoming non-resident and subsequently sells it while non-UK resident, any gain on that disposal will not be taxed even if they become UK resident again within five years. [TCGA 1992, s.1N\(1\)](#)

Any gains in the non-resident period are calculated in the normal way. If a taxpayer makes losses in the non-resident period, those **losses are allowable and will be set against gains in the year of return**. Gains and losses in the non-resident period are offset in the usual way.

Any unused annual exempt amount whilst the taxpayer is abroad will be wasted. The annual exempt amount will become available again once the taxpayer becomes UK resident.

26.8 Disposals of Interests in UK Land by Non-Residents

Generally speaking, **only UK resident individuals are subject to capital gains tax**. Non-UK resident individuals are generally not liable to UK CGT, even on disposals of assets situated in the UK. There are exceptions to this general rule, for example in the case of disposals by individuals who are temporarily non-UK resident (s.1M TCGA 1992).

In addition, since 6 April 2015 **UK capital gains tax has been charged on disposals of UK residential property by non-UK resident individuals**. 'Non-resident' includes the overseas part of a split year.

UK residential property means a dwelling either used as a residence or suitable for use as such.

Where UK residential property is disposed of, **only the part of the gain arising after 5 April 2015 is chargeable to CGT** (as this was the date that the legislation took effect). Similarly, only the post-April 2015 element of a capital loss is allowable.

There are three methods for calculating the chargeable gain or allowable loss where the property was acquired before 6 April 2015. [TCGA 1992, Sch.4AA, paras 6–9](#)

1. The default method:

This requires the property to be valued ('rebased') at 5 April 2015. The chargeable gain or allowable loss is the **difference between the sale proceeds and the value at 5 April 2015**. April 2015 property values will be subject to agreement with HMRC.

2. The straight-line time-apportionment method:

This calculates the gain by deducting the original cost from the sale proceeds. **The resulting gain or loss is then time apportioned** with only the post 5 April 2015 proportion being charged or allowed.

3. The retrospective method:

This calculates the gain or loss by deducting the original cost from the sale proceeds. In this case the **whole of the gain is chargeable**.

The '**default method**' will apply unless the taxpayer elects to use one of the two alternative methods.

The election for the 'retrospective method' is only likely to be beneficial where a loss arises since the whole of the loss will then be allowable.

Elections are made on a disposal-by-disposal basis.

If the property was acquired on or after 6 April 2015, the whole gain will be chargeable (or loss allowable).

From 6 April 2019, **disposals of interests in all UK land (which includes buildings) by non-UK residents are subject to UK CGT**. This includes disposals of plots of land as well as commercial buildings such as factories and offices.

Where an interest in land which is not a residential property is sold, **only the part of the gain arising after 6 April 2019 is chargeable**.

Where the land or building was acquired before 6 April 2019, the gain is calculated using the **default method** although in this case the asset is valued at 5 April 2019. Alternatively, the individual can elect for the **retrospective method**. There is no option for time-apportionment in respect of a non-residential disposal.

If the land or building was acquired on or after 6 April 2019, the full gain will be chargeable (or loss allowable).

26.9 Indirect Disposals of Interests in UK Land by Non-Residents

From 6 April 2019, a non-UK resident will also be chargeable to UK CGT in respect of the **disposal of shares in a company** whose **interests in UK land**, at the date of disposal, make up **at least 75% of its gross assets**. [TCGA 1992, s.1A\(3\)\(c\)](#)

These provisions mean that where a non-UK resident disposes of shares in a '**property rich**' company, ie where the gain made on the shares relates to UK land, the gain will be subject to UK tax, even though the disposal is of an interest in a company rather than UK land.

The gain on the disposal will only be chargeable to UK CGT if the non-resident **owns at least 25% of the company** at any point in the two years prior to the disposal. In addition, if at the time of the disposal **at least 90% of the land** owned

by the company is used for **a qualifying trading purpose**, the gain on the disposal will not be chargeable (or loss allowable). [TCGA 1992, Sch 1A, paras 5 and 8](#)

The normal share disposal rules apply to calculate the gain. However, only the gain since 6 April 2019 is chargeable. The **default method** of calculation again requires the shares to be valued at 5 April 2019, with this value then used to calculate the gain, rather than original cost. The individual can again elect for the **retrospective method** to calculate the gain – ie using original cost. In this case, if the retrospective method is used, **any capital loss arising is not allowable**.

26.10 Direct and Indirect Disposals of Interests in UK Land by Non-Residents – Other Points

Disposals of interests in UK land are often referred to as non-resident capital gains (NRCG) disposals.

NRCG gains can only be reduced by allowable NRCG losses, of the current and previous tax years. [TCGA 1992, s.1E\(2\)](#)

If an individual subsequently becomes UK-resident and thereafter subject to CGT on all disposals, any unused NRCG losses can be set against general chargeable gains.

The annual exempt amount can be deducted from NRCG gains and should be allocated in the most beneficial manner where there are both residential and non-residential disposals. The resulting net gain is then taxed at 18% or 28% (if it relates to the disposal of residential property) or 10% or 20% (for other NRCG disposals) depending on the level of the individual's income subject to UK income tax.

26.11 Returns and Payments in Respect of NRCG disposals

All NRCG gains and losses must be reported using the UK property disposal service within **60 days of the date of completion** of the disposal (30 days for completion prior to 27 October 2021). This is the case even when there is no tax to pay.

Non-resident taxpayers use the **same online property return as UK taxpayers**.

Note that non-resident taxpayers must also include indirect disposals of UK land and property within the online property return.

Non-resident taxpayers who file self-assessment tax returns must also include NRCG gains and losses on the Capital Gains pages of the return (thereby reporting the gains and losses twice).

Tax on NRCG gains must be paid by the filing date for the online property return – ie within 60 days of completion (30 days for completion prior to 27 October 2021). This is a payment on account based on the taxpayer's 'best estimate' of the CGT due on the NRCG disposal. Any additional tax (or any CGT which has been overpaid) will be accounted for when filing the self-assessment return.

26.12 The 'Situs' Rules

The remittance basis for non-domiciliaries only applies to assets which are situated outside the UK. It is therefore important that we are comfortable with the 'situs' rules for CGT as these tell us where assets are situated. [TCGA 1992, s.275](#)

Assets such as **land and buildings** are situated in the country in which they are **physically located**.

The same rule applies for **chattels** such as paintings, or antiques etc. Therefore, CGT can be avoided on the sale of a painting by a non-domiciled taxpayer who simply takes the asset abroad before its sale.

Shares in a company which is **incorporated in the UK** are situated in the UK for CGT purposes.

Shares in companies which are listed, or registered companies that were **not incorporated in the UK**, are located where the **share register** is kept.

Goodwill is situated where the trade or the **business is carried on**.

Assets such as gilts or other Government stocks etc are situated where the **issuing Government is located**.

In the majority of cases, the location of an asset for CGT purposes is usually obvious.

EXAMPLES

❖ Example 1

Kevin has been resident in the UK for the past 10 years but is domiciled in South Africa. He is a higher rate taxpayer.

His disposals in 2022/23 are as follows:

Asset	Proceeds £	Gain/(Loss) £	Remittance £
South African shares	100,000	60,000	45,000
Cottage in UK	80,000	(15,000)	N/A

He has small amounts of foreign income. All beneficial claims are made.

Calculate Kevin's CGT payable.

❖ Example 2

Michelle had always been UK resident and domiciled. She became non-UK resident on 6 April 2018 when she left the UK to live with family in New Zealand and resumed UK residence on 16 January 2023. She is a higher rate UK taxpayer in 2022/23.

Between 10 September 2017 and 21 December 2022 she made the following capital disposals:

Asset	Date of sale	Date of purchase	Gain £
Antique vase	1 October 2017	23 May 2011	10,000
Shares in ABC plc	17 August 2020	1 February 2018	25,000
Shares in XYZ plc	31 August 2021	1 June 2020	8,000

Calculate Michelle's CGT liability for 2022/23.

ANSWERS

✓ Answer 1

Kevin's unremitted gains exceed £2,000, therefore the remittance basis will not automatically apply.

Kevin's gains are not at a level for there to be any benefit in paying the £30,000 remittance basis charge. Therefore, he will not make a s.809B claim and will be taxed on the arising basis.

He will receive an annual exempt amount.

	£
Gain	60,000
Less: Losses	<u>(15,000)</u>
	45,000
Less: Annual exempt amount	<u>(12,300)</u>
	<u>32,700</u>
CGT @ 20%	<u>6,540</u>

✓ Answer 2

Michelle is non-resident from 6 April 2018 to 16 January 2023 (being 4 years, 9 months).

The temporary non-residence (TNR) rules will apply because:

- Michelle was UK resident for at least four of the seven tax years immediately preceding the year of departure; and
- The period of non-residence is five years or less.

However the TNR rules in s.1M TCGA 1992 do not apply to assets acquired by Michelle during the period of temporary non-residence. The gain on the sale of the XYZ plc shares (acquired in June 2020) will not therefore be caught by s.1M.

The gain on the sale of the ABC plc shares is, however, caught by s.1M as these were acquired in February 2018 (at a time when Michelle was UK resident).

The CGT payable in 2022/23 is therefore:

	£
Gain on shares in ABC plc	25,000
Less: Annual exempt amount	<u>(12,300)</u>
Taxable gains	<u>12,700</u>
CGT @ 20%	<u>2,540</u>

CHAPTER 27

DOUBLE TAX RELIEF FOR CGT

By the end of this chapter you will understand:

- how to calculate double tax relief using the 'unilateral relief' method

27.1 Unilateral Relief

If a UK resident individual suffers tax on capital gains in both the UK and in a foreign country, they will receive double taxation relief or 'DTR'. DTR is either available under a double taxation treaty or by virtue of '**unilateral relief**'. We will not consider double tax treaties in this manual.

Typically, unilateral relief will be available when a UK resident individual makes a capital gain on the disposal of a foreign asset. As the gain will be chargeable both in the UK and in the foreign country, the UK authorities will allow a measure of double tax relief. [TIOPA 2010, s.9\(2\)](#)

The double tax relief is the **lower of two numbers**:

1. The double tax relief can never exceed any **foreign tax paid**.
2. The DTR cannot exceed the amount of the **UK capital gains tax paid** on the foreign gain.

We **deduct the DTR from the UK CGT** liability to give UK capital gains tax due.

UK CGT liability		X
Less: DTR		
Lower of:		
i. Foreign tax paid	A	
ii. UK CGT on foreign gain	B	
		(X)
		<u>X</u>

Therefore, in all DTR computations, we must calculate the amount of the UK capital gains tax on the foreign gain.

Any available losses and the annual exempt amount should be **allocated in order to maximise the DTR available**. This means they should be set **against UK gains in priority** to gains on which foreign tax has been charged. By leaving more of the foreign gain in charge, the UK tax on this foreign gain will be increased, maximising the potential for DTR.

➤ **Illustration 1**

Paula is a higher rate taxpayer who is resident and domiciled in the UK. Paula sells two assets in November 2022. She sells a painting in the UK giving rise to a gain of £15,000, and a painting in a foreign country giving rise to a gain of £5,000. The overseas country charges Paula foreign tax of £1,500 on this overseas gain.

Calculate Paula's CGT due after double tax relief.

We will calculate Paula's CGT due.

First we divide the chargeable gains into UK gains and foreign gains. Paula is entitled to an annual exempt amount of £12,300 and this is deducted from the gain on the UK asset in priority.

	UK £	Foreign £
Chargeable gains	15,000	5,000
Less: Annual exempt amount	<u>(12,300)</u>	<u>(Nil)</u>
Taxable gains	<u>2,700</u>	<u>5,000</u>
	UK £	Foreign £
Taxable gains	<u>2,700</u>	<u>5,000</u>
CGT @ 20%	<u>540</u>	
CGT @ 20%		<u>1,000</u>

As the foreign gain has suffered overseas tax, Paula can claim unilateral double tax relief. The double tax relief is the lower of the foreign tax paid, or the UK tax on the foreign gain. The foreign tax paid is £1,500. The UK capital gains tax on the foreign gain is £1,000.

The double tax relief which Paula can claim, is the lower of these two numbers being £1,000. Paula's UK capital gains tax due is therefore:

	£	£
UK CGT before DTR (540 + 1,000)		1,540
Less: DTR		
Lower of:		
i. Foreign tax	1,500	
ii. UK CGT on foreign gain	1,000	
		<u>(1,000)</u>
UK CGT due		<u>540</u>

Even though Paula has suffered £1,500 of foreign tax, she can only use £1,000 of this to reduce her UK capital gains tax bill. The excess foreign tax credit is wasted.

Where an individual pays tax on capital gains at different rates due to the level of their income, the foreign gain should be treated as taxed at the highest rate, again to maximise double tax relief.

EXAMPLES

❖ Example 1

Simon is UK resident and domiciled. He has taxable income of £35,000 in 2022/23. He made the following disposals in the tax year:

	£
UK painting	26,000
UK unquoted shares	(10,000)
House in France	15,000

The gain on the house suffered French tax of £5,000.

Calculate Simon's UK CGT liability.

ANSWERS

✓ Answer 1

	UK £	Foreign £
Gains	26,000	15,000
Less: Losses	<u>(10,000)</u>	
Net gains	16,000	15,000
Less: Annual exempt amount	<u>(12,300)</u>	<u>(Nil)</u>
Taxable	<u>3,700</u>	<u>15,000</u>
CGT:		£
2,700 @ 10% (W)		270
1,000 @ 20%		200
15,000 @ 28%		<u>4,200</u>
		4,670
Less: DTR		
Lower of:		
i. Foreign tax paid: 5,000		
ii. UK tax on foreign asset: 4,200		
		<u>(4,200)</u>
UK CGT due		<u>470</u>
<u>Working</u>		
Basic rate band		37,700
Less: Taxable income		<u>(35,000)</u>
Unused basic rate band		<u>2,700</u>